



"MAN IS LEAST HIMSELF WHEN HE TALKS  
IN HIS OWN PERSON. GIVE HIM A MASK,  
AND HE WILL TELL YOU THE TRUTH."

- OSCAR WILDE

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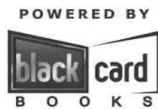


VISHAL AND MEGHANA MALKAN

# #CASHTAGS

*How Anyone Can Get Started in the*  
STOCK MARKET  
*and Level Up as a*  
POWER TRADER

STOCK TRADING  
SIMPLIFIED



# DEDICATION

To all those who are struggling with losses in the stock market and the consequences of this, be it the loss of time, money, effort, reputation or, sometimes, even life.

# FOREWORD

## BY DR. C. K. NARAYAN

They say that there is a book within each one of us to share with the world, but few of us only get down to the serious business of being able to bring that book out from within into the world for others to read! I have gone through that pain of delivery twice earlier and am therefore well aware of how much commitment and determination is needed for one to sit down and complete a book. I am sure there are many of us out there who have all harboured the idea of writing a book but never quite got around to doing it. So I am really glad that Vishal and Meghana Malkan have been able to accomplish that feat and, more than that, they have asked me to write the foreword for their efforts! I couldn't be any happier to be associated with this project as I believe that Vishal and Meghana are one of the most hard-working and committed couples in the field of technical analysis, and it is my honour to be included in this project of their journey so far into the markets.

I first met Vishal back in the mid-2000s when he enrolled as a student for my programme on technical analysis that I used to conduct at the Bombay Stock Exchange. It was the first time that I was going to do an advanced programme on technical analysis and decided to hold an entrance test to ensure that only those who had some understanding of the subject would be enrolled into the programme. To my surprise, many of the people who appeared for the entrance test flunked and I had to actually give some grace marks to a few to ensure that we had sufficient quorum for the programme!

In that test, I recall, Vishal was one of the top scorers, attesting to his strong understanding of the subject of technical analysis quite early in his career. Remember, this is an event nearly 15–20 years ago!

Since then the market has changed considerably, grown in size and depth, as technology has arrived and changed the way we do things. Information availability has exploded. In and through all of these structural changes, Vishal has remained steadfast with his interest in technical analysis, only growing it through the years. After some years in the broking industry, he moved full-time into the world of technical analysis. I am glad he picked up the arena of training because this field certainly needs some good teachers, and Vishal has been proving himself as a fine teacher—knowledgeable, with strong conviction in what he does and says, with personal experience and with great skill at imparting the details of the subject. His training programmes have been attended by ever growing numbers, and that is a clear testament to the good work that he is doing in the field.

I do believe that beyond all the stocks that he ever bought or traded in, his best investment of all time was in finding his soulmate, Meghana. In the words of the legendary character Jerry Maguire, Vishal can truly say, “You complete me.” She has been a terrific support to Vishal, enabling him, initially, to move ahead in this field and then joining him to strengthen those efforts even more. Today, they are truly one of the power couples of the field of technical analysis! I recall the time when a newly married Vishal brought Meghana to my training programme, introduced her to me and said that he wanted his new wife to learn the subject. Since she was not from a market-centred background at all, I was initially sceptical about her ability to succeed. But if ever there was an instance of being proved wrong on a hunch, this was it. Not only did she attend and finish the programme but she also went on to do my advanced programmes on technical analysis, excelling in them. Today she is extremely well-versed in what she does and is certainly one of the main pillars at Malkansview, their company.

This book, a joint venture of husband and wife, is written with an eye and mind on the small investor and trader. The contents are kept simple, the language is direct and addresses the concerns of the lay trader and investor while it seeks to offer some solutions and proffers advice where it is needed.

It is a book that is quite needed in this time where people are reeling from information overload and perhaps even disinformation. The markets have changed, and people need understanding and guidance at this juncture about how to posture themselves and act so as to profit. A book such as this one is the correct prescription for most new players. Technical analysis is a subject that is not part of mainstream education, therefore, books such as these, written by Indian authors, for Indian audiences, with local examples and flavour, can go a long way in creating the right kind of mindset and learning for many new investors and traders out there.

What readers should pay particular attention to in the book are the chapters detailing the personal experience of the authors—where they have quoted from their mistakes and what lessons they have learnt from them. All of us make mistakes, but if they are pointed out by others who have walked the path ahead of us, it then makes the pathway a bit easier for us to tread. And that is exactly what is intended in those chapters. For those who are wondering whether they are really cut out for a life in the markets, a read of the chapter detailing Meghana's journey will prove to be particularly inspiring. Markets are beautiful because it is a place for absolutely anybody—but you do have to make that effort to fit in! This chapter explains in good detail how she and Vishal found their mojo in the industry together. I can completely identify with this chapter because some 30 years ago, I did almost the same thing with my then-newly married wife, giving her the lowdown of this economic system. She learnt, she survived and she flourished. Meghana is doing the same and perhaps, doing it even better!

Section 2 of the book deals with an important aspect of the correct kind of mental make-up that is necessary for succeeding in the markets. This is important stuff that should be read carefully. The detail that the authors have gone into on this matter is indeed very creditable. I cannot emphasise more this aspect of trading and investing, one which most people choose to ignore at their own peril.

In Section 3, another important aspect is dealt with, that which concerns the *risks* and how to manage it well. Whether one trades or invests, both are inherently risky endeavours. Hence, a good grasp of the aspects relating to risk and its management, an understanding of loss, and treating this entire

market engagement as a business, are well detailed and explained by the authors. Do not miss this aspect.

The book rounds off with interviews of some giants in this business. It is very kind of Vishal and Meghana to include me in that list, although I question their judgement on that one! Then it ends on a discussion regarding some tools and systems that might prove useful for everyone.

This may not be the only book on technical analysis that you may end up reading. But considering both authors' extent of knowledge, the level of commitment and their seriousness of purpose, this certainly has to be one of the books that you *must* read on the subject!



By Dr. C. K. Narayan  
Founder and CEO, Growth Avenues  
[www.growthavenues.com](http://www.growthavenues.com)

# ACKNOWLEDGEMENTS

This book is a product of 12 years of thinking about markets, studying hundreds of great traders and investors, and coaching many more to greatness by helping them apply some of the principles you will find in this book. If this book helps hundreds more, even if we never meet you, it would have been worth the effort.

We would like to acknowledge a few of those people by name. However, everyone who contributed in any way has our deepest thanks and appreciation.

Writing a book appears to be an individual project, but the reality is that if you want it to be read by thousands or hopefully millions of people, it takes an entire team.

Our deepest gratitude to our parents, who make us who we are. This book is dedicated to Meghana's mom, Usha Thakkar. We lost you too soon, Mom. But we were lucky to have you as long as we did. We promise to live by your values forever. A special mention of gratitude also to Vishal's mom, Hasumati Malkan. We are able to live this life because of the incredible love and support you offer us.

To our siblings Daxay, Nirupama, Payal and Vedant and their better halves, thank you for believing in us and our dreams, and for showering us with your unconditional love and support, always.

A big thank you to our kids, Vevaan and Myeshha. You give us a reason

to try to make this world a better place. Your future is what drives us today.

Thank you to all our friends for your lifelong friendship. You make our lives beautiful. We love you all. Special thanks to Kailash Jain and Mrunal Pavaskar for being constant sounding boards throughout our journey.

Thank you from the bottom of our hearts to our most special mentor, Dr. C. K. Narayan. You are responsible for laying a strong foundation for our knowledge of the subject of technical analysis and are our constant inspiration to spread that knowledge further.

A special mention to Dr. Van K. Tharp of the Van Tharp Institute (VTI). His work has greatly influenced not only our trading but also our training and coaching. We are deeply indebted to his wisdom.

Our journey began by being a student and seeker. Thanks to these incredible teachers who changed our lives through their books, videos, coaching calls, and online courses, in addition to their live seminars, workshops, coaching and mentoring programmes, naming them in no particular order: Brendon Burchard, T. Harv Eker, Blair Singer, Brian Tracy, Alex Mandossian, Robert Riopel, Marcus De Maria, Larry Gilman, Sean Seah, Hrotko Zultan, Mac Attram, Clinton Swaine, Steve Nison, Andrew Cardwell, Larry Williams, Jack Schwager, Steve Burns, Michael Covel, Courtney Smith, Alexander Elder, Martin Pring, Robert Miner, Charles Schaap, Santosh Nair, Sidra Jafri, Aarti Gupta, Robin Sharma, Darren Hardy, Jim Rohn, Frank Kern, Russel Brunson, Jeff Walker, Suma Varughese, Bo Eason, Roger Love, Tim Ferris, Anthony Robbins and Robert Kiyosaki.

Thank you, Surendran Jayasekar, for showing up at the right time in our lives and navigating us to where we are right now. None of this would have been possible without you.

We would also like to mention that sir Gerry Robert deserves a significant credit here for being instrumental in pulling this book out of us. A big thanks to the entire team at Black Card Books. With your impeccable customer service, you have been a tremendous support to us in this journey.

We have run out of words to express our gratitude for all the great traders and investors who chose to contribute to this book. Your wisdom makes this



book remarkable. We are deeply indebted to you for sharing it through us with the world.

We also want to give a huge shout-out to the entire team at Malkansview, who contributed their effort and expertise to this book. Special thanks to Devng Varma for supporting us immensely and putting in so much more than time.

All the charts used in this book are provided by Investing.com who has been generous to grant the permission to do so. We acknowledge their support and cooperation.

A big thank you to everyone in the 'TraderinMe<sup>TM</sup>' Programme. You have been our motivation to help us perform at our highest potential.

Finally, we are deeply grateful to all of the seminar attendees and the support staff. Without you, there would be no life-changing seminars.

# TESTIMONIALS

“Most trading books leave out something important, but not *#CASHTAGS*. It has psychology, position sizing, systems, trading as a business and many other important topics. It’s a great overview of what’s involved in trading success.”



**Dr. Van K. Tharp**

Author and world-renowned Trading Coach  
and Leading Expert in the field of Trading and Investing

[www.vantharp.com](http://www.vantharp.com)

“To make money, to be successful and to be able to sustain that success is not easy no matter what anyone tells you. The path from where you are to the success you seek is never a straight line. It is filled with peaks and valleys, wins and failures. Only a truly seasoned and battle-tested entrepreneur can

teach you how to really do it. Vishal and Meghana are not only part of that rare category of people but also have truly simplified the path for you to achieve your dreams. Their experiences and stories are very real and will take away the blinders and misconceptions you have around trading and business. They will replace them with simple ‘street-smart’ advice and processes for you to follow on your road to success. You will make mistakes, as they did and as we all must do. But with their wisdom and experience by your side, you will win. Their lessons are not just lessons for trading. They are lessons for life.”



**Blair Singer**

Best-selling Author, Entrepreneur,  
Founder of Blair Singer Training Academy

“Vishal has put together a guide for anyone who wants to become a trader. As an investor in the stock market myself, I am especially intrigued by how honest and blunt Vishal is when it comes to explaining how the market works. If I had read this book when I had started, it would have knocked sense into me and helped me avoid the painful losses I incurred. As my mentor and role model, Warren Buffett always said, “First, invest in yourself.” This book is definitely a good investment in ourselves as the lessons we acquire will not be taken away from us and will return many folds.”



**Sean Seah**

Best-selling Author of *Gone Fishing with Buffett*

“#CASHTAGS is packed with wisdom, perspective and tactical expertise. It is made up of evergreen base fundamental principles of success, not only in trading and the investing world, but also in life. The book connects to the common man in a way no book on trading has done before. A must-read for anyone who desires to achieve great success in the market.

In times when people are reeling from material with complexities and technical jargons, Vishal and Meghana are looking to create something very simple. They have distilled their years of experience into the practical lessons found in #CASHTAGS. A must-have addition to a novice trader’s bookshelf.”



Gerry Robert

Speaker and International Bestselling Author  
of *The Millionaire Mindset, Multiply Your Business* and  
*Publish a Book & Grow Rich*

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# **Whom Is This Book For? (And Whom Is It Not For?)**

**By Vishal**

The most common question that I am asked is: “How do I make money trading the stock markets?”

I understand that the answer to this question can be very complex. Tons of literature has been written on this subject, which I have grown up reading. These works have been very useful, no question about that. What is available is certainly good enough to learn and understand the process of analysing the markets and building systems to trade them. I am sure a lot of us have explored and realised tremendous value from them.

But what happens when a layman—someone who has never, ever traded a single share wishes to learn something about stock markets and how they work? In a place muddled with too much information, there is no guide or prescribed literature that lays down a roadmap for a novice on how to begin and explore the path to learn trading the markets. People switch from one tool to another and from one system to another, all the while gyrating between the emotions of hope, greed and fear, ultimately leading to confusion and disappointment. They are unable to figure out the missing piece to the jigsaw puzzle. Is it the lack of knowledge of tools and indicators? Is it the lack of risk management? Is it the emotions at work? They get perpetually entwined into the vicious circle of profits and losses.

If you have ever experienced anything like this before, this book is for you.

I wanted to write this book not because I am smarter than anyone else but

because I think there are a lot of people like I was. People may try to model successful traders and investors on a surface level and are then frustrated upon not getting similar results. I hope after reading the book you will realise that your dream of successfully trading the markets is a lot closer than you think.

This book is the product of my 22 years of experience learning to trade the stock markets. What preceded the book are several sleepless nights, numerous disappointments, deep agony and, of course, enormous amounts of trading losses.

The concepts and insights shared throughout the book essentially reflect my own results and the incredible results I have seen in thousands of my students. Having said that, I believe that these principles will transform your trading and investing in a radical way. Implementation is the key. Whatever works, continue doing it; whatever doesn't, you are welcome to throw away.

I suggest you don't just read the book but also study it deeply as if your trading career depended upon it. I may be biased when I say this, but this may be the most important book you have ever read. I understand that this is a very bold statement. But the fact is, this book could be the missing link between your desire to trade the markets successfully and your achieving it.

You might have read other books on trading, watched videos or attended seminars, and learned about numerous systems, be it short-term trading, momentum trading, trend trading or long-term investment. But what happened? For most people, not much. They get motivated for a short while, but then go back to their old ways of trading.

In the pages of this book, let me demystify for you the four pieces to the puzzle of successful trading. You will discover why some people are destined to achieve success at trading and why the rest struggle throughout to get there. You will also learn practical step-by-step systems for increasing your income and building wealth.

### **Three Ways This Book Is Different**

By purchasing this book, you have put your trust in us. I know that you are busy; I fully understand and respect that. It is important for you to know that

I will not waste your time. I am aware that you have a choice, and I am honoured that you have chosen to spend your valuable time with us. Here is how this book is different from other trading books you may have read:

1. **I don't just teach this stuff; I actually do it.** I have seen people making money by teaching trading systems and methods. The difference between me and most of the other people is that I actually do this, for real. I use each of these principles in my life and trading as well.
2. **The stuff is extremely simple.** The foundation of all that I do is simplicity. It is also one of the core values of our training institute. If something has to work and be successful, it has to be simple. It has got no business being complicated. Everything in this book, right from the mindset part to the systems, is remarkably simple. No sophistications.
3. **Every concept and principle in the book is evergreen.** The systems and concepts explained here are not something that will work only in a specific market or for a particular time frame. This is an evergreen guide. It will be useful ten years from now as it is today.

## **Four Pieces to the Puzzle**

I have simplified the trading process into four simple steps given below. This can be classified as the roadmap to trading the stock markets:

1. **Your Toolkit** – This is your arsenal of knowledge from the technical gamut. It answers the question: “Which stock to buy or sell?”

The tools are explained in Section 4 of the book.

2. **Your Trading System** – These provide a roadmap to trade, laying down the conditions, parameters and rules of buying and selling. They answer the question: “Where to buy and where to sell?” or vice versa. Systems bring objectivity to your business of trading. Following them leaves less room for subjectivity and emotional biases. The role of systems in trading can never be underrated.

Systems are explained in Section 5 of the book.

3. **Managing Your Risk** – Risk management is an enormous subject, one

which entails a lot of things over and above what is covered in this book. Nevertheless, for the sake of simplicity I have chosen to call it ‘risk management’ in this book. It answers the question: “How much to buy or sell?” as it also tells you the quantity you need to trade.

In my experience of more than two decades of learning to trade the markets, I have witnessed well-known experts in the field lose money predominantly for this one reason. At the beginning of my career, in spite of fine-tuning my analysis and carving out trading systems for myself, I was still unable to capitalise on the market moves due to a lack of proper money management. I always lost my profits back to the markets. My personal equity curve was extremely volatile. But once I began following the risk management system discussed later in the book, the graph began to get linear, gradually. This is akin to getting an insurance for yourself, which is helpful only when calamities happen; nevertheless, one needs to have it at all times.

Risk is discussed in Section 3 of the book.

- 4. Handling Your Emotions** – This is the most vital part of the puzzle. If one ignores this aspect, one is doomed for disaster in the business of trading. It answers the question: “How do I manage my emotions while in a trade?”

Emotions are discussed in Section 2 of the book.

Notice that the process is explained in reverse within the book. This is due to the order of importance of these steps in the process of trading. As you read further, you will see that, since I consider mindset to be the most important and indispensable factor in the game of trading, I have begun the process with discussion on the mind. Next to that is the risk aspect, followed by understanding basic tools and simple systems.

This book is not as much as learning as it is about *unlearning*. It is important that you recognise how your old patterns of thinking and, if you have some experience, dealing with the stock markets and the investment world have gotten you where you are right now. If you are already successful at trading and investment, that’s fine. But if you are not, I invite you to consider some *out-of-the-box* ideas I have presented in this book.

Finally, if you are ready to change the way you deal with the markets and are willing to adopt a new and radically different approach, then you will definitely move to the next level. Eventually, results will speak for themselves.



## SECTION 1

# A Trader in the Making









## **C H A P T E R   1**

# **A Short Journey Made Long? Follow Vishal's Journey and Shorten Your Learning Curve!**

**By Vishal**

My affair with stock market began when I was 14 years old. I was in the eighth grade then. The school was out for summer holidays, and I began accompanying my father to his office in Kalbadevi, Mumbai. He was a textile merchant. So throughout the summer break, I travelled through the local trains from Borivali to Churchgate. The most dominating conversation I heard in those train compartments was about the stock markets. It was those times when the Indian equity markets had recently witnessed a huge boom as well as a burst due to a scam, popularly known as the 'Harshad Mehta Scam' (or the '1992 Securities Scam'). As a result, the stocks rose beyond measure and unfortunately, came down too at lightning speed. I am not sure why that grabbed my attention though.

While returning home in the evenings, my father, being a passive investor then, used to pick up the *Bhavcopy* (a local newspaper that listed down the prices of all the stocks traded for that particular day). I used to check for him the prices of a few stocks that he held. I found it riveting. The prices of the same stocks moving up and down amazed me. My fascination grew to such an extent that by the end of the holidays I made up my mind on what I wanted to do upon completing school.

I remember feeling thrilled about the idea of participating in this numbers game. Patiently, I waited for the two years to pass by. As soon as I was done appearing for the 10<sup>th</sup> grade final exams, upon finding the right opportunity, eagerly and with bated breath, I told my dad, "I want to do stock trading." He

was surprised, just as any dad would be. The answer was a plain “NO”. But I persisted, much like an obstinate teenager.

So in a bid to stay closely connected to the stock markets, I enrolled at a college which was at a nearest distance from the building that housed the stock market—K. C. College. My eyes popped the first time I saw that building! I vividly remember the view. My heart raced fast as I entered it. The journey had begun.

## **Rags to Riches to Rags**

Throughout the five years of my education, from 1995 to 2000, I visited that building every single trading day. I used to sit at the office of one of my uncles, who was around the age of 40 then. He used to trade the markets technically using raw charts. In those days, technical traders noted daily numbers and prices on a sheet of paper and did some calculations on open, high and closing prices. He taught me some of those calculations. During most of my first year there, I only observed how the markets moved, entirely mesmerised by its movements. I observed the people there. After a while, I began maintaining a journal where I used to record open, high, low and closing prices of certain stocks. I remember tracking stocks like Reliance Industries Limited (RIL), Tata Motors Limited, Tata Steel Limited and State Bank of India. Eventually, my inquisitiveness took over. I got eager to trade. Garnering much-needed courage, I walked up to my dad and popped the question with audacity. Post numerous hours of discussion, opposition and arguments, he finally said, “Here is 10,000 rupees for the mindless gamble that you are so insistent upon doing. If you lose this, that’s it! That’s over for you then.”

|                                                                            |
|----------------------------------------------------------------------------|
| I ended up paying for their losses, which resulted in huge personal debts. |
|----------------------------------------------------------------------------|

Thrilled, I began trading with the simple tricks I had learnt from my uncle. I committed some beginner’s mistakes. And as fate would have it, I ended up losing every penny of those ten thousand rupees. But that short stint got me hooked on to the stock markets totally. I made up my mind to study this further. I began maintaining my calculations on paper and did mock

trading (sample trading, not real) for several months. Finally, I felt confident (or so I thought), and I wanted to begin to trade again. In the absence of money, I traded at bucket shops—unofficial markets where you don't pay any margin amount. You just pay for or receive your losses or profits over the weekend.

I began to love it. I followed just one simple strategy: Buy in the evening when the market closes and sell in the morning when the market opens or vice versa. I traded this consistently for two years. By the time I reached the third year of my Bachelor of Commerce degree, which is the official graduation year, I had made a whopping INR 2,000,000 (USD 29,850)! I was exhilarated. People called me the 'Trading Prodigy'. They began asking me the hows and whats of the game. My friends too got inquisitive and insisted to join me.

This was 2000, the year of the dot-com bubble—time for another boom and crash. Information Technology (IT) stocks went berserk and subsequently crashed with the same speed. This crash took away most of the money that I had made. My friends, who had been trading without their families in the know, experienced humongous losses too. To exacerbate my woes further, being a broker for them, I ended up paying for their losses, which resulted in huge personal debts. Obviously, this infuriated my parents. Thus, much to my dismay, I was thrown out of the stock markets. My dream seemed to be shattered.

## **Divine Plan at Work?**

Life continued. Post-graduation from college, upon failed attempts at entering the top management colleges in the city, I settled with a part-time diploma in sales and marketing from the Narsee Monjee Institute for Management Studies (NMIMS) for the time being. This landed me in a sales job at Cadbury, a British multinational confectionery company, as an institutional salesman. I sold gift hampers stuffed with confectionaries to corporate houses. Six to eight months into that job left me intrigued. I found this business very lucrative. Putting my marketing lessons to work, I began my own corporate gifting venture along with a friend. We were in need of a small office premise to run that business. Another friend came to our rescue,

offering a part of his office at a nominal rent. And it turned out that the other part that belonged to his dad housed a business of stock trading! A divine plan at work?

So here I was, running the corporate gifting business with stocks being traded in the next room. It was 2004, just about the time when the markets were beginning to make new highs. I still remember the feeling of my heart racing at the sound of cheer and excitement pouring in from the next door! I was back into the markets, this time—to stay forever.

## **Making Discoveries on My Own**

I started trading again, much to my parents' disappointment. I made a few trades, with the old lessons I had learnt and a few others, with tips and calls. I wound up the gifting business soon, resolving at the same time not to repeat the mistakes I had made in 2000. I made up my mind to learn, and that too from the best in the business. I enrolled for a technical analysis course from the Bombay Stock Exchange which was conducted by Dr. C. K. Narayan, one of the renowned technical analysts in India (featured in Section 6, Meet the Trading Legends). Extremely driven, I began learning price movement on charts. Little did I know that there were more lessons in store for me.

I was trading with my newly acquired knowledge. Also, in partnership with a friend, I began managing money for people. This friend connected me with some mutual fund guys who provided us with 'tips' to trade. The year 2004 was a time when the markets were moving up. But in a small fall in May 2004, the positions that we had created into client accounts began losing money. The mutual fund guys were very confident and hence, *tipped* us to continue holding on to our losing positions, assuring us all would be well in a short while. But the markets continued to slide. And instead of applying my new learnings, I depended upon their tips to manage our positions. It grew worse. Eventually, the clients instructed us to book all the loss and to discontinue the business as well.

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| <p>The loss of my reputation was bigger than the loss of money.</p> |
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My career seemed to be declining to its nadir. The loss of my reputation



was bigger than the loss of money. This was not going to work. I had to find my own way—a way that did not lead me back to failure, a way that I could depend upon for the rest of my life.

It was clear to me that if I wanted to create great results at trading, I had to educate myself further. I began digging deeper into the subject. I started reading books, listening to podcasts, watching videos and attending seminars and webinars. Some books deeply influenced me, *Market Wizards*, by Jack Schwager (featured in Section 6, Meet the Trading Legends) being the one that had the greatest impact. In this book, Schwager interviewed the top traders of the world. It is incredible to see the similarity in their mistakes. I could identify extremely well with them, having made the same mistakes myself. I started managing money with my own knowledge, following no *tips* any longer. Also, I registered as a sub-broker with one of the leading broking houses.

I was doing just about fine. Though I didn't make huge amounts of money, I also didn't lose a lot either. I wasn't happy with the results, but I continued in this game. This was the groping phase where I was discovering my own strengths and weaknesses as a trader. It was a time filled with immense learning and self-discovery. A foundation was being formed within, without my being consciously aware of it. The markets kept swinging from highs to lows, and so did my trading accounts. The year 2006 once again witnessed a fall in stocks. And I lost money again.

Making money and retaining it seemed mystical to me at that point. I was desperate to find a way out of this loop, which had been going on since 2004. I went deeper into my own analysis. What was it that I was missing? I had to crack it.

## **Market Crash of 2008—The Defining Moment**

I intensified my learning, never missing an opportunity to learn from the experts. I researched the tools that I loved in detail. The year 2007 was one of consolidating my learning, sharpening my axe. The markets were once again trading at their highs at that time. The Sensex had moved from 4,000 to 21,000, and Nifty from 2,500 to 6,300! By then, I was gradually beginning to gain confidence in my analysis. I had begun publishing reports of analysis

online. Based on my then existing knowledge, I noticed that the market momentum was getting weak. Global markets had already begun correcting themselves, but the Indian markets were still moving up. This was mainly due to the immense euphoria that was created in the mid-cap and small-cap stocks, particularly because of the Reliance Power Initial Public Offering recently listed on the stock exchanges. The extent of euphoria was so intense that every damn person, including the *panwalas* (a person selling betel leaf and other refreshments) and *chaiwalas* (a person selling tea/coffee) were heard asking for Demat account opening forms! Everyone wanted to get into the frenzy; they all wanted to buy stocks. This demand sent the stock prices spiralling into danger zones. Markets were due for a major change in trend.

I made a report of my analysis, much to my desperation. Nevertheless, I could not garner the courage to publish the same online, for fear of being ridiculed. Maybe I felt this way because I was not a known name in the technical fraternity at that time. I did not own a website or run a training institute, nor had I been invited by the media to share my opinion, ever. These things kept me from publishing my radical opinions back then.

On 12 January 2008, Martin Pring, renowned guru on technical analysis, visited India to conduct a workshop. I had read his books and was very fond of him. Having written the best material on technical analysis, he is one of the few great trainers in this field to date. Towards the end of the seminar, a participant asked him, “What is your opinion on the Indian equity markets?” He opened the world markets’ charts—the United States, Asia and then India, casually mentioning that the Indian markets can correct anytime by a minimum of 15 to 20 per cent. That statement was music to my ears! Here was a confirmation of my analysis. I went ahead and published the report. Within a few days, the markets crashed from 6,000 to 4,500. That was the turning point of my life. Finally, for the first time in my life a market crash had left me feeling ecstatic!

## **Malkansview Is Born**

Upon returning from the Martin Pring seminar with a validation of my analysis, I immediately shared this experience with my colleagues who pooled trading space with me at the broker’s office. A few of them were

proprietary traders, whereas others managed money for people. I advised them to reduce their positions at the earliest available opportunity. But they bluntly refused to do any of this, seemingly confident that the indices would soon touch new highs.

But as fate would have it, on 21 January 2008, the markets crashed down by 10 per cent. Then on 22 January, they went down by another 10 per cent. There was a bloodbath across the street, so to say, not only in India but also the world over as the global indices followed suit. People lost massive amounts of money, including my friends and colleagues. It was a tough two days at work.

I was saved from the disaster for a change since I had no positions on the long side. It felt like a eureka moment to me. This was the first time in over decade that I did not lose money in a market crash.

Four days following the crash, on 26 January 2008, the Republic Day of India, I received the news that one of my colleagues, named Dheeraj (his name has been changed to protect his privacy), had committed suicide. He was only 33 years old. His family was devastated. It turned out, the losses that he incurred due to the crash had mounted up beyond his capacity to pay for them.

It was tough going to work the next few days. I lost my sleep and appetite. The thought kept haunting me all the while, like my colleague Dheeraj, there would be many more people in the world who might have met the same fate. It made me wonder: *Is the stock market only a game of money? Or is it much more than that?* I guess it is. It is the game of life.

I realised then that all the knowledge I had gathered in the last ten years, making all the blunders in the stock markets, had a greater purpose after all. I decided, in January 2008, to share my knowledge with as many people as I could. It is for this reason that Malkansview was born.







## **C H A P T E R   2**

# **From Corporate Law to Being a Trader—Switching Made Easy!**

**By Meghana**

## **Marriage and Partnership Paved the Way**

The words ‘stock market’ always meant a gamble to me. I had my roots in law, having undertaken its study post my graduation in commerce as well as a degree from the Institute of Company Secretaries of India. I felt blessed to have taken a corporate job in the legal department of a United Breweries Group company. I was doing what I loved. Life seemed perfect.

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| <p>Aren’t stock traders supposed to be gamblers?<br/>I thought.</p> |
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And then the disruption occurred. One beautiful morning in February 2006, while my parents were going through a few marriage proposals that had come in, a peculiar one caught their eye. It was from family friends—the Malkans. Their son was looking for an alliance. He was a management



graduate by qualification and a stockbroker by profession. A stock trader? Aren't stock traders supposed to be gamblers? I thought. Nevertheless, I agreed to meet the guy upon my parents' insistence.

Meeting Vishal was a pleasant experience, barring the fact that he was a stock trader. He traded the Indian equity and commodity markets for a living. I translated this information to mean that there was no fixed income, or perhaps sometimes no income at all! That was difficult to comprehend. So I turned down the proposal, much to my parents' disappointment.

For the next three months both Vishal and my parents tried their best to make me change my mind. Vishal and I met several times, but each meeting culminated in my refusal to change my mind. I still remember, one fine day, asking him for a proof of his earning each month. I wanted to know whether he was making any money at all gambling the stock markets! He came up and showed me one of his contract notes that indicated a profit, but I was still far from convinced. Though he had me bowled over with his ingenuity and candour, the profession still remained a concern. Gradually I gave in to family pressure—my parents were too keen due to the family friendship—and decided to go ahead.

As I practised, the charts started making sense to me.

My job had turned more hectic by the day. There were crazy schedules to keep up with. I ended up working 12–14 hours on four out of six days every week. It was vexing. My travel had increased too. No wonder, then, once the wedding dates were finalised, that I decided to take a break from work. Why enter matrimony with this pandemonium?

Post marriage in January 2007, life became a void. I went from working long hours for seven years in the corporate world to doing nothing much at all. I used to watch Vishal study the markets on something that seemed like graphs. An occasional comment would follow: "What is there to study here? Anyways, it's a 50 per cent probability game." Nonetheless, he was too passionate about those graphs to pay heed to any of my comments. He offered to teach me how to read those graphs, just so that I could understand

what he did. Well, maybe that's not a bad idea after all, I thought. I could do something worthwhile with the time at my disposal.

I signed up for a programme that taught us to learn about and decipher these graphs. With no prior background in something even remotely related to numbers, I felt completely out of place. They called these graphs 'charts'. It was interesting to know what these charts showed. They contained the history of price movement over years. This helped one analyse the future movement of prices. It was fascinating indeed, especially to someone who had studied nothing but sections of legal acts all this while. As I practised, the charts started making sense to me. I got inquisitive to know more, just as a child would upon discovering something new. I began to read them every day along with Vishal. He nurtured my curiosity. He got me books to read, spent long hours checking my practice sheets and answered my inane questions. And he did all this while continuing to do his own research and reading all along.

I still feel the tears trickling down my cheeks  
upon booking a loss.

He saw me having fun with what I was doing and encouraged me to learn further. I enrolled for the advanced programme. The more I discovered about the charts, the more sense they made to me. I began reading fervently on the subject. I read about people across the globe who had become successful traders using charts to trade. All of this got me pumped up about the trading game (I still used to call it a game then!). I could no longer resist the temptation of putting these techniques to work. I opened a trading account for myself with my few months' salary and began trading. It sure was a roller-coaster ride as it began. In spite of trading small, there were the trades, the risk, the profits and losses and, above all, my emotions—these were quite a bunch for me to handle back then. I still feel my heart beating fast with exhilaration upon booking those small wins. I still feel the tears trickling down my cheeks upon booking a loss.

But, I persisted. I gradually found myself shelving the decision of getting back to work. It sure was getting interesting here. The countless myths that I had about the stock markets were gradually shattering away. I began

discovering a whole new ‘me’ every day. My profit and loss account resembled a series of peaks and troughs, but I was learning. Of course, it did help to have a mentor in Vishal—someone who had been through the process and committed all the mistakes a trader could possibly commit. I guess that’s the reason behind the short learning curve that I have had. This was the time that a coach was born in Vishal, much to his ignorance.

## **The Full-Fledged Dive**

I was trying to consolidate my understanding of the price, volume and momentum principles. I focused on consistently following the systems and methods. I tracked the entry, stop loss point and exit point—one trade at a time. But I realised that I lacked consistency. From what I had been reading of successful traders, I felt my progress was just too protracted. I could do better. Something was lacking, but I failed to understand what it was. While every profitable trade made me happy, every losing trade made me want to go back to my earlier profession. These swings in my account also mirrored my relationship with Vishal. The frustration and dissatisfaction built up sooner than I realised. I couldn’t find a way out of this hornet’s nest. One day, while I was discussing this with Vishal, he described an interesting concept.

He cited an example of a prison cell. There are two types of prisoners who enter a cell—the first type being those that come to serve a short term, may be a year or two, and the second type being the ones who serve life sentences. The latter are called ‘lifers’. What is the mindset of them both at the time of entering the prison cell? What is each of them thinking?

Someone who enters the cell to serve a shorter term probably awaits the day of his freedom from the time he enters the cell. He doesn’t adapt to the new environment, new people and the new way of life because he knows that all these are temporary. However, for a lifer, the cell signifies his home for life. What is he thinking? He enters the cell, never to go back out again. He has no choice but to accept the place as his home for life, and he therefore gradually begins to love the place. He begins to get comfortable with the environment in the prison cell, decorates the place, makes new friends and so on. He begins to accept the changes in his life, knowing that they are here to

stay.

Damn! An epiphany struck me as Vishal narrated this! I had to be a lifer! How could I have missed it all this while? I had never regarded the change process as *permanent*. This change was my life; it was here to stay. I might as well accept it and decorate the place. Perhaps this shift in mindset was all that I needed then. It brought about a renewed sense of energy and enthusiasm to my learning efforts.

December 2007 witnessed the markets forming some good trends on the upside. And then I had it! By the middle of the month, one of my trades yielded me a profit of INR 38,400 (USD 570). This was half the salary I made at my job earlier, working ten hours a day. It left me pondering, *If I could make this money trading the stock markets, do I really need to get back to work full-time? If I could capitalise on this new-found learning and make a decent amount of money for myself, why not explore this for a year at least?* I was excited and so was Vishal (maybe ten times more than I was). I finally took the call to terminate my career in law. Neither of our parents supported this decision. They despised the idea of both of us being into stock trading (read unstable income). Nevertheless, I had to give this a try.

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| I had to be a lifer! How could I<br>have missed it all this while? |
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The next year, 2008, was filled with ups and downs, but I was trying to find my feet as a trader. The best part was, I was enjoying the process of self-discovery and overcoming my own inhibitions. I now began to proudly introduce myself as a proprietary trader to the people I met. I was completely thrilled with my new-found freedom—no long hours at work, no exhausting travel in Mumbai local trains, no boss to answer to. Though the money I made wasn't a steady figure every month (it never will be), the faith that had been built over time was strong enough for me to stick to my decision. The tremendous amount of reading I was doing then helped me immensely.

Looking back, I wish I would have discovered the same freedom in December 2004, when my childhood friend tied the knot. I could not manage to get the much-desired leave to attend her wedding ceremony because of an

important hearing scheduled in the High Court of Bombay. What a terrible thing to have missed witnessing one of the most important days in your friend's life. This regret persists in my life till date. This has been one of the major reasons for me to believe in sharing the same knowledge and freedom with others.

This is how I joined Vishal in his mission to impart this knowledge to people, not only to give them the freedom of time and money but also the freedom of choice.

Since then, Malkansview has grown by leaps and bounds, changing the lives of thousands people across the world, many of whom have left their corporate jobs and changed their profession from either doctor, lawyer, chartered accountant or homemaker, to become a professional trader or an investor. This brings humongous satisfaction to us both.









## SECTION 2

# Lessons of the Mind

By Vishal



Human emotion is both the source of opportunity  
in trading and the greatest challenge.  
Master it and you will succeed.

—CURTIS FAITH





## CHAPTER 3

# Why Mindset?

By Vishal



The key factor that drives the stock market is NOT INTELLIGENT ANALYSIS... It is HUMAN EMOTIONS.

—JESSE LIVERMORE



Jay had been trading for many years when he first came into one of my seminars. His problem was, he was not able to see consistent profits into his account. When he came to see me after one of the sessions, he shared his systems and strategies. They looked simple and were sufficiently tested. When I asked him, “These seem fine. So what holds you back from making money?” He replied, “I know my set-ups are fine and I am comfortable trading them. But I am unable to follow them consistently. I do manage to take the trades sometimes, but in other instances, I cannot take action. At times I exit too early or wait too long. I am confused on why I do that in spite of knowing that it all works fine.”

Jay was facing what most of us face each trading day. Everything seems fine, but once the emotions set in, the whole game changes.

The role of emotions in trading cannot be underestimated. Markets are completely a game of the mind. This is because they are traded by humans. It is us humans who are the market. And we are all emotional beings who crave excitement and entertainment all the time. We seek these in all our endeavours. Certain actions such as buying lottery tickets, going on holidays, visiting adventure parks, watching theatre and movies and so on show our addiction to craving excitement in our lives. Most of us find our lives very boring. It is these things that provide the much-desired thrill. Trading is exciting too. The red and blue ticks on the trading terminal, the unknown outcome of a trade, the profits and losses are all very thrilling. However, these are expensive thrills to go for. It is this need for a thrill that makes us

indulge in emotional trading, which eventually becomes an addiction. And this addiction can scale up to such gravity that even while losing money trading, you still feel the thrill.

Markets are the most entertaining and thrill-providing opportunity ever. Taking decisions based on emotions can be very lethal. If you ever go to watch a game of cricket, just observe the spectators closely. The best display of various emotions is visible there. People emoter anger, joy, frustration and disgust. This is exactly what happens in the market. But, unfortunately, there is no money to be made in emotional trading.

I have learnt this lesson the hard way. While I was learning the chart set-ups, all the while trying to discover and build my systems, I was completely unaware of the role of emotions in trading. In the wake of a trading blunder, I would keep changing or tweaking my set-ups and systems to make them better. It never dawned on me that it was my own emotions that held me back all the while. Once I realised that and began working on my emotions instead of my systems, my profit and loss account began to change for the better.

It is this need for a thrill that makes us indulge  
in emotional  
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## CHAPTER 4

# Why Do People Lose Money? (And How to Ensure You Are *Not* One of Them!)

By Vishal

“

If you get the inside right,  
the outside will fall into place.

—ECKHART TOLLE

”

## **Transforming Your Most Important Operating System—Your Mindset**

As the legend goes, on average most people lose money trading the stock markets. This would make a pessimist think that it is not possible for him to fall within the minority money-making crowd. But all the money lost by the majority goes to this minority crowd. And the most astonishing fact is that most people from the majority crowd have no clue about the markets and their functioning. They have been trading merely on gut feelings, news, tips, rumours and so on. It is not that the minority crowd who makes the money is an extremely savvy lot. They know just a little bit more than their losing counterparts do. However, it is my contention that this little bit of knowledge is extremely simple and easy to understand. Being in the minority money-making crowd would thus mean holding an optimistic view.

It is interesting to understand the role our emotions play in our trading decisions. The way the market functions and the way our brain functions are completely different. Both operate in environments that are diametrically opposite to each other—with nothing in common between them. Let us say they are two different operation systems. The trading strategies and systems that you learn are related to the markets. When you try to insert these into your mind, they do not work. That is the reason why most people are unable to make money by trading and investing in spite of having the right strategies in hand, most of which are available for free on the Internet. It is therefore

imperative to focus first on changing your operating system so that your mindset is compatible with and receptive to the strategies and systems.

I realised that I did not need an entire army of tools or systems.  
I just needed to work on my mindset, so that a simple trading system, such as a trend line or a moving average, could make money for me.

Changing this operating system takes time. One cannot do it by merely attending a workshop or seminar. It may take longer, sometimes years. While I was learning to trade, I began with a few tools and indicators. Gradually, as I began to get better at it, I realised that these were not enough. So I began to learn more of them. I kept piling up my knowledge with more tools, thinking that what I knew was not enough to make money. Ultimately, though, I realised that I did not need an entire army of tools or systems. I just needed to work on my mindset, so that a simple trading system, such as a trend line or a moving average, could make money for me.

With this realisation began my journey of changing my operating system. I began attending seminars and workshops, not on trading but on self-development. This helped me change my mindset to a large extent. I went from being the aggressive, short-tempered person that I had been earlier to mellowing down to becoming more peaceful and humble.

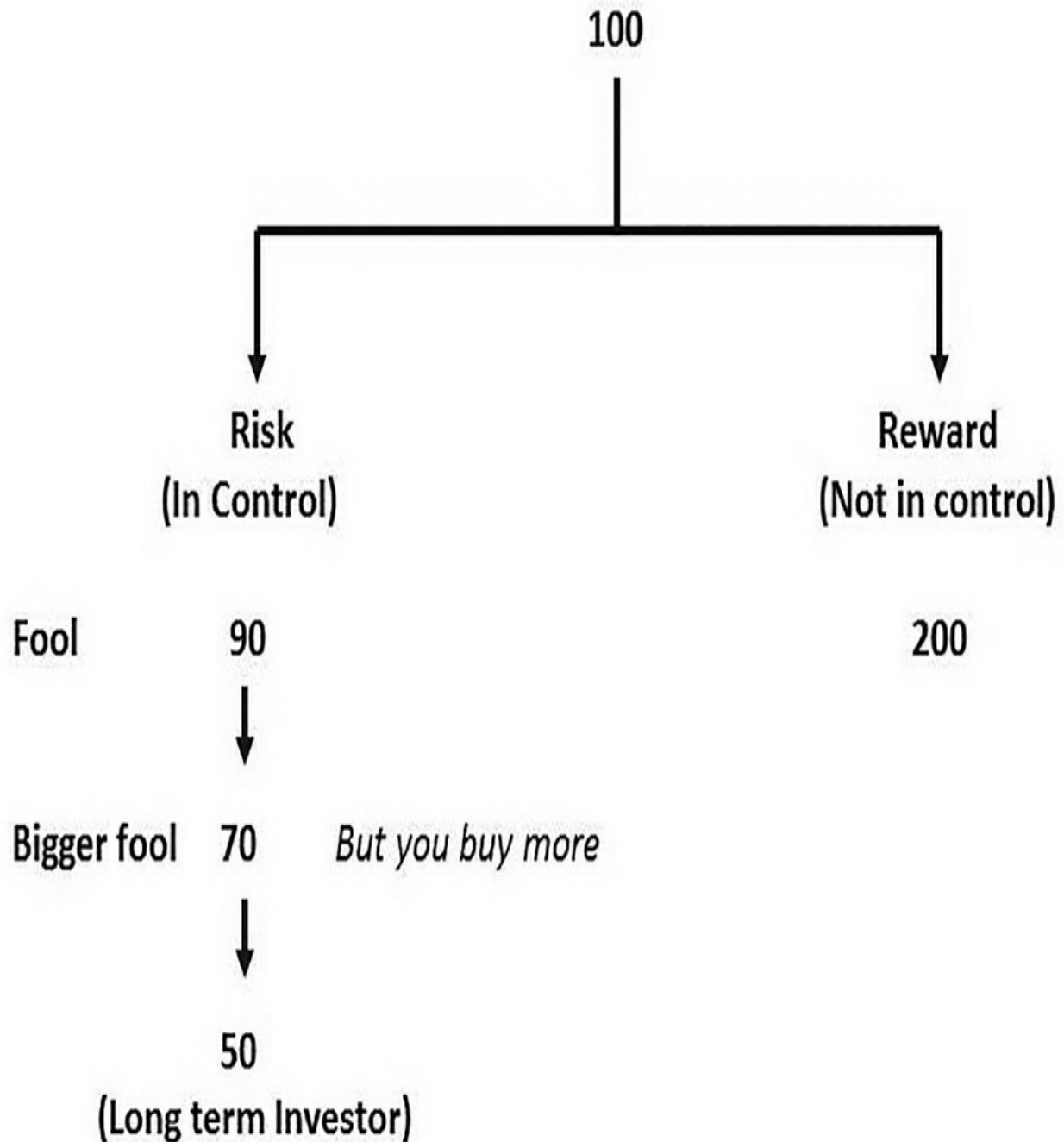
## **Characteristics of the Human Mind**

Having understood the need for changing our operating system, let's first understand our mind. Whatever we have learned since childhood from the environment around us is stored in our mind. But many of these principles are radically different from those that will help us survive and thrive in the trading environment. A few of these are the following:

### **1. Avoid Losses**

We always believe in avoiding losses. Let's suppose you buy stock A at INR 100 (USD 1.49) per share upon an expert's advice. What question would you

generally ask an expert after making the purchase? The most probable question would be: “What is the target on this trade?” Let’s assume that the expert says the target is INR 200 (USD 3) per share. Now, can he guarantee the price of INR 200 (USD 3) per share? Can anybody guarantee that the stock will rise to this price?



**Figure 1 – Fools’ Prophecy**

This proves that the reward that one can make upon his trade/investment is never in his control. So what is it that we can control? For instance, if stock A declines to INR 90 (USD 1.34) per share, can anyone hold you back? Can your broker tell you that you cannot exit at this price and that you need to hold on for profits? Nobody can stop you from booking a loss on a trade. This means the risk is always in your control.

When you make a loss of INR 10 (USD 0.15) per share in this trade, the market is saying: “You are wrong!” Now, do I like to hear that I am wrong? Would you like to hear that? Certainly not. So you conveniently pretend to not listen to the market’s message. You shut your ears to it and justify your action, saying that this could be a temporary move due to XYZ reason. Once the market settles down, the stock will rise again. So you do not book a loss then. The stock continues to spiral down to INR 70 (USD 1.04) per share. At this point, the market is trying to convey that you are probably a fool! And since we hate being addressed as fools, you once again try to justify your actions. You retaliate, saying: ‘You are telling me that I am a fool? Let me show you how intelligent I am!’ You then conceive a brilliant idea of buying more shares at INR 70 (USD 1.04), the rationale being that averaging at a lower price will work in your favour when the market moves up.

In this entire process, the only thing that has been in your control is the risk. But what is riskier here? Are the markets risky or is the mind risky? If your answer is the latter, you are right: It’s the mind that is risky. This is because risk was always in our control, throughout. Then why do we say that the markets are risky?

Let’s take this example a little further. The price of the share eventually plummets to INR 50 (USD 0.75) per share. If you are attentive to market’s message to you, it is probably saying, “I don’t care. Go to hell!” You revert with, “I am a long-term investor now. I will hold on to the stock. Its fundamentals are very good.” And this is how most traders turn into “long-term investors”. They become so by default and not by choice.

We have always been instructed to avoid losses. However, this trait serves no good purpose in the marketplace. In the process of avoiding losses, we incur bigger losses. One of the best ways to make money is easily written off as one of the riskiest ways to do so. We need to understand that the markets

are never risky, but it is the difference between the markets and our mindset that makes us perceive them as such. The markets are never going to change for us, so we need to change our mindset to adapt to them. You can never control the rain outside, so it makes no sense to worry about it. The only thing in your control is to carry an umbrella. If it rains, you open the umbrella. If it doesn't rain, you don't. But you cannot stop the rain.

In the above example, stock A may rise to INR 200 (USD 3) or INR 400 (USD 6) or even to INR 1,000 (USD 14.93) per share. It does not matter. The only question you should ask before buying a stock is, "What is my risk here?" because risk is the only thing that you can control.

In the process of avoiding losses, we incur  
bigger losses.

**Affirmation—I will control my losses.**

## **2. Buy Cheap, Sell Expensive**

We learn in childhood that we should buy things cheap, save money, go for discount offers, bargain for the best possible price and wait for sale clearances or any type of discount—whatever will save us money. And that is how we bid in the stock markets too.

For instance, I ask you to buy a stock from the auto sector. From this bunch, you find an Ashok Leyland that is declining versus a Maruti Suzuki that is rising. So upon being asked to buy an auto stock, your mind—based on its childhood conditioning to buy things cheap—will buy Ashok Leyland. You may not buy Maruti Suzuki because it is expensive.

If the markets are moving up along with the individual stocks too, but Ashok Leyland is moving down, what does that mean? It means that something is wrong either with the company or with its fundamentals, or with the management, or something else which may be responsible for its price decline. However, things are going right for Maruti Suzuki, which is the reason why the stock price is moving up. So ideally one should be choosing to buy Maruti from this sector. But our childhood upbringing says you should

buy things cheap. But the cheap gets cheaper, eventually. So when it comes to the stock markets, one has to be ready to buy things expensive.

One of my favourite strategies is to buy a stock that makes an all-time high. This means that the company is doing the kind of work it has not done previously, which is why the stock price is making a new high. This would definitely be expensive compared to another stock which may be cheap. Then why do I buy this? Because I know that the company is doing well and therefore its price is moving up. The market is telling me that I should buy this stock because it is moving up. You always want to buy the best stock, and the best is always the one which is moving up.

Most people try to buy a stock that is going down, thinking it's a deal. When the market is moving up, it is telling you: I am going up. When you buy based upon this indication, it means you are listening to the market. This means your chances of making money are higher.

When you buy a stock that is going down, you are trying to tell the market: *Go up because I am buying*. This will never happen. Of all the forces interacting in the marketplace, you are a small player. You do not move the markets. You have to move along with the larger players that do so—mutual funds, foreign institutional investors, domestic institutional investors and all the other institutional people who transact in large quantities. They are responsible for the price movement. The fact that they are buying in large quantities means that they are aware, based on their research, that the company is doing good. As laymen we just need to follow them. We are the small fish in the ocean. We cannot fight the big fish. Following them would serve us well instead.

When the market is moving up, it is telling  
you:  
I am going up. When you buy based upon this  
indication,  
it means you are listening  
to the market.

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**Affirmation—I do buy expensive and sell cheap.**

### **3. Never Give Up**

The old adage “never give up” is regrettably of no use when it comes to stock markets. Most of the time, when I recommend a stock to someone, seldom is the default question that pops out: “What is the target on this trade?” I have very rarely heard people ask the counter question: “What is the risk on this trade?”

Return is never in our control. Only risk is in our control. Once we buy a stock, the first thing we ought to ask is: “What is my losing limit here?”

Here is an example. Neil used to trade stocks regularly. Usually, most of his trades were recommendations from his friends and/or well-wishers. He once bought a stock at a price of INR 320 (USD 4.78) per share. He was told that the target price would be INR 720 (USD 10.75). He obviously never asked, “What is the stop loss in this trade?” The stock rose to INR 350 (USD 5.22) after his purchase. He was thrilled. But after a few days the stock began to decline. It fell much below his purchase price, to INR 260 (USD 3.88). Neil waited, thinking that this could be a normal/healthy correction. At this point, the market was telling Neil: “You are wrong.” But he never paid heed since his gaze was fixed upon the target all the time.

The stock continued its decline in the following days. Neil never sold the stock, eventually turning into a long-term investor.

Since childhood, we have been taught inherently to never give up. This is exactly what shows up in trading, where we do not give up on a stock. However, in the stock market one has to learn to give up—and the sooner, the better. We need to book a loss upon the earliest indication that we are wrong. This frees up not only our capital but also our mind. Opportunities will never cease to show up.

**Affirmation—I give up on losing trades at the earliest.**

### **4. Ego**

The third characteristic leads to the fourth one—the ego. Each of us possesses



an ego, which makes it difficult to accept and acknowledge our absurdities in the game of trading. Upon losing money in a trade, one would easily come up with something like the global conditions are bad or my dealer is inefficient or my friend told me to take this trade and so on. All the while we are trying to blame somebody because our ego refuses to allow us to accept our own mistake. Ego does not work in the marketplace, though. For instance, in everyday life if someone does something that does not appeal to you, you might say, “Why should I do this? Let XYZ do that.” Similarly, when a stock you buy moves down, you cannot say, “Why should I book a loss? Let the market come up.”

Since childhood, we have been taught inherently to never give up. This is exactly what shows up in trading, where we do not give up on a stock.

This will not work because markets do not care about your welfare. It is a collective human force which you cannot fight. You only need to follow and obey. When wrong, you need to book a loss, leaving the ego behind. One cannot and should *never* try to manipulate the markets.

Humility is the key. If you lose money, accept that you are doing so and book a loss. Then come back and continue trading. Dropping your ego while trading also helps you drop it in your life overall. One can never say, “I will keep my ego at bay only while trading; otherwise, I am fine with it.” While trading, you may book losses and trade well, but otherwise, you are fine just the way you are.

That’s not possible.

It isn’t about money but about the person you become. That is what I have discovered.

To become a better trader, one may need to bring about a profound change in one’s personality. And that is what makes this journey the most interesting and fulfilling, more than what one has ever experienced. It isn’t about money but about the person you become. That is what I have

discovered. That is also what the students who get coached under us discover. They not only become financially free but also better human beings—a better father or mother, a better husband or wife, a better son or daughter. This transformation is way more important than trading, I believe. It makes this journey more interesting than anything else.

**Affirmation—I am humble in accepting my losses.**

### **How Jitendra Got #Cashtagged**

Dear Vishal & Team,

My objective to learn to trade was that I did not want to continue working at my job. I wished to do something on my own. My search led me to your programme “Anybody Can Trade™” and, eventually, the “TraderinMe™”<sup>1</sup> programme.

Now after having gone through the “TraderinMe™” Programme, I don’t care what kind of money I make because my core purpose in life, which I framed while in the programme, is much above that. I am ready to do whatever it takes. It’s kind of become a part of myself.

The programme has brought about phenomenal changes in my personal life. The quality of my relationships has improved phenomenally. Above all, this coaching has helped me build the right attitude. As a chartered accountant with subscriptions to three business newspapers, upon learning from the programme, I realized that all those subscriptions are not for me anymore. Earlier, I used to read for the sake of reading, but not anymore, as reading is now a part of the assignments of the programme. Consequently, my home houses a big library now.

My first big profit of more than a lakh rupees in a single trade with just one lot taught me what it means to believe in a set-up and making the process of trading boring. I had been out temple trekking in the forest with no connectivity, and the system was doing its job. Thank you for all your teachings on cultivating the right mindset, which is so essential in this business. I now

feel more confident in my analysis and trades.

—Jitendra BG

<sup>1</sup> **TraderinMe™ Program was earlier known as The Mentor Program.**  
**System Reboot**

Changing your operating systems means you need to work on yourself to bring about the desired transformation.

One needs the right information to create this transformation. As most would realise, there are two kinds of information—informative and transformative. Learning tools, techniques and systems are informative in nature. You may master these by reading books, watching videos and practicing the concepts. In contrast, learning to change one's mindset is transformative because you can never admit to having mastered your emotions once and for all. You need to keep working on them over and over again. We therefore focus more on emotions and mindset at our training programmes. Even in our coaching programme “TraderinMe™”, a considerable amount of programme duration is spent on working upon a participant's mindset. My intention is to teach you how to keep doing this as a continuous process because I believe that this work is perpetual. I too keep attending seminars, workshops and coaching programmes on a consistent basis to keep working on my own self. I have attended trainings offered by the finest in the business—T. Harv Eker, Robin Sharma, Brendon Burchard, Anthony Robbins and many more, either in person or online. I choose to constantly work on my mindset so as to become a better trader. Working on one's mindset takes significant a amount of time, commitment and effort; nevertheless, the transition is inevitable. All you need to do is to be in the zone of *Whatever It Takes*.

If you are merely interested, you will do  
what's convenient,  
but if you are committed, you will do  
whatever it takes.

## Whatever It Takes

There are two kinds of people—the winners and the losers. How does one differentiate between the two? I do that in a simple way. I generally conduct seminars and workshops across the Metro cities in India. On average, about 50 per cent of the participants at each of these workshops are from outside the particular city, who I believe are the ones ready to do *whatever it takes*. At the same time, someone from a smaller town would randomly enquire whether we would conduct the same workshop in his town, in which case he would like to attend. These guys will only do *whatever they can*.

If you are merely interested, you will do what's convenient, but if you are committed, you will do whatever it takes. If I want to attend a workshop by world-renowned personal development coach, Tony Robbins, will I wait for him to conduct the same in India? One never knows when he may do so. But if at present I want to attend the seminar, I will go all the way to either Singapore or Hong Kong or London, wherever he chooses to conduct the same. Distance should never stop you from learning. If a two-hour flight can stop you from achieving your dreams, then everything in life will stop you from doing so.

‘Whatever it takes’ is a common term within our student fraternity, be it reading books, back-testing assignments, taking trades or maintaining a trading journal. Whatever it takes is an attitude which can be developed. Once you have this attitude, it gets into your subconscious mind. You will then always do whatever it takes, be it following a trading plan, managing your risk, or maintaining a cool and calm temperament.

All of our self-talk, our internal dialogue, is a stream of affirmations.

## Affirmations

I got into the habit of using affirmations a few years ago. These are statements of the existence or the truth of something. When repeated, they influence the subconscious mind and activate its powers. As the late Louise Hay, the incredible visionary, said, “Your point of power is always in the present moment, where you plant the mental seeds for creating new

experiences”. We are free to choose our thoughts and the words we speak. A lot of what we normally think and speak is quite negative and fails to create good experiences for us. As the visionary Hay said, “Every thought you think and every word you speak is an affirmation. All of our self-talk, our internal dialogue, is a stream of affirmations. You’re using affirmations every moment whether you know it or not. You’re affirming and creating your life. Let’s then use this power to our advantage. Let’s use it to create the right attitude that yields positivity and prosperity.”

A few affirmations are highlighted throughout the chapters of the book. My request is, whenever you see one appear, place your right hand on your heart, take a deep breath and say the affirmation out loud. Repeat twice.

**Affirmation—I do whatever it takes.**

These are positive and powerful statements and beliefs. My suggestion is to repeat them daily for 21 days, for the best results. You will experience an enormous change.



## CHAPTER 5

# Method for the Madness Called Markets

By Vishal

“

Never argue with the market. Markets are  
never wrong, opinions often are.

—JESSE LIVERMORE

”

When we deal with the market, we are essentially dealing with the collective intelligence of us all. This collective force has its own idiosyncrasies, which are diametrically different from those of the human mind, discussed in the previous chapter. Let us consider a few of them in detail.

## **What Are Markets?**

The word ‘markets’ has two definitions:

One: A regular gathering of people for the purchase and sale of provisions, livestock, and other commodities.

Two: An area or arena in which commercial dealings are conducted.

This second definition indicates the broader perspective. The words ‘financial markets’ fall within this domain. Every market has two major components—a buyer and a seller. When one meets the other, a market is created. A few examples of markets are vegetable markets, fruit markets, textile markets, toy shops and so forth. The key ingredient here is that buyers and sellers meet and agree on a common price for an exchange of goods and services. Similarly, in financial markets too one exchanges financial instruments such as stocks, commodities or forex for money.

## **Characteristics of Stock Markets**

### **1. Markets Are in the Mind**



Where do markets exist? When I say the Indian Benchmark Index Nifty is trading at 10,000 or the stock of Apple is trading at USD 165, where are these actually trading at? Markets do not exist physically in true sense. One cannot see, feel or touch Nifty. So these quotes are, in a true sense, a perception of people trading the market. Markets exist only in our minds. In the absence of its physical presence, you can trade any market sitting in any part of the world.

The markets trade in scheduled timings. For instance, Indian Equity markets open for trading at 9:15 a.m. and close at 3:30 p.m. Indian Commodity markets open at 10 a.m. and shut at 11:30 p.m. The markets in Europe open at 8:00 a.m. and run until 4:30 p.m. But anything that stops resumes from the same point. For instance, if I end this chapter at this first point here, I shall continue the next chapter with the second point. Considering that the price travels from point A to point B from 9:15 a.m. to 3:30 p.m. on a Monday, it ought to open at point B on the following morning on Tuesday. But that is seldom the case. In effect, the markets have already travelled some distance in our minds while they were shut.

Markets are constantly on our minds. They tend to be in perpetual motion. They are only unavailable for us to place trades. How else does one explain the effect of movement taking place in one global market over the others?? The behaviour of global indices the previous day has a definite impact on the opening prices of indices and stocks in Indian markets the next day. An important event can transpire in any part of the world, like a nuclear test or any major policy or reform, and can affect us the following day. This event has already had an impact on your mind in that present moment. It reflects in the market prices only when they open to trade. This is one reason people find it most difficult to deal with markets, because there is neither a fixed beginning nor a fixed end.

The stock markets are just a platform provided by the authorities during fixed hours to exchange securities in a regulated way. Else, the markets are always in perpetual motion—365 days, 24 hours a day, and seven days a week.

**How Ankit Got #Cashtagged**

Dear Vishal and Meghana,

I first met you when I attended the programme “Anybody Can Trade™”. I found your methods to be extremely simple. Based on that I attended your “Options Mastery™” Programme. The strategies were so powerful that I had actually doubled my money in a day. This gave me a lot of conviction in your methods and I realised that I don’t have the time as I would have had 20 years ago to trade full-time, learn and go through the mistakes. The “TraderinMe™” was a programme that would introduce me to trading, train me to become a full-time trader and monitor my mistakes as well. I thought this was the perfect shortcut.

It was such a pleasure knowing both of you and your wonderful team. I really enjoyed my trips to Mumbai, where I learnt so much from you guys. You guys were the catalyst to a lot of welcome changes in my life, not just trading. With trading, my confidence has built up with the small consistent profits that I have been making.

Thank you very much!

—Ankit Pal

## **2. Markets Are an Unstructured Environment**

Since childhood, we have been conditioned to operate in structured environments where everything has a fixed pattern and pre-laid rules. This begins with our days, which are well structured most of the time. The school we went to, the high school, our workplace—all of them had a pre-decided time to enter and exit. This is another reason we find it difficult to adjust to the market environment, which is highly unstructured. When you approach a stockbroker to open an account for yourself, does he guide you on the entry and exit? Does he tell you that this is the right way to do it? No. And he will never do that since there is no right way to do it! And that makes it a completely unstructured environment. That is why human beings are inherently not designed to make money in the stock market. The mind is at play.

As mentioned earlier, since the markets and our mind operate on two different systems, we need to change our mindset before entering the stock market. And this is the biggest challenge most of us face. Buying and selling is very simple. Even a ten-year-old would be able to design a simple strategy. But it is the mind that is difficult to control and manage, and this is where people falter.

### **3. Markets Are Always Right, but You May Be Wrong**

Let's assume you buy a stock at INR 100 (USD 1.49) per share post, which moves down to INR 70 (USD 1.04) per share. You are taking a loss of INR 30 (USD 0.45) per share. Now, if I ask you why are you losing money, the most likely reasons you may come up with are that it is because of the impact of poor trade relations between India and China, or possible unrest at the Indian borders, or because of the economy or this or that and so on. In essence, you try to justify your action of buying the stock at INR 100 (USD 1.49) and still holding it in loss at INR 70 (USD 1.04). The reasons do not matter. The fact that you are losing money means you are wrong, and the markets do not care if you are right or wrong. You have less information in your domain than what you should ideally have to make money. Hence, the idea is to always be humble when you are wrong in the market. Accept that the market is always right since it represents the collective wisdom of all those trading it.

That is why human beings are inherently not  
designed to make money in the stock market.  
The mind is at play.

### **4. The Market Is Not Certain but Probable**

Markets are designed and run by human beings, who are not always predictable. For instance, if you knew me for ten years, you would know, to a close degree of certainty, how I act, react and behave in certain circumstances. But sometimes a behaviour of mine may make you wonder, and think: *I did not expect this from him. He seems to have changed.* This means, when I change as a person my behaviour changes and my priorities change, and that is precisely how the market behaves. We attempt to predict the future based on the past. But we need to remember that this prediction is

only a probability and not a certainty. We are dealing with a probability study and not mathematics, where every calculation of  $2 + 2$  equals 4.

The above are some of the physiognomies of the stock markets which will persist forever. We are therefore left with little choice but to adapt to this environment; otherwise, we will be unable to trade them successfully. Markets are just the way they are—unstructured and in perpetual motion. This creates a sense of madness, which most traders and investors find difficult to trade in. Hence, there is a need for a method to deal with them, which is discussed in section 5 of this book.

Markets are designed and run by human beings, who are not always predictable.

**Affirmation—I am ready to adapt to ever-changing market conditions.**



## CHAPTER 6

# The Belief Game—What You Think About, You Bring About

By Vishal



You are what you think. And with  
your thoughts, you make the world.

—LORD BUDDHA



The last chapter laid down the differences between the markets and our mind. We discussed how opposing these two are and why our mindset prevents us from being successful at making money from the stock market.

This leads us to the next question: What are these learnings and experiences that we have stored in our minds? It is interesting to know that they are the ones that form our blueprint.

## **The Stock Market Blueprint**

Each of us has a blueprint in our minds about money and trading/investing in the stock markets. Let's do an exercise to check your blueprint in the areas of money and trading/investing. Get ready with a pen and paper.

Note: For both of the exercises on the next page, you should answer based on what you believe is true for you at present. Please avoid ticking an option that just 'looks good' or 'feels good'.

### **Exercise 1**

Read the following questions and choose the answers which you think are true for you at this time.

1. Money making for me is – extremely easy / fun / difficult / struggle / impossible
2. Rich people are – smart / learners / positive / visionaries / corrupt / greedy / unethical

3. Stock markets are – gambling / complicated / manipulative / for deep pockets / unpredictable / require a prior background to make money

## **Exercise 2**

Given below are a few statements about trading/investing and the consequent money making. Rate yourself on each statement on a scale of 1 to 10, with 1 being total disagreement and 10 being total agreement.

1. Getting rich in the stock market is a matter of luck or fate.
2. The trading world is complicated and hard to understand.
3. Trading/investing is too risky and not for me.
4. Getting rich takes too much work and struggle.
5. If I ask for help, people will think I am weak.
6. Getting rich is all about luck.
7. Trading is for people who have a lot of money.
8. If I get a lot money, I might lose it.
9. I am not smart or intelligent enough to do investment/trading.
10. Trying to earn money is a hassle and a struggle.
11. Most rich people probably did something bad or dishonest to get their money.
12. Getting rich isn't for people like me.
13. You can't strive for wealth and be happy and fulfilled at the same time.
14. You can't get rich doing exactly what you love.
15. Given my past, it would be difficult for me to get rich.
16. I am not educated enough to get rich.
17. I am too young/not old enough to make money.
18. Making money is not really a skill you can learn.
19. Financial security comes from having a good job and a steady pay cheque.
20. If I make a lot of money trading/investing, I might lose it.
21. If I become rich, that is great, but if not, that is fine too.
22. I am really quite comfortable. I don't need to push myself.
23. Stock markets are a gamble and meant only for people who love to speculate.
24. Striving for more money can cause stress and health problems.
25. I should only have as much money as I need to live comfortably.



Once you are finished, please total up your score. Let's check what your score says about your blueprint:

| Score              | Analysis                                                                                      |
|--------------------|-----------------------------------------------------------------------------------------------|
| Between 25 and 75  | Give yourself a pat on the back. You are already a good trader or are set to become one soon. |
| Between 75 and 150 | Making money from stock markets is a struggle for you.                                        |
| Above 150          | Trading/investing is a distant dream for you.                                                 |

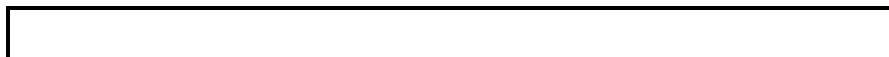
Whatever your score is, don't get disheartened. This is your score at the moment. This blueprint can be changed and I promise you that by the end of this book, should you take this same exercise again, you will have the perfect blueprint to become a trader.

The above blueprint is neither right nor wrong. These statements are your strong opinions that have formed your belief system.

Whatever we have stored within us is our *belief*. Everything that you do or say reflects your beliefs. Every action of yours and every word you utter reflects your beliefs. For instance, when I say, "I can trade the stock market," that's my belief about my abilities. If you say, "The stock market is risky," that reflects your belief about the markets. All these statements make up your 'stock market blueprint'. Even who you think you are is shaped by your beliefs.

## Letting Go of Limiting Beliefs

The analogy of a tree best describes this. How well a tree grows depends upon its roots. It is the roots that play a prominent role, apart from external circumstances like water and sunlight. What are these roots? They are none other than our 'beliefs'. As roots are to trees, so are our beliefs to our reality. The beliefs that we hold within us are the 'roots' to our reality.



Our limiting beliefs can lead to self-sabotage  
and sometimes ruin.

Your beliefs shape your destiny. What you are today is the direct outcome of your beliefs. These may either hold you back from making money by trading and investing all your life, or they could be the reason for your affluence, without your realising it. You need to examine your beliefs to determine whether they are useful. If they are not useful, you need to let go of them and set beliefs that are. Our limiting beliefs can lead to self-sabotage and sometimes ruin. Letting go of them creates a remarkable transformation that goes a long way towards helping you achieve success as a trader. Helping people change such beliefs is the most important work that we do at our seminars.

Take time to assess all your beliefs. Are they useful beliefs, or do they hold you back in some way? If they do not serve you in achieving your goals, you need to work on them by identifying and letting go of these limiting beliefs, which may prevent you from living your life to your fullest potential.

**Affirmation—I let go of all my disempowering  
and non-serving beliefs.**

## **Trading Beliefs**

When it comes to trading the markets successfully, we work deeply on your beliefs in this area. How else do you go about teaching new concepts and systems to a mind full of limiting beliefs on trading as well as money?

It is the blueprint which forms your beliefs. The same blueprint decides whether you will be rich and successful at trading/investing. If this blueprint is not aligned with becoming rich and successful, then no matter what you do, things will not work out. No matter what strategy you apply, you will not make money. This is because your beliefs have a major influence on the way you trade. It is therefore imperative to work on them as a priority. We think we trade the markets. But the fact is, we never trade the markets; instead, we trade our beliefs about the markets.

For instance, let's assume it is one of your beliefs that money making is a

struggle. What happens when you begin trading the stock markets armed with this belief? Say you begin trading with a system in hand, where you put your buy/sell orders as per a well-defined trading system. This calls for very little work each day. But if the belief that *making money is a struggle* is deeply rooted in your mind, then this experience of making money easily with a system will not fit into the realm of that belief. Your mind will find ways to add struggle against this experience. Or, on the contrary, it will find ways to not make it worthwhile. What follows is you end up losing the money you made. And then the belief takes over, justifying that, since the money was being made easily, without any struggle, you lost it! This is how beliefs manifest in real life.

We think we trade the markets. But the fact is, we never trade the markets; instead, we trade our beliefs about the markets.

It is important that you reflect upon how each belief has served you until now. There is never a right or a wrong answer. Whatever your beliefs are about the markets, they will direct your thinking and your subsequent actions. People having the same beliefs will agree with you, whereas those who don't will not. It doesn't matter. If a belief does not serve you right in making money successfully, you need to drop that belief right away.

Dropping a belief and letting it go require you to get to the core of that belief. You need to know how it is formed and where it originates from. Only then will you be able to get rid of that non-serving belief.

#### **How Mayank Got #Cashtagged**

Dear Vishal,

I attended “Anybody Can Trade™” and realised that I need a mentor. The “TraderinMe™” Programme has proven to be one of the best decisions I have ever taken. Heartfelt *thanks* to you and Meghana for changing my life 180 degrees. I was totally confused initially, but I got started on faith that there must be something in it here for me.

After meeting you I don't know how, but seriously, the

Law of Attraction began working on double speed for me. I was not having the required money to start trading after the programme but all of a sudden, I got a job offer with a 95 per cent increment. The final settlement amount from my pervious company was exactly equal to the capital requirement for trading in the programme. I do not know how!

I had already worked on some personal development stuff with many international coaches, but the way in which your programme is structured connected all the dots in a very simple way. One of your core values. J This philosophy is a gift you have given me. The gift of clarity! I am being more disciplined now personally when it comes to rising early for mind and body exercise and am having very limited but meaningful association with people, which gives me more time to spend with my family. I have become disciplined in my spending and saving habits (I haven't used my credit card for the last five months). Finally, this has made me more disciplined when it comes to trading the stock markets.

I didn't know that you were working that deep on me through this programme. Learning to trade is a bonus. You have managed to go deep inside and pull the trader out of me. I wasn't really making much progress in the first few months. But then I began doing only one thing—following the trend through the systems taught by you. And I still continue to do that, which has made all the difference to my account. I now understand why you tell us to go deep and not broad.

I am now a changed father, a changed husband and a changed son. Thank you, Vishal, for giving me this opportunity. I am proud to have you in my life! Both of you are lovely, and I am sure my chance will also come to make you proud and I will! Lots of Love and Affection!

—Mayank Gola

## **Where Do Beliefs Come From?**

How are these beliefs formed? Your beliefs are not your own; rather, you were programmed with them. Everything you believe, you were brainwashed to do so. Since childhood we have been programmed by those around us. We come into this world with no beliefs at all. Depending upon where we arrive on this globe, we get bombarded with everyone else's beliefs around us. This programming that we have been receiving from our earliest days is primarily responsible for shaping our belief system.

As a child, you hardly had any choice. Your name, the language that you speak and where you lived were all chosen for you by the adults in your life. Maybe they even decided what you were supposed to believe in. But in order for any of their beliefs or points of view or opinions to get into you, you had to *agree*. Otherwise you would not be accepted. This need for approval is built into our species as a requirement of survival. In the process of bringing us up, the adults passed on to us their personal view of the world. They taught us opinions about everything and everyone. It is like downloading a program into a computer.

Each of us has recorded videotapes within our brain cells. These videotapes contain every childhood experience we have ever had, including our feelings such as fear, love, anger, joy, dependency, insecurity, self-centeredness and so on. These tapes form our beliefs about ourselves and the world. They are responsible for who we are at present.

Let us understand how these beliefs are created. These are the four main ways through which we form our beliefs:

1. This is the most powerful way to condition our mind. What other people tell us—verbal communication—goes a long way in shaping up our belief system. We begin forming our beliefs as early as we learn our language and begin interacting with the people around us. These beliefs create our reality. The countless statements we have heard in the past—from our parents, teachers, peers, people in our community and so on—are the primary source of our verbal conditioning. The most common words many of us might have heard our parents say are, “Money making is tough” or “Stock markets are risky and dangerous.” If one holds the belief that the stock markets are dangerous, then it does not matter how many training programmes one attends to learn the skill to succeed at trading

and investing in the stock markets. One may never be able to sail through.

I vividly remember an incident from the time I was around nine years old. I was totally hooked on movies then. Back then they used to be recorded on videocassettes. We never had a videocassette recorder (VCR) at home, but our neighbours had one. So I used to spend long hours at their place, watching movies. My father despised this habit.

One evening he chose to confront me, “Why do you always have to spend so much time at someone else’s house?” I retaliated by saying, “Why don’t you then get a VCR for me? I will stop going to their place”. As I had anticipated, this enraged him. He replied, “Get a new VCR? Do you think money grows on trees? First, earn for yourself and see how difficult it is to make money!” That was the rub. That was enough to etch the blueprint in my mind about how difficult it is to earn money and get rich.

When I decided in my teenage years to trade the stock markets, my father was disappointed with the decision. Each discussion with him resulted in a refusal on his part. He used to rant endlessly about how risky the markets were and how one can never make any money trading them.

I did not know back then that his beliefs about money or markets originated from the conditioning that he received in his past. These were being rubbed off on me when I was young and prevented me from succeeding as a trader for a long time. I had to recondition my mind by letting go of these limiting beliefs to get to the other side. It was only when I dug out the colossal toxic weed from my subconscious mind that I began getting remunerated with success.

**Exercise:** Write any five statements about making money and trading that you heard while growing up. These could be from anyone around you—your parents, teachers, friends or colleagues.

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Verbal conditioning is extremely powerful. All that you hear forms remnants in your subconscious mind and becomes the blueprint that runs your life. At our seminars, when we work on the participants' belief systems, it is incredible to see the role of verbal conditioning in shaping up their blueprint about money and stock markets.

Once you are aware of the effect of this conditioning, you can use it to your advantage. My son, Vevaan, displayed some inclination for music at the early age of four. We liberally encouraged him for his musical talent, hiring a coach to give him lessons on the keyboard and also taking him around the city to attend live concerts of musical maestros. He is now a part of the musical band at his school. All this is sure to manifest in a big way in his adult years.

Your thinking determines your decisions,  
which in turn  
determine your actions. Your actions finally  
determine  
your outcomes.

The way you are subconsciously conditioned determines the way you think. Your thinking determines your decisions, which in turn determine your actions. Your actions finally determine your outcomes.

2. From What We See – Human beings are conditioned by imitation. What were your parents like in the area of finances when you were growing up? Were they spenders or savers? Did they invest in stocks and lose money, or did their investments fetch them good returns? Were they conservative in managing money? Did money flow easily in your family, or did you watch your parents struggle each month?

Why do I ask this? As T. Harv Eker says in his brilliant book, *Secrets of the Millionaire Mind*: “Monkey see, monkey do. Well, humans aren't far behind. As kids we learn just about everything from modelling. Generally speaking we tend to be identical to or exactly opposite to one or both our parents.”

For instance, Meghana always grew up thinking that in order to make money, one needs to spend a considerable amount of time at work. Her father owned a successful manufacturing business. This kept him away at work almost 14 hours each day, hence the belief in her mind that one needs to spend a good amount of time at work to see the effect of that hard work blossom into good returns each month. No wonder all her stints in her previous career, including her immediately preceding job in the legal department of a corporate house, kept her working almost 14 hours each day.

Imitation plays a humungous role in our lives. We subconsciously begin imitating the blueprint of either or both our parents about everything in our lives. But on the flip side, if as a child, we resented their behaviour and felt angry or rebellious towards them, then we tend to go in a complete opposite direction, says T. Harv Eker.

**Exercise:** Write any five behavioural patterns that you have been imitating either from one or both of your parents.

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A striking example is that of one of the participants at a seminar in Bangalore. At the end of the session where we discussed beliefs and their sources, a woman came over to see me. She was in tears. She said, “I have been trading for more than 20 years. I have learned various types of trading systems and methods. I do make good money trading them, but eventually I always end up losing the gains. I was perplexed all these years as to why this is happening to me. I thought my methods weren’t good enough. So I kept hopping from one seminar to another, learning new systems and methods. I realised today that there is nothing wrong with my knowledge of trading systems. It is my father’s financial blueprint stuck in me. That’s the reason I am unable to retain my gains from investing in the markets. Thank you very



much, sir. I only wish I would have come here a decade ago.”

A year later, I received an email from her thanking me for making her realise her limiting belief. Through the last year, she has developed the habit of taking off half of her gains from trading each month and ploughing them into a long-term investment portfolio. This has helped her not only to retain the profits but also build a sizeable long-term portfolio which generates passive income for her.

We create these disempowering beliefs by imitation, which could be inimical to our well-being in all areas of life.

As we learn by modelling, in the same manner we are subconsciously leaving a blueprint in our kids’ minds as well. So be aware of your actions at all times. You know the damage it can do to them forever.

3. From What We Experience – Each of us has our own history in the form of our unique experiences. These experiences form the illusions that we are now living in. They provide us with a set of beliefs through which we view the world. These unique experiences are responsible for shaping our opinions about the world. This means each of us will perceive the world in our own unique way.

A few of your beliefs may result from the outcomes of certain actions that you took in the past. For instance, let’s say you took a trade and lost money. Taking the trade was the action—A. The result was a loss, which was the consequence—C. This consequence may have led you to think that—trading is not for me or I can never figure out how this thing works. That’s the belief—B. Thus you form an A-B-C triangle of belief. This is what we call a **convenient belief**.

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| <p>You get into a convenient belief because you<br/>do not want<br/>to confront the real reason behind your loss.</p> |
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But the fact is that you could have either chosen the wrong stock to trade, or chosen an incorrect entry or exit, or listened to the wrong person. It could be anything. But you get into a convenient belief because you do

not want to confront the real reason behind your loss. This could keep you forever from trading the markets to your financial freedom.

When you lose money, you experience failure. None of us likes to fail. One of the ideas we may hold in our mind *is—Failure is bad*. After a certain age, when we are introduced to the word ‘failure’ in school, that concept becomes a big problem. We do not like failing. We despise failure. So we stop trying and, consequently, stop growing. That’s how the experience of trading may lead us to believe that the stock market is risky.

Kumar, an attendee at one of our workshops in 2014, shared his story. He was a business owner who had lost considerable amounts of money in the market crash of 2008. The severity of the loss with its bitter experience led him to believe that markets are a gamble and speculation. *Definitely not for me*, he used to think. This foul experience kept him from trading for six years, until he came to this workshop upon the strong insistence of a friend. Reluctantly, he agreed to give this one more try. Today he is an ace trader and one of our best students.

The disempowering belief that Kumar formed from his experience was so strong that it took him six years to get back to the markets as a trader. You therefore need to keep a constant vigil on what kind of beliefs you are forming. Are they empowering or disempowering? This applies not only to stock market or trading but also to everything in life—health, relationships, business, kids, family, colleagues and so on. Change your beliefs, and your circumstances will change dramatically.

**Exercise:** Write down any five of your experiences related to money when you were young. Also, write the same with reference to the stock markets, if any.

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## Failure Is Fantastic

On his first attempt at learning to walk, a child loses his balance and falls over. He rises to try the same action again, with the same result on most attempts. These multiple failed attempts do not stop him from trying to learn to walk, though. As parents, we encourage our child at every failed attempt, sometimes even celebrating his failures by capturing his attempts in our camera/video lenses. Since the child is blissfully unaware of what it means to fail, he rises happily after each unsuccessful attempt at walking. He does this until he gets command over the act of walking. Ditto with learning any new activity, such as swimming or cycling. A child is not aware of what it is to fail, until he is introduced to the word at school.

Each of us loves to play within our tiny little comfort zone—our domains. The above analogy proves that we fail only when we attempt to do something outside of our comfort zone. But seldom do we realise that this is the only time we grow. We expand our boundaries. As we grow, we realise we need to step out of our comfort zone and accept failure as part of the learning process. We need to keep doing the action until it comes within our comfort zone. This requires a shift in our mindset.

Let me mention the famous parable of an elephant fastened with chains. When an elephant calf is young, its leg is fastened to a metal chain to prevent it from running away. The chain holds it back every time the calf tries to pull away, thus giving his mind the message that the chain is too tight for him to break free from it. It is not possible.

When the calf turns into a full-grown elephant, he is then tied to a thin, single rope. He could easily break that rope with a single kick. But he does not even attempt to break it because since childhood, he has experienced that he cannot break this chain. This message is etched into his brain. So however grown up and strong he is now, he never tries breaking the chain.

This is how our mind tricks us. Confronted with failure once, we do not try doing the same thing again. We abandon it, just like the elephant in the story. We give up.



Once we realise that there will be hiccups on  
the path to success,  
we can begin to honour the struggle.

Your first attempt at trading may end up in a loss. The second trade too may bring the same result. Do you give up, saying trading is all gambling and speculation? Or do you realise that you need to learn a lesson on how to enter and exit right or how to identify the right sector and so on? You keep learning and trying, until the action of making money by trading the markets falls within your domain of success. Upon this realisation, the journey changes completely.

People get dejected upon failing at something. They detest failure. That is why they stop taking chances, stop going out of their comfort zones and continue playing within their domain. Even if their capability expands after a few years, they continue playing small because they fear failure. However, struggle and failure are inevitable in all that we do. Once we realise that there will be hiccups on the path to success, we can begin to honour the struggle.

Upon realising our lessons of failure, we can immediately take steps to move out of the failure zone. These are the following:

1. **Accept that you have failed** – acceptance makes the task easy.
2. **Analyse why you failed** – look for reasons. Most of the time, it is due to a lack of preparation.
3. **Search for the lesson** – this is the most vital step. Extracting the lesson from a failure requires having an open mind.
4. **Try again** – keep trying until you get there.

Once you are in a phase of learning and subsequently evolving, there is no disappointment and there are no failures. You learn to rise after each failure at trading until it comes within your domain. That changes your experience and eventually, your belief.

So the next time you fail, just say, “Failure is fantastic!”

**Affirmation—I accept failure gracefully and learn**

from it.

4. From What We Read – Much of what we read settles into the subconscious mind. It is one of the factors responsible for forming our belief system. For instance, kids who grow up reading books containing violence or conflicts have a strong belief engrained in their minds that the world is similarly violent and full of conflict. People who are hooked on reading newspapers the first thing at the dawn of a day may strongly and easily believe in all the negativity reported there, since that's what the media doles out to them each day.

People who trade the markets do so, armed with the beliefs they hold about the markets and its functioning. The successful traders and investors whom we read about in the media share a piece of advice with us, which forms our beliefs about trading and investing. And it is with these beliefs that we step into the trading arena and put our trades. What happens then? We get different results each time, inconsistent and haphazard. For instance, let us consider the advice given by successful investors. Some of them say, "Invest for the longest term," whereas others say, "Never time the markets." These statements may make us believe things about the markets which may not be in tandem with our existing beliefs. Consider a day trader, for instance. What happens when he reads what these people say? His beliefs and actions get highly incongruent. What ensues then is a series of inconsistent results due to the conflicting beliefs.

When participants join our coaching programme, one of the instructions we give them is to abstain from reading any financial newspapers, watching business channels and participating in random discussions on stock markets. These may influence their trading in the wrong way.

**Exercise:** Write down any five of your beliefs about money and trading based on what you read every day.

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All these form the sources of how our belief system is created. While understanding their origination, it is also important to note that the beliefs that each of us has are:

- a. neither true nor false, neither right nor wrong; rather, they are just beliefs, and one can never judge them;
- b. only strong opinions that are unique to us; and
- c. either empowering or disempowering.

Go back to the exercise on page 70. Find out the beliefs where you have rated yourself more than five points. Those are the limiting beliefs are holding you back. You need to drop them and form empowering beliefs to see positive results in those areas.

## **Changing Limiting Beliefs**

Since our beliefs are formed by hearing, seeing, experiencing and reading, changing non-serving beliefs will happen only when we hear, see, experience and read things that help us replace them with beliefs that serve us well. A change of beliefs requires a change of mindset. It is what is inside that matters. These are some of the ways in which you may change your beliefs:

1. Awareness of the Belief – You cannot change something unless you know it exists. People may sail through for years without being aware of their blueprint on money or markets. They attribute their failures to a host of things, unaware that it is the non-serving blueprint that is holding them back from succeeding at making money from the markets.
2. Identifying Its Source – One needs to know the *source* of a belief. Does it come from seeing something? Or from hearing someone? Has the belief come from experience or from reading?
3. Know the Emotion – The next step is to know whether that belief has an *emotion* attached to it. The stronger the emotion stored behind a belief, the longer it takes to change it. From my experience of working with participants in my seminars, I know the massive work that goes into changing beliefs that are loaded with emotions. In the exercise on page \_\_\_\_ the higher the number you have given to a belief, the stronger

the emotion behind that belief. And the more work you need to do to let go of that belief.

4. Replace – Replace the non-serving belief with positive powerful statements. When made emphatically with full energy these statements, called declarations, can have a profound energy, in changing your blueprint. We know that everything around us is made up of energy, which travels in vibrations. Therefore, when you make these powerful statements aloud, these positive vibrations travel through your mind and body. These statements send out a very powerful message to the universe. For instance, if I want to become a professional trader, I will keep affirming myself: *I Am a Trader*. I will surround myself with people who are successful at the stock markets and are on the same path, rather than people who put me down. I will listen to and read about people who have created success stories in the business of trading so that my brain gets this new belief that *it's possible*. I will build a community around me. I will ensure that I hear, see, experience and read everything that protects me from creating a belief that I do not want. It helps me create a new belief system. Once this is completed, I will move on to the next step of learning the tools and systems to make money.

|                                                                                           |
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| <p>The stronger the emotion stored behind a belief, the longer it takes to change it.</p> |
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Make these declarations in positive language and state them explicitly. State only what you want. Be precise and clear. Some of the declarations that we make at our seminars are the following:

1. I am an intelligent trader.
2. I deserve to make a lot of money.
3. I am truly grateful for all the money I have now.
4. My confidence in trading is growing each day.
5. I enjoy freedom of time in my trading profession.
6. My passive income is growing constantly.
7. I am open and receptive to all the wealth life offers me.
8. I attract abundant trading opportunities.
9. My capacity to earn, hold and grow money is expanding each day.

10. I gracefully handle massive success.

One needs to keep repeating the above steps, continuously. Become aware of the belief, identify its source and the emotion behind it and replace the belief with a positive powerful declaration. Our subconscious mind has been hearing the non-serving belief for many years. It shall therefore take many repetitions of the new positive belief to make it a part of our subconscious way of being.

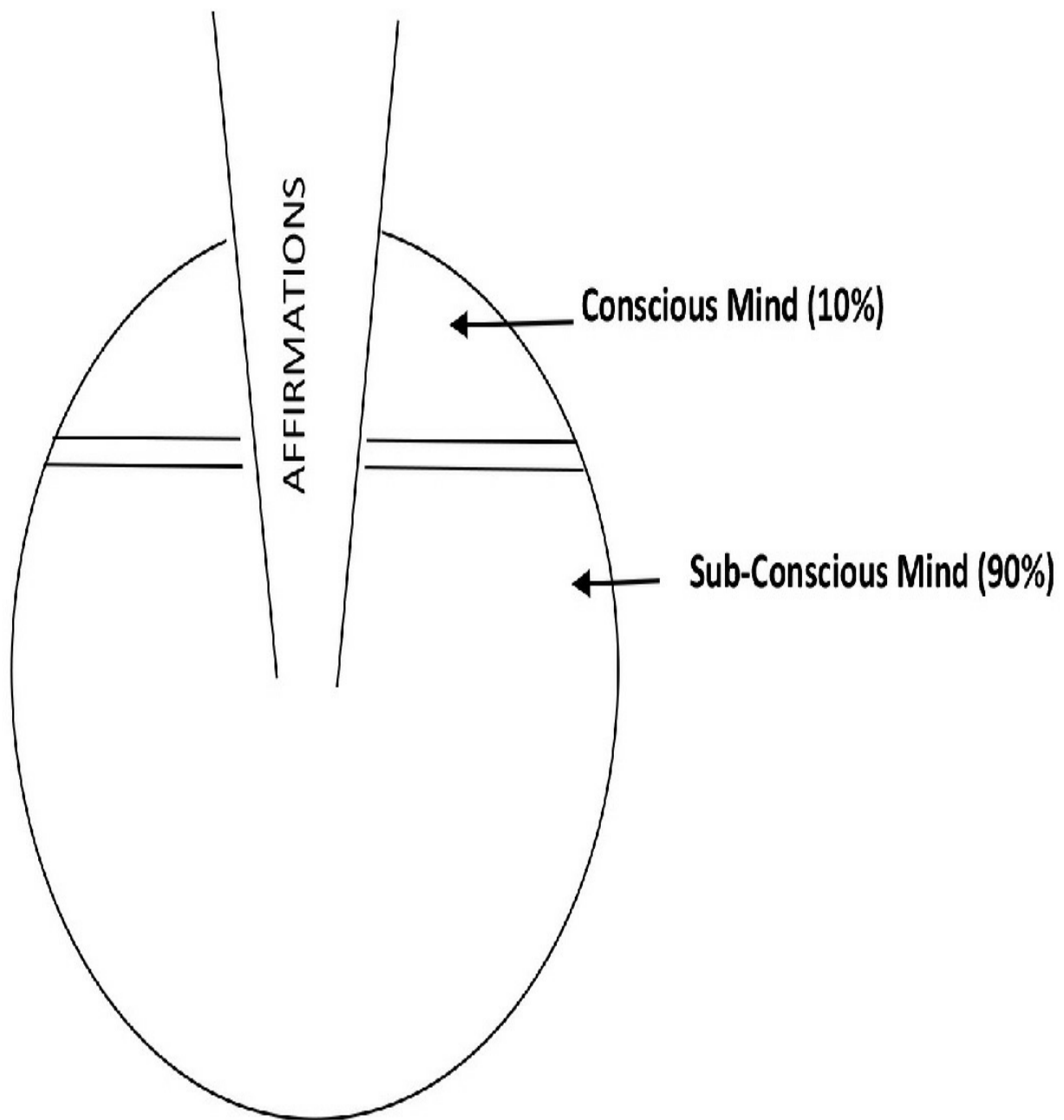
We know that everything around us is made  
up of energy, which travels in vibrations.

**Affirmation—I do whatever it takes to change my  
beliefs.**

## **Secret of the Subconscious Mind**

I stumbled upon the idea of the conscious and subconscious mind when I read about them in the book, *The Secret*. As theorized, the human brain is divided into the conscious and the subconscious at a ratio of 10:90, where 10 per cent of our mind is the conscious mind and the other 90 per cent is its subconscious counterpart.





**Figure 2 – The Human Mind**

This, I learnt, applies to everything we do on a daily basis—from waking up, to taking a shower, to showing up for work and so on. Most of these actions arise from the subconscious mind, leading us to act on autopilot without much thinking. But when we do think or learn something new, those actions arise from the conscious mind. When you set a goal to achieve something, it resides in the conscious mind. The subconscious is oblivious to

it. So *The Secret* suggests that we push our goals from the conscious mind (where they remain at the peripheral zone) to the subconscious mind (where they move at a deeper level). Once the subconscious mind receives the message, it immediately begins working towards that goal or towards the desire to manifest it in your life at the soonest. The manifestation process of your goals becomes easy and smooth, achievable and believable.

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**#CASHTAGS Principle:**  
*Conceive + Believe = Achieve*

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### **Dreams Do Come True**

When I attended the Martin Pring seminar in 2008, I was amazed to see the massive crowd he was speaking to. I fell in love with the way he conducted himself. I had just begun my training career then. Watching him speak roused a dream in my heart. I thought to myself: *One day, even I shall conduct a seminar with more than 500 people in the room.* From that day on, I was very charged up about the idea. I downloaded the picture of a speaker delivering a talk to a huge crowd, replaced the speaker's photo with mine and put it on a wall in my study. I looked at that picture every day. I kept telling my students, family and friends about my dream. I did that for many years, until the time I began speaking to that number of people on a regular basis.

After experiencing the tremendous power in this principle, I now teach the same to everyone, including my kids. If you believe in something, begin declaring and affirming the same so that your subconscious mind gets the message. This will boost the realisation of your dreams into reality. Before you begin to think of becoming a trader or an investor, I would strongly urge you to believe that you are already one. Declare it out to the world. Affirm it on a daily basis. You will then begin attracting the right people and opportunities to help you get there.

### **#CASHTAGS Action Points for Section 2:**

1. List down three instances where you have lost

either money or an opportunity as a consequence of the features of our mind discussed above (avoid losses, buy cheap and sell expensive, never give up, and the ego).

2. List three major failures in your life until now.
3. Due to these failures, which limiting beliefs did you form? Replace them with positive ones.
4. List down the areas of your life where you would want to begin following the Whatever It Takes approach. Think of everything from the smallest thing, such as your diet, to the bigger things, such as your relationships.
5. Frame five affirmations for those aspects of your life where you would want to see positive changes. Practice these affirmations daily in the manner explained above for the next 21 days to experience the desired change.



## SECTION 3

# Managing Your Risk



The one thing you can control is yourself. As a trader, you have the power either to give yourself money or to give your money to other traders.

—MARK DOUGLAS





## CHAPTER 7

# Lessons from Losses

By Vishal



Risk comes from not knowing what you are doing.

—WARREN BUFFETT



## **Big Lesson at a Small Age**

I have lost huge amounts of money to the stock market throughout my learning process. Way back in 1996, I used to visit the building that houses the Bombay Stock Exchange at Fort, Mumbai. I sat there each day throughout the market duration. I observed people, the way they traded and how they behaved upon winning and losing. The process intrigued me. There was a guy who seemed to be very experienced. He used to observe me, but I was oblivious to his interest in me. One day, he called over to me and, peering at me intently, asked, “Why do you come here every day, young man?” I replied, “I want to learn.” He asked, “What do you want to learn?” I was now beginning to get nervous. “I want to learn to trade,” I replied. He further enquired, “Do your parents know about this?” I said, “No, they don’t.” He probably noticed the passion in my eyes. He said, “So you have come here to be a trader young man! Do you see these 50–odd people sitting



here and trading? They were not here last year. They probably will disappear next year. And those who were sitting here last year have vanished already. And this has been the average since the last two decades that I have been coming here.”

He continued, “If you really want to survive here, you need to know one rule of trading. If you follow this rule, you will survive in this business, and once you do that, you will be able to make money here. Do you want to know this rule?” *Wow!* I thought. *This is fun.* I nodded eagerly. “The rule of thumb to succeed here, young man,” he said, “is to *learn to book a loss!* Once you learn this skill, you shall survive in the markets for a long time.”

|                                                                                                                      |
|----------------------------------------------------------------------------------------------------------------------|
| <p>What happens when you don't book a loss?<br/>Your mind is stuck and eventually your<br/>money gets stuck too.</p> |
|----------------------------------------------------------------------------------------------------------------------|

Such an invaluable piece of advice to receive at that age!

## **The Losses**

The most common thing that restrains people from trading the markets are the *losses*. The word “loss” denotes negativity.

I have incurred gigantic trading losses in my career, to the extent beyond anyone's imagination. Recalling them gives me goosebumps today. But I had the courage to pull the trigger to cut them. And once I cut them, I felt better. That is over and done. That maybe left me out of the game for a month or maybe six months or even a year, but never permanently.

What happens when you don't book a loss? Your mind is stuck and eventually your money gets stuck too. This blocks you from taking advantage of the other opportunities that the markets present every single day. Incurring a loss is a given. There is no magic formula nor magic system that will prevent you from incurring a loss. Every person who has ever traded the stock market has incurred a loss, including the most successful investors who have lived on this planet. The traders and investors who have made it big, have made most of their money in less than 30 per cent of their trades, with the remaining 70 per cent ending up in losses. But they still end up being

profitable because the profits on winning trades were big and the losses on losing trades were small.

### **The Strike Rate**

People often ask me, “What is your strike rate at taking profitable trades?” They generally expect me to mention 80–90 per cent. But I reply saying its 50 per cent, which means five out of my ten trades end up in a loss. In spite of that, I end up in the green most of the time. This is because I lose a smaller amount of money on those five losing trades and make a comparatively bigger amount on the five winning trades. I am happy doing that. Since loss is inevitable, let it be smaller.

### **The Big Fat Loss**

In the last 22 years of my trading career, I have witnessed people arrive at and leave the arena, losing tons of money in a quick span of time.

I vividly remember an incident from my earlier days when I used to sit at a broker’s office and trade for myself and my friends. There used to be regular visitor traders too, most of whom were day traders. One particular day, I was sitting at the terminal punching orders when one of them approached me. He seemed to be an affluent guy. I discovered later that he owned a jewellery store in Mumbai. He bought a substantial quantity of a stock called Zee Entertainment Limited, which traded at around 5,500 then. I remember punching the buy order for him.

He was a daily visitor, and would drop in for a while, check the price of his stock and go away. The stock kept rising each day. It went to almost 6,500 levels.

This continued until one fateful day when the stock crashed. And it happened rather harshly, returning to its original price of 5,500. The man was present that day when the decline eventually ended at around 4,800 levels. I was on pins and needles, glancing at him in the hope that he would signal me to sell his holding anytime. To my surprise, he was totally poised. The stock plummeted to 4,500! I watched the slide, petrified. The trade that was once in profits was now bleeding deep in losses. But the man seemed to be unperturbed by this decline.

As is the case most times, he came over to me and asked me to buy some more quantity of the stock at that price. I vividly remember the feeling I had while punching that buy order!

Well, as fate would have it, each day the stock hit lower circuit, until it finally took support at around 1,800 levels.

Beyond a point when the loss gets bigger, one loses the courage to pull the trigger. One is engulfed with the fear that once one sells, the stock will begin to rise from that level. This fear stops the trader from booking the loss. Finally, the day arrived when the man had to settle his trade by selling the whole position at a massive loss of INR 109 crores (USD 16.27 million). I distinctly remember punching the sell order into the terminal. Agonizingly, he ended up selling his jewellery shop along with his home to settle the loss. What a dreadful experience to witness at the start of my career!

Why did this happen? Did the entire loss occur in one single day? He always had an opportunity to book his loss on that trade of Zee before it blew up into a gargantuan amount. He could have chosen to book it at INR one crore (USD 0.15 million), INR five crores (USD 0.75 million) or INR ten crores (USD 1.5 million). Nobody stopped him from doing so. But he chose to wait until it accumulated to INR 109 crores (USD 16.25 million), finally settling it by selling all his possessions.

### **How Amit Got #Cashtagged**

An IT professional, I used to trade the stock markets for the last ten years. My trading was totally unstructured. I usually depended upon views, tips and other sources and ended up losing a lot of money.

I then met a friend who knew Vishal from the last twenty years. Upon his strong recommendation, I attended Vishal's programme "Anybody Can Trade™". I thought of investing in myself rather than the stock market. It has been a complete game changer. Since then my confidence has increased manifold, not only in trading but in my personal life as well. The knowledge they provide is totally at the next level. I now trade independently and confidently.

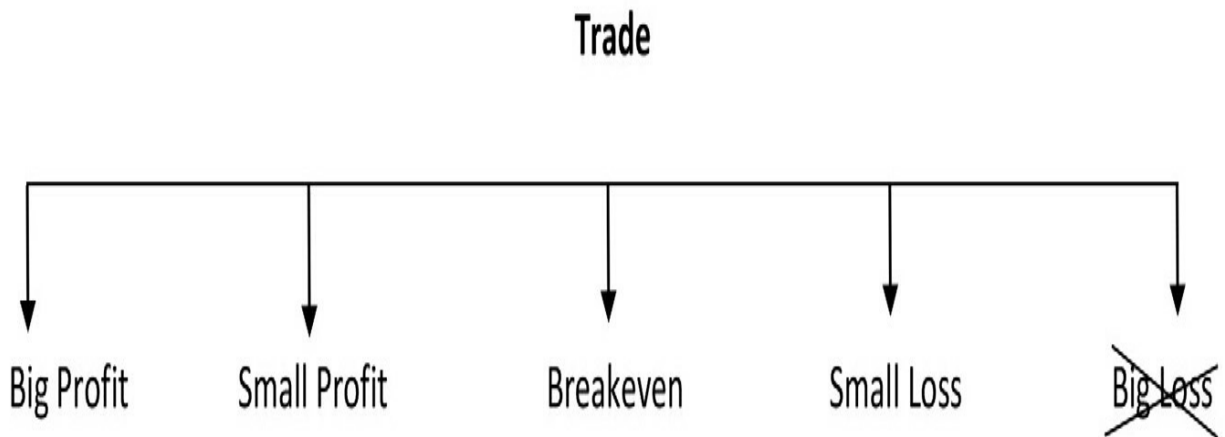
## Happy Losses

In the last 22 years of being here, I have witnessed this situation numerous times. People are generally phobic to book a loss. No one guarantees that you will make money here. You are your biggest guarantee.

I lose money too, but I book the losses immediately. I have learnt this precious lesson the hard way. Yes, I do lose money every day of the week and every week of the month on certain trades, but I book that loss. I do so because I know that once I do, the loss gets digested into my system. My mind is fresh to take up another trade. This can happen only when your losses are small—which we call ‘*happy losses*’. Till the time I resist booking it, the amount goes on increasing and my mind stays blocked into that trade. Mindset is therefore of utmost importance to a trader. A big loss can throw you out of the markets for two months to six months or a year, or even forever, depending on the size of the loss. Says Jesse Livermore in his excellent book, *How to Trade in Stocks*, “Profits always take care of themselves, but losses never do. The speculator has to insure himself against considerable losses by taking the first small loss. He has to be his own insurance broker, and the only way he can continue in business is to guard his own capital account.”

No one guarantees that you will make money here. You are your biggest guarantee.

If losses are inevitable, why not make them small? Why not preserve the capital and play the game longer? By booking a happy loss, we learn the skill of survival.



**Figure 3 – Outcomes of a Trade**

The above figure displays the five possible outcomes from a trade. Out of these, avoiding the fifth one will help you stay in the game longer.

**Affirmation—I am happy to incur happy losses.**

## **Trade like Rahul Dravid**

Let's take an analogy from the game of cricket. There are two teams, team A and team B. Let us assume team A scores 300 runs in a 50-overs match. Team B now needs to chase a higher score to win. What strategy will team B follow? Probably, they will try and hold on to the wickets on hand, because they know that losing wickets will doom them to failure. As long as there are wickets on hand, there is hope to beat team A.

Ditto for a trader. His wickets are the capital at his disposal. The lower our capital drops, the more difficult it is to come back into the game. As long as the capital is preserved, opportunities in terms of balls will keep coming. If at the beginning of your trading career you are left with a meagre capital, you won't be able to take a trade even when it comes your way. No more wickets on hand! Loss of capital leads to loss of confidence, which in turn leads to loss of conviction. And without conviction, one cannot trade.

Though we have used the analogy of cricket, the market is neither a 20/20 game of cricket nor a one-day match or a five-day test match. It is a perpetual game, presenting you with a plethora of opportunities each day. Are you

ready to hit with your capital, confidence, strategy and the right mindset? If you have these in place, you can bat with your trades; otherwise, you will end up missing the balls. One needs to play like Rahul Dravid, the famous Indian cricketer popularly called *The Wall*. He is known for his poise and endurance in maintaining his wicket in the game. Once on the pitch, you need to play like Rahul. Unless you are 100 per cent confident, unless you know exactly where to hit, unless you know the ball well, unless you know the bowler well, unless you know the speed of the ball, you don't hit it, come what may. It does not matter how many balls you let go. Your intention is to preserve the wickets.

**Affirmation—I play to preserve my capital.**



## CHAPTER 8

# Lessons from the Casino

By Vishal



The only way to win money out of  
a casino is to own one.

—THOMAS JEFFERSON





## **The Four Fundamental Rules**

Most of us have been to casinos. I love visiting them, more for the allure of observing how they conduct themselves than anything else. I have visited many of them the world over. Do you know that people visiting casinos seldom make money, but that the casinos always do? This is irrespective of the number of people playing each day. This is very intriguing. The fact is, casinos follow a few fundamental rules—their ways of operation. And they do this persistently, without skipping a single rule ever. As traders, we too aspire to be on the winning side at all times. It is therefore vital for us to understand what keeps these casinos in the green.

So here are the four fundamental rules that casinos follow:

### **1. Play Games That You Can Win**

Casinos offer various gaming options: Blackjack, Roulette, Poker, Flush, and

also slot machines. All of these are statistically and mathematically back-tested and proven in a manner that tilts the winning probability in favour of the casinos and not the players. No matter how much seasoned a player plays these games and no matter how long he plays, the probability of his winning these games is very low. This means casinos will only play games which have a winning probability. So as players, our chance of winning these games is low.

While trading, too, we need to play games that we can win, which means we need to have systems with a positive expectancy where the probability of winning is greater than that of losing. Remember the difference between *listening to the market versus telling the market*, discussed earlier. When you buy a stock that is moving up, you are *listening to the market*. But when you buy more of a stock that is moving down, you are *telling the market* to go up, just because you have bought the stock.

When you listen to the market, you are essentially playing a game that you can win.

### **Rule No. 1 – Play Games That You Can Win**

#### **2. Manage Your Risk**

You may have noticed, for every game there is a sign on each table that reads ‘Maximum Bet \$xx’. This means you cannot bet more than this limit. It could be USD 50, USD 100, USD 200, USD 500 and so on. You cannot bet USD 200 in a game of roulette if the maximum bet mentioned is USD 100. So let’s assume I bet USD 100 in this game, which has a 1:5 ratio of winning. This means if I lose the game, I lose USD 100, but if I win the game, I win USD 500. So in the event that I win, the maximum amount that the casino would lose is USD 500. This is how it limits its losses. So basically, what the casino does by putting up the ‘Maximum Bet’ sign is *managing its risk*. The casino knows how much it can lose if all the 20–25 people present there put their maximum bets into this game. And in the less probable event of all the players winning their bets, they are ready to pay that money to each player. This means the casino is managing its risk well.

|                                                                                     |
|-------------------------------------------------------------------------------------|
| When you listen to the market, you are essentially playing a game that you can win. |
|-------------------------------------------------------------------------------------|

As traders, this rule would serve us immensely well. Do you have any risk management formula in place? Managing risk is one of the most important lessons we can include in our trading activity. We shall discuss this in Chapter 8.

## **Rule No. 2 – Manage Your Risk**

### **3. Execute Flawlessly**

There is a dealer at every table managing each game in a casino. The dealer facilitates your playing the game, distributes cards/coins in certain types of games, spins the number wheel for you and so on. For instance, in the game of roulette the dealer spins a wheel with 36 numbers on it. Each player gets to bet on a number. The winning ratio is 1:36. So if I bet for USD 100 on number ten, and the ball lands on that number after the spinning of the wheel, I win 36 times what I have bet in the game, which in this case comes to USD 3,600. Similarly, all the people at that table bet on different numbers with different amounts. The dealer is responsible for calculating the wins and losses of each player and settling the profits and losses of each of them after every game.

|                                                                                      |
|--------------------------------------------------------------------------------------|
| <p>In trading, flawless execution is the key to making it simple and profitable.</p> |
|--------------------------------------------------------------------------------------|

I have played in many casinos around the world, including the largest of them. So far I have not seen a single dealer making a single mistake of a single coin, *ever*. This is called *flawless execution* by the dealer.

In trading, flawless execution is the key to making it simple and profitable. Once we have a system in hand that suits our beliefs and our temperament, all we need to do is continue to execute it flawlessly: Buy when the system signals us to buy, put the stop loss in accordance with the system and exit when the system signals an exit. That is called trading with flawless execution. Once you know which stock to buy, where to buy it, how much to buy and where to exit, you just need to execute your trade. That's all.

For example, your system signals a buy on Reliance Industries at the

1,600 level. Suppose you were partying the previous night away and missed the opening the next morning, when the stock was available at 1,600. Upon waking up a couple of hours later, when you call your broker and instruct him to buy the stock, he places the buy order at the market price then, which is 1,620. What has happened here? The system was perfect, but your execution was not flawless. You screwed it up. Execution is always in your control. And flawless execution requires practice, focus, discipline and consistency, at all times.

### **Rule No. 3 – Execute Flawlessly**

#### **How Tej Got #Cashtagged**

I had been trading for the last 25 years. I used to think this is all gamble and speculation. One day, a friend who had been to “Anybody Can Trade™” recommended me to attend it. He had decided to get into trading after attending this programme. That worried me, and I attended the programme only out of concern for my friend. I was looking to find some fault with the programme or the trainer so that I could stop my friend from taking up trading. But to my own surprise, I ended up subscribing to Vishal’s Programme “TraderinMe™”.

While travelling into an unknown territory, one needs a map, a GPS system. Well, in the trading world, Vishal is the GPS. When I decided to subscribe to his programme, I did not have the money. It all gradually fell into place. When people ask me, “How much money do you make?”, this is a wrong question to ask, I feel. “How confident are you to make money?” is the right question, because you may lose the money you make, but the confidence, once built strong, never fails you. Vishal has been the key to having that confidence. He helps you walk through that path which you need to walk. I am truly grateful for his guidance.

—Tej Kumar

### **4. Keep a Cool and Calm Temperament**

This is the most important of all rules. Let's assume once again that I am playing a game of roulette (yes, I confess this is my favourite at a casino!). It is my lucky day since I hit it right on the first bet! I make 36 times the money I had bet upon. I then bet another number and there it is! I hit it right again! The strings of wins continue until the fifth consecutive bet. I keep multiplying my money by 36 times over and over again. I feel totally ecstatic. I grin wide, giving high fives to the people around me. While I am celebrating my wins, what is the reaction of the one who is losing? I look at the expression on the dealer's face to check whether he is worried, angry or frustrated. But he is none of this. The dealer is completely calm.

When your emotions ride high, your  
intelligence  
falls low.

Now imagine if I were on the other side, as the dealer is? I lose each of my consecutive bets at this table, to the extent that I have to borrow some money from a friend to continue playing. How do I feel now? I most certainly feel upset, angry and sad. But, surprisingly, the dealer who is now winning appears straight-faced, with no expression of glee at all.

Casinos love emotional players. They happily pour gamblers free drinks to make them more emotional and hence to gamble more.

But their dealers always have a cool and calm temperament. If they didn't do that, they could never be able to execute flawlessly. This is the essence of a successful trader too. Do your wins excite you? Do your losses make you sad and gloomy? Whatever the results of trading, it pays to have your temperament in check at all times. When your emotions ride high, your intelligence falls low. This is the rule of life. We human beings ride very high on emotions. The more intense the emotions, the greater the need to manage them and have more rules. This reduces my need to think every time I take a trade. The majority of mistakes take place when our emotions get in the way of trading.

#### **Rule No. 4 – Keep a Cool and Calm Temperament**

Always remember the above four rules of the casino when entering your

trading arena.









## CHAPTER 9

# Playing the Risk-Reward Game

By Vishal

“

If you don't take a hard look  
at the risk, it will take you.

—LARRY HITE

”

## The Coin Exercise

Let's do a simple exercise. Get a coin and be ready with a paper and a pencil. On the top of the page write: Trading Capital—USD 100. Then, flip the coin in the air ten times in a row, choosing either heads or tails before every flip. The rules of winning and losing are the following:

- a. Each time your guess is correct, you win and add 10 per cent to your capital.
- b. Each time your guess is incorrect, you lose and deduct 10 per cent from your capital.

| # Flips<br>(Random) | Won/Lost | Profit/Loss | Balance<br>Capital |
|---------------------|----------|-------------|--------------------|
| 1                   | Won      | 10          | USD 110            |
|                     |          |             |                    |

|    |      |       |            |
|----|------|-------|------------|
| 2  | Won  | 11    | USD 121    |
| 3  | Won  | 12.10 | USD 133    |
| 4  | Lost | 13.30 | USD 119.70 |
| 5  | Lost | 11.97 | USD 107.73 |
| 6  | Lost | 10.77 | USD 96.95  |
| 7  | Lost | 9.69  | USD 87.26  |
| 8  | Lost | 8.72  | USD 78.53  |
| 9  | Won  | 7.85  | USD 86.38  |
| 10 | Won  | 8.63  | USD 95.02  |

What is the lesson from this exercise? This is just a random coin flip. There is no logic of wins and losses here. There is no system involved. We just have one rule of thumb of losing ten per cent every time we go wrong.

You lose less when you go down, and you make more as you move up. The more you win, the more money you make. That's the whole point of the exercise. This is why you need to have a constant risk factor of your capital. Now consider this: The above-mentioned exercise is a game of luck. If one can manage risk here, one may very well manage risk in the game of trading, while using simple profitable trading systems. The higher you go, the more money you make. The lower you go, the less money you lose.

Most people do not follow any kind of risk formula to protect their trading capital. On the contrary, some of them get so charged up when faced with a loss that they dare to take another trade at a higher amount so as to cover the loss of the previous losing one. This is akin to gambling, where people who lose money bet more to recover all of it in one shot. If you do the same thing in the marketplace, the market will chop you out. One needs to follow a risk management strategy . The above-mentioned exercise is a game of luck, but while trading the markets, we have the odds in our favour. Once we learn to manage risk like in the exercise outlined above, then we can make exponential amounts of money.

|                                                                          |
|--------------------------------------------------------------------------|
| <p>You lose less when you go down, and you make more as you move up.</p> |
|--------------------------------------------------------------------------|

---

The biggest mistake in my journey as a trader has been to ignore the risk aspect completely, and I have paid a very heavy price for this. For years I never applied a risk management formula. My stop losses were based upon random calculations. I always thought that it was all about finding the correct trading system. I never believed in testing the risk parameters of a system. It wasn't until many years later, when I began reading about successful traders, that I had this epiphany about what I had been missing so far.

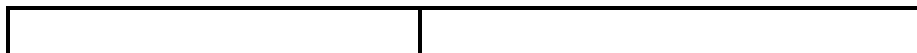
**Affirmation—I do whatever it takes to manage risk.**

## **The World's Simplest Risk Management Formula**

I have learnt that the simplest manner to calculate risk is to *never risk more than 1 per cent of your trading capital on a single trade*. Let me illustrate this. Assume you are trading with a capital of INR 10,00,000 (USD 14,925), one per cent of which comes to INR 10,000 (USD 149.25). So your risk on each trade using this capital would never exceed this amount. Now we turn to our trading system for trades. Any good, robust system will give you a minimum of two things. The first is an entry price, or what price to buy the stock at, which in essence is the reason for entering the trade. Since we deal in probabilities, there is always a possibility of the trade not working out in our favour. Therefore, we need to know where to exit, should the trade not work out in our favour. The second thing is the exit price, also called the stop loss point. A good system always specifies these two things. However, certain systems also tell us the third point, which is where to exit in profits. But this could be optional with only a few of them. Most systems indicate the entry and exit levels.

Affirmation—I do whatever it takes to manage risk.

Let us now consider how this formula works with the help of an illustration.



|                 |                            |
|-----------------|----------------------------|
| Trading Capital | INR 10,00,000 (USD 14,925) |
| 1% Risk         | INR 10,000 (USD 149.25)    |
| Entry Price     | 400                        |
| Stop Level      | 380                        |
| Risk Per Share  | 20                         |

Quantity to be bought = Total risk per trade / Total risk per share

= INR 10,000 / 20

= 500 shares

Investment Amount =  $400 * 500$  = INR 200,000 (USD 2,985)

Amount realised on exit =  $380 * 500$  = INR 190,000 (USD 2,836)

(If the stop gets triggered)

Loss Amount = INR 10,000 (USD 149.25)

(Happy Loss)

This formula limits your loss on each trade to one per cent. For instance, let's assume that you initiate seven trades at the same time from this capital and hit your stop loss levels on those seven trades. You still would not lose more than ten per cent of your capital, which comes to INR 100,000 (USD 1,492). If you stick to this formula while taking all your trades, you will never run out of your trading capital.

Consider the table below.

| <b>Drawdown on Trading Capital</b> | <b>% Return to break even</b> |
|------------------------------------|-------------------------------|
| 10%                                | 11%                           |
| 20%                                | 25%                           |
| 30%                                | 42%                           |
| 50%                                | 100%                          |
| 70%                                | 233%                          |

Did you notice that the more you go down, the more money you lose and the more difficult it is to move up?

We should therefore be focused on not losing money, and if we do lose, let's lose small. Let it be a loss which we can control and can digest. This loss should let us continue trading without getting mentally and financially affected by its occurrence. This is our **happy loss**.

Let's take an instance of a second trade, with a stock Y.

|                 |                            |
|-----------------|----------------------------|
| Trading Capital | INR 10,00,000 (USD 14,925) |
| 1% Risk         | INR 10,000 (USD 149.25)    |
| Entry Price     | 70                         |
| Stop Level      | 65                         |
| Risk Per Share  | 5                          |

Quantity to be bought = Total risk per trade / Total risk per share  
= 10,000 / 5  
= 2,000 shares

Investment Amount = 70 \* 2,000 = INR 140,000 (USD 2,090)

Amount realised on exit = 65 \* 2,000 = INR 130,000 (USD 1,940)

(If the stop gets triggered)

Loss Amount in trade 2 = INR 10,000 (USD 149.25)

(Happy Loss)

Note that in the first trade, we employed INR 200,000 (USD 2,985) for a risk of INR 10,000 (USD 149.25), and in the second trade we employed INR 140,000 (USD 2,090) for the same risk. Though the capital utilised in each trade was different, the risk remained the same. Assume you take a series of seven trades that consume all of your trading capital. In the worst-case scenario of each of your seven trades hitting the stop, you lose only seven per cent of your trading capital.

**Affirmation—I follow the 1 per cent rule at all times.**

The formula is a cinch to follow. It involves no complex calculations, no fractions and so on. Whatever your trading capital may be, simply calculate 1 per cent as the risk amount to arrive at the quantity you need to trade. Once you trade using this formula, you will no longer have sleepless nights over the world markets, worrying about things such as what China is doing, what Korea's next plan of action may be and so on. By just following this simple risk management system, you are good to go. I have neither designed this formula nor do I take credit for the same. It has been followed by most successful traders for a long time.

**How Satheesh Got #Cashtagged**

In 2012, I incurred losses trading the markets. That's when my friend suggested me to attend "Anybody Can Trade™". I was particularly impressed with Vishal's training approach and his focus on the mindset of a trader.

Now, after having undergone his mentorship, which was filled with tremendous transformation on the personal as well as the trading side, I am very confident to quit my job. Thanks to Vishal that I am able to make good money with simple strategies.

—Satheesh Kumar D

## **Can I Risk More Than 1 Per Cent?**

There are ways where you may scale up the 1 per cent risk to a higher percentage. This is possible when you have a higher-rated trade. In one of our programmes called the Star Trader® Programme, we rate the trades. For instance, some may be rated 3-star, some 5-star and some 7-star. These ratings are done by either of the two ways described below:

- 1. Confluence of Indicators** – This entails using various parameters and tools such as moving averages, candlestick patterns, momentum and so forth on a chart within a single time frame, be it daily, weekly, monthly or



quarterly charts.

2. **Confluence of Time Frames** – This means applying a single tool, Moving Average, for instance, to a combination of charts, say, daily and weekly charts, or weekly and monthly charts, or a combination of daily, weekly and monthly charts.

So the higher the star rating, the greater the accuracy of that trade. A 3-star trade would have 60 per cent accuracy whereas a 7-star would have 90 per cent accuracy. Although the frequency of a 7-star trade would be less than a 3-star trade. In such cases, one may choose to risk higher than 1 per cent because the probability of making money is greater in this case. But this is for the next level. To begin with, one can stick to the 1 per cent rule. Keep it simple, and just get into the game.

Amateurs who attend our seminars are usually worried about losses and how to deal with them. Their anxiety is fathomable, considering that the world is full of petrifying tales of people who have lost fortunes trading the markets. But following this formula is the key to easing out the apprehension towards losses. Nothing could be simpler than just keeping a 1 per cent stop whenever you take a trade. The result is confidence, conviction and peace of mind.



## CHAPTER 10

# Trading—Is It a Business or a Profession? The Winners See It as Both

By Vishal

“The stock market must be studied—not in a casual way but in a deep knowledgeable way. To work in the stock markets requires the same study and preparation as law or medicine.”

—JESSE LIVERMORE

## Trading as a Business

Most people think trading and investing are similar to gambling. The results are uncertain as there are no probabilities of winning or losing. But professional traders consider trading and investing as a business.

Every business has two parts to it, one being the *cost* and the other being the *revenue*.

Let's assume you run a business of manufacturing and selling writing pens. The costs involved in this business would be the raw materials required to make the pens, the requisite machinery, salaries to pay employees who run the business, the packaging and delivery costs, and so on. The sales from the business form the revenue, which is where the money comes from.

Now let's assume your cost of producing one pen is INR 70 (USD 1.04)

and you sell it for INR 90 (USD 1.34), leaving a profit of INR 20 (USD 0.30) per pen for yourself. This means your revenue needs to be higher than your cost for you to make some profits. Now suppose there is a competitor in the market who sells the same pen of the same quality at INR 67 (USD 1). Now what do you do? In order to compete with him, you need to manufacture the same pen at a lower cost, maybe at a cost of INR 54 (USD 0.80). Thus, reducing the cost would help you increase your revenue. And, interestingly, certain aspects of costs are a given. Buying machinery, employing people, procuring raw materials, these are implied in every business. Without these, one cannot run a manufacturing business.

The business of training is similar, such as the workshops and seminars that I conduct to train people on how to make money from the stock market. In this business, the rentals that I pay for hiring the premises, training materials used and so on represent the cost of running this business, as against the revenue that I receive as the programme tuition from the attendees. My costs need to be lower than the revenue for the business to turn profitable.

## **What Is the Cost of Trading?**

Let us now examine the business of trading. What are the costs associated with this business and what is the revenue? Apart from the capital, which is a basic necessity for any business, let us examine the costs in this business. It demands neither infrastructure nor people and machinery. One may call and trade with any broker and place orders over the phone. Certain costs such as brokerage and transaction charges that we incur while trading are similar to the taxes we pay in any other business, even the manufacturing business discussed above, where we are subject to taxes such value added tax, goods and service tax (in India) and so forth. There is also an income tax that you pay on the money that you make. So in effect the taxes in both types of business under consideration—manufacturing and trading stocks—balance out. They are therefore outside the purview of this discussion.

Getting back to the costs in the business of trading, there are no real key costs here. What then is the cost of doing this business? There is no upfront cost to this business. The revenue, of course, is the profit one makes on one's

trades.

## **The Only Cost of Trading Business**

The real cost of doing this business is the loss we incur while trading. This means, like costs, *losses are a given*. You are going to lose money for sure. Why am I saying that? Because we are dealing with markets. And markets are made up of people who are emotional beings. When it comes to emotions, people have patterns. These patterns can be predicted, but not with certainty. Trading, therefore, is a game of probability. The word is ***probability***. Our analysis of the markets is driven by its past performance. Because a certain thing happened in the past, there is a likelihood of the same thing repeating itself. Our role is to predict these things in the future. So we essentially predict people, who are emotional beings. They have patterns which can be predicted.

### **Loss versus Cost**

The same is true with market behaviour, which is constantly evolving. There are times when the market, being the collective wisdom that it is, does not do what we expect it to do, just as there are situations where I may not react the way you expect me to. Suppose in the past the markets rose high and subsequently crashed. Then, the next time they soared, we might expect the same crash once again. Markets repeat this pattern, albeit with a different cadence. They do crash, but the pattern and timing may be different. It is then that we need to take up the losses—happy losses—rather gracefully.

|                                                                             |
|-----------------------------------------------------------------------------|
| The real cost of doing this business is the loss<br>we incur while trading. |
|-----------------------------------------------------------------------------|

The basics of greed and fear remain the same, but the pattern changes. We deal with probabilities. There is a chance that you will win, but there is also a chance that you may lose. And when you know that you stand a fair chance of losing money, you might as well lose small money. If you do not resist losses, and if instead you accept and embrace them, take them quickly and cut them short, then you are in the game. Once you are in the game, you can keep making money.

Getting back to loss as the cost of doing business, it is important to understand that the word ‘loss’ carries a negative connotation, while the word ‘cost’ carries a positive one. While purchasing machinery for manufacturing pens, you don’t say, “I lost money.” Rather, you say, “This is my cost to run this business.” Similarly, if you have to do the business of trading, you have to be ready to lose some money.

## **Routines of Business Systems**

Every business is driven by systems and process. Systems have rules. Let’s take the same example of the business of manufacturing pens. In this business, you have the raw material as the input which gets processed and gives you a pen, that is, your output. This input is a fixed formula, like an equation ( $a + b - c$ ), where you need to put the raw material in a particular machinery at a particular temperature in a particular way with many people to do the job. And if you do that, your output will be  $x$ —in this case a pen. So every time you insert the input ( $a + b - c$ ) you get the same output  $x$ . Same input leads to same output, whether it is an order for 3,000 pens or 5,000 pens or 20,000 pens. The inputs and the output—both remain constant. This is how businesses work.

## **Doing Business the Boring Way**

Let’s take another example, that of French fries made by McDonald’s. If you have ever had them at any two different McDonald’s restaurants across the world, you would have noticed they taste exactly the same. It does not matter in which countries the restaurants are located. Why is this so? Because the process of manufacturing fries is driven by a system. It has a fixed input and hence a fixed output.

One more aspect about business systems is worth noting. In the above example of McDonald’s, all their chains have a fixed *routine*. Every process repeats the same formula, thus making its execution *boring*. Have you ever spotted an enthusiastic, excited guy at McDonald’s offering you the fries? Does he ask you to taste the fries and tell him how he made them? He isn’t excited about this because he does the same boring and mundane thing every day for about eight hours each day! There is no infusion of his own creative input into the final product. Everything is process driven. He executes the

same process every single day for the chain to make money from the routine. This means businesses driven by systems are boring.

### How Varun Got #Cashtagged

I was 19 and into my higher studies when I attended the workshop “Anybody Can Trade™” along with my father, who was undergoing Vishal’s coaching programme then. This got me interested in the stock markets and trading. Prior to that, I had never done any such course and I was completely new to the subject.

But the coaches have been really good, helpful and dedicated to their work. Not only were they approachable, but they also make the whole programme fun. I am confident that now I don’t have to look for a job. I can continue trading for the rest of my life. Thank you very much.

—Varun Chatlani

## Jobs Are Boring

Similarly, if you are working at a job, you are employed by a company and given a work profile to execute. You work from 9 a.m. to 5 p.m. each day with tasks to do which are similar to an  $(a + b - c)$  that lists down things you are supposed to do or to refrain from doing. Upon executing these tasks for 25 days each month, you get  $x$  as your pay cheque. But when you come home after a full day of work, are you excited and enthusiastic about what you have done that day? Most of you are not. This is because you have been doing the same input every day. No creativity here. But that ensures you the same output— $x$  as your pay cheque. This is one more example of being paid for doing something that is *boring*.

In both the instances—business as well as a job—though your inputs are boring, you nevertheless get paid for doing the boring tasks. This implies that to make money from any business one needs to do the same boring stuff. How many of you would get excited when it comes to the business of trading? Do you feel thrilled trading the stock markets?

What is meant by ‘thrill’? A thrill means excitement and pleasure. A thrill



comes when there is uncertainty. For instance, let's say you are watching the Super Bowl live. It turns out to be a tight game. In the last few minutes, you do not know who will win the game. You feel the thrill in the anticipation of who will win, as the outcome is indeterminate.

Now assume that you missed the live game and are catching up on its highlights the next day. Would you feel the same thrill now? Probably not, because you know the result. Knowing what the outcome is kills the thrill element completely. It is uncertainty that brings the thrill and excitement. We find the rides at amusement parks super exciting and thrilling due to their uncertainties and surprises. But operating these rides is an inherently boring job to the operator, due to the repetitive nature of their work. They do not find anything exciting about the park.

## **Killing the Thrill of Trading**

Markets are likewise full of uncertainty. Uncertainty generates a thrill, as in watching a game of sport, discussed above. As traders or investors, however, we do not want a thrill; rather, we want to make money. We do not want excitement; instead, we want trading systems that are boring.

If asked how they trade, most people would reply that they trade based on news they received from a source or on a recommendation received from a friend, or that their broker asked them to, or that they spotted a trade based on a technical indicator or that they felt the fundamentals of a company are good, or that they had a gut feeling they should take this trade. These are their inputs to buy or sell. Someone who is trading already can easily relate to what I mean. When you insert these different inputs, will you get the same output? No! Even though you end up making money on all of the above trades, you cannot repeat the wins since the actions were discretionary. The reasons for trading—the inputs—were all creative. There was no system, and no rules. Your friend will not give you the same tips and calls again. You may not get the same gut feeling again. It is great to make money through gut feelings, but you can never repeat the same thing.

|                                                                      |
|----------------------------------------------------------------------|
| Businesses are all about systems, which in turn are all about rules. |
|----------------------------------------------------------------------|

Businesses are all about systems, which in turn are all about rules. And the rules say that to produce the same output, we need the same input. Once you get that, you need to design a system that tells you to buy, sell or hold. With a system in place, along with its rules, the business of trading becomes *boring*. And money making becomes easy only if the process is *boring*. Until you remain excited and thrilled, which most people in the stock markets are, you will not be able to make money trading. One can tell whether one is excited about trading from the way one talks about one's trades, which distinguishes a pro trader from a poor trader who lacks a system. Although there may be a few periods where everybody makes money, such as in a bull trend, that is no proof of your expertise. It could be a sheer stroke of luck where you were part of a market that supported you. It is only when you can talk about the markets, about your profits and losses in a mundane and routine manner that you have become a pro trader.

## **Trading as a Profession**

The activity of trading and investing could very well be a profession, and one of the best ones to have. Consider any profession—being a doctor, a lawyer or a chartered accountant. Each of these requires years of study and practice of the subject. If you aspire to be a professional trader, you need to learn to work like a professional. How do professionals work?

Consider a heart surgeon, for instance. Let's assume on average he operates on three people each day. On a particular day, the first patient he operates on fails to survive. This is in spite of the surgeon's giving his best effort to the operation and following the appropriate surgical process. Once the operation is finished, what might he say? Would he say, "I feel guilty for not being able to save that person in the operating room" or "I no longer have the right temperament to carry out the next operation"? With any of these thoughts on his mind, his hands may shake when he performs the next two operations.

|                                                                                                                              |
|------------------------------------------------------------------------------------------------------------------------------|
| Trading with gut feelings and random actions<br>will only give you excitement and thrills,<br>leading you to financial ruin. |
|------------------------------------------------------------------------------------------------------------------------------|

A professional surgeon does none of this. Once a procedure is completed, the next question he asks is, “Who is next?” This is irrespective of the outcome of the previous operation. This is how professionals work. Similarly, professional traders too ask the same question after every trade, “Who is next?” They do so irrespective of the outcome of the previous trade. Their previous trades never affect their next trade. This is possible only when you have the right strategy and risk management formula in place. Trading with gut feelings and random actions will only give you excitement and thrills, leading you to financial ruin.

### **#CASHTAGS Action Points for Section 3:**

1. Recall your three major trading or investing losses.
2. Which of the four rules of the casino were not applied when you incurred each of the above losses?
3. Practice calculating the 1 per cent risk formula with three different capital sizes and three different trade set-ups.
4. As we have seen in Chapter 9, to become a professional trader, one needs to spend some time developing certain skills. What is the timeline you are willing to give yourself to learn the skills to become a professional trader?
5. What specific skills related to trading (mindset, tools, trading systems) are you willing to learn and master? From where will you learn these (books, seminars, workshop, coaching and mentoring)?



## SECTION 4

# Your Toolkit—These Tools Will Help You Win



Businessmen opening a shop or a store would not expect to make over 25% on their investment in the first year. But to people who enter the speculative field 25% is nothing. They are looking for 100%. And their calculations are faulty; they fail to make speculation a business and run it on business principles.

—JESSE LIVERMORE





## CHAPTER 11

# Why Technical Analysis? The ‘Other’ Analytic That Will Help You Make More Money and Gain More Confidence!

By Meghana



“The realisation that you are responsible for your  
results is the key to successful investing.”

—DR. VAN THARP



Universally, one can say there are two ways to make money trading the markets. These strategies involve using

1. fundamental analysis and
2. technical analysis.

### **Fundamental—The Cause**

Let us consider fundamental analysis. In a broad sense, studying the fundamentals involves the detailed study of a company's financial statements—the balance sheet and profit and loss statements. And then there are ratios. One may have heard about the earnings per share ratio, price earnings ratio, debt equity ratio and return on equity ratio. These are part of financial analysis. I believe one needs a certain degree of financial literacy to understand them. Also, fundamental analysis is much beyond the studying of these. One also needs to consider the company's management, the sector it operates within, its corporate actions, global markets, competitors, oil price,

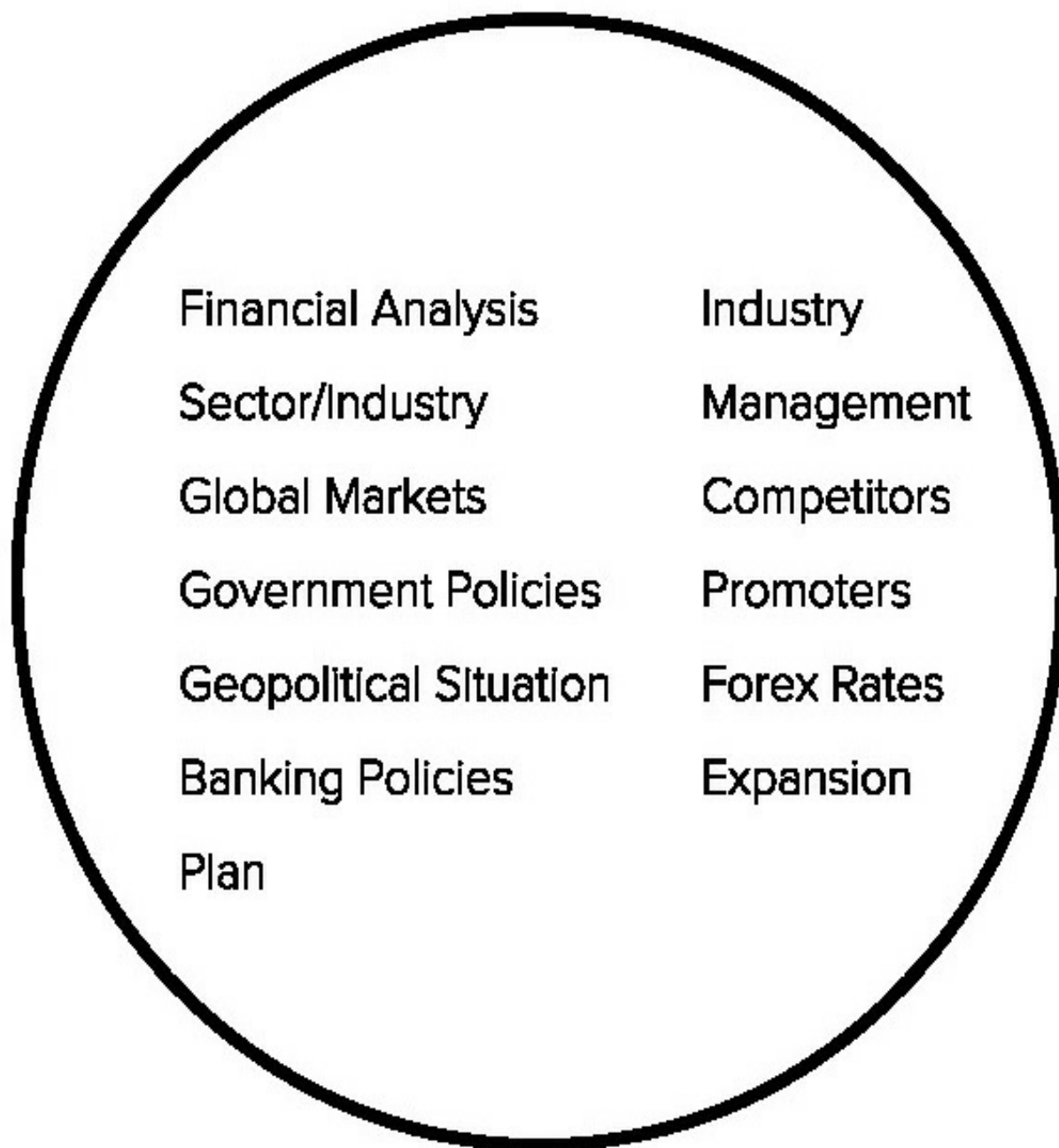


dollar price, government policies, interest rates, the geopolitical situation in the country where the company is located and much more. There are numerous variables that affect a company.

To analyse a company, one needs to know the complete picture. Data collection and analysis is a time-consuming process. Assuming that one receives all the above information on a piece of paper in a ready-to-use format, what can one do with it? Analyse it, of course, you might say. But to analyse this data, one needs to have the right skill set, a graduate degree in finance or a degree in chartered accountancy at the minimum. Add to this some amount of experience in the field to analyse the data correctly.

Obsolescence is another aspect here. Data and skills aside, by the time a layman successfully deciphers the relevant studies, the data changes. This is because the time taken to gather and analyse the data is painfully long. A few variables, such as currency rates or interest rates, are bound to undergo rapid fluctuations.

Considering the above, the efficacy of fundamental analysis for laymen is very low.



**Figure 4 – Fundamental Analysis – Causes**

Now consider the above diagram. The sphere contains variables of analysis—company statements, ratios, management, corporate actions, currency rates, oil prices, interest rate competitors, geopolitical situation and so on. A few people have the know-how of and can analyse a part of this data—let's assume the company statements. While a few of them look at the rates, another few study competition, while many of them form their opinions

based on management actions and competition. This is just an assumption. Everybody ends up knowing something about the company, but there is nobody who knows everything about it.

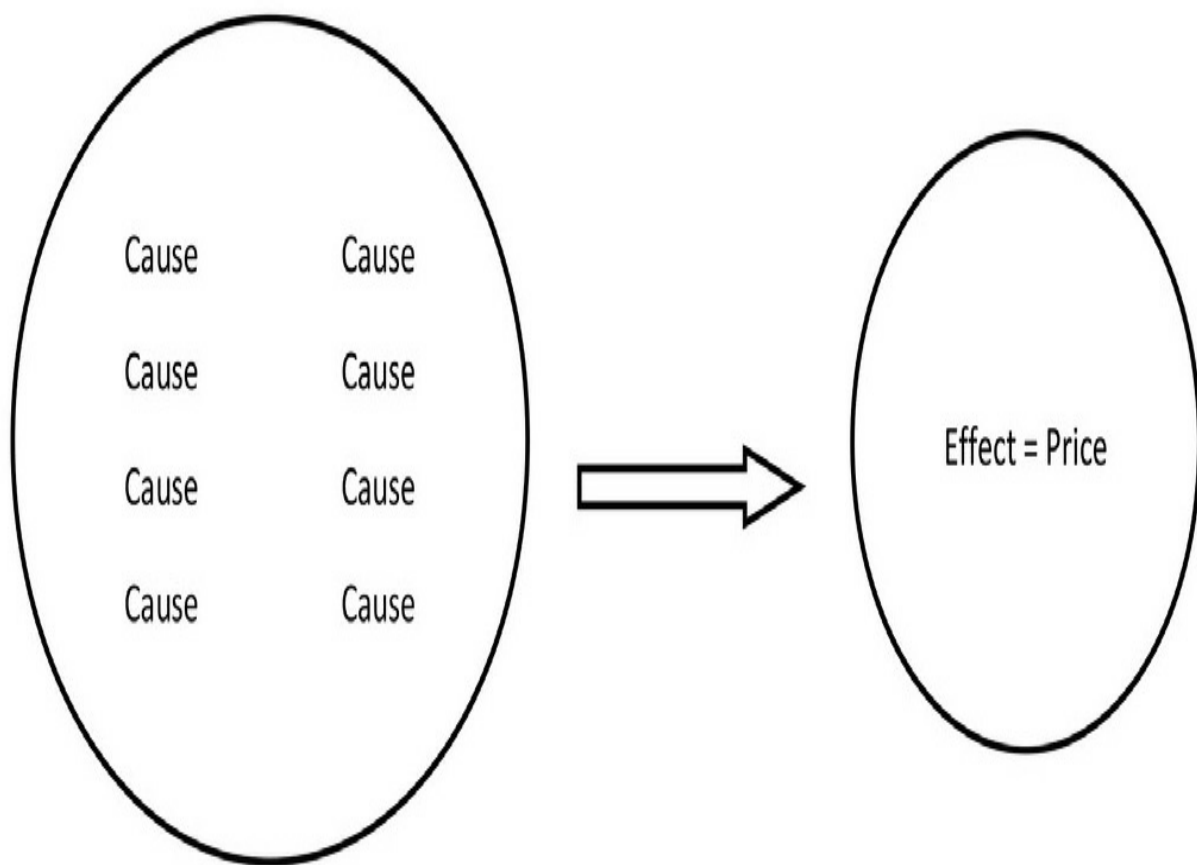
Nevertheless, everybody trades the company's stock on the same platform at the same price. There are no different platforms for different people. These traders and investors collectively agree on something called the *price*. Price is derived by people because they trade the markets. These people include homemakers, retail traders (who trade daily, albeit for smaller gains), large traders, mutual funds, broking houses and domestic and foreign institutions.

Everybody ends up knowing something about the company, but there is nobody who knows everything about it.

The variables listed within the sphere above are the *causes* because they are the reason why the company functions, and because the company functions, there is a price. Fundamental analysis is therefore a *cause* and the resulting price is the *effect*.

## **Technical Analysis—The Effect**

What you study in technical analysis is the price. Hence, fundamental analysis is the *cause* and technical analysis is the *effect*.



**Figure 5 – Cause and Effect**

Causes may be numerous, but the effect is singular. When studying the causes, there is a possibility that one may either miss or misinterpret a couple of them. But price is singular. The study of price is what technical analysis is all about.

Let us understand how this works. The causes mentioned above lead to an effect, which is price. Price moves either up, down or sideways. Price moving in an upward direction is an indicator that the fundamentals of that company are performing well. Now, do we really need to know what part of the fundamentals are doing great? For example, is it the company's products or its sales or the manner in which the company is beating the competition or the reduction in its manufacturing cost? Well, the answer is *no*. As a trader or an investor, all that you are interested in knowing is whether the price is moving up or down. This simplifies the whole process as it reduces it to just one factor that you need to analyse when studying the market, rather than

considering 20 different factors.

So you need not watch any television news channel, or study any newspaper or magazine, or scout through websites or be part of discussions with anybody about the markets. Why? Because you do not need that information. In fact gathering that information would influence you in other ways. Everything you need to know is contained in the price. Every piece of information is captured by the price. The markets know everything, whether the people trading it know it or not. Therefore, once you study the price, you do not need any other information, be it from the television or the newspapers or websites.

This is why **technical analysis** is called the study of **price**. Price is derived by traders and investors all over the world trading on the same platform. Studying price is akin to the backdoor study of fundamentals.

### **The Heart of the Market**

Let's consider this using the analogy of a health report. Assume that one morning, you suddenly begin to feel ill. You rush to your family physician. He is aware of the subtleties of your body. Finding nothing wrong peripherally, he suggests you to get an Electrocardiogram (ECG). The ECG report arrives and is made up of lines on a graph, which is beyond your understanding to decipher. So you visit a heart specialist and show your report to him. He studies it, noting the lines on the graph, based on which he tells you the state of how things are. As far as this doctor is concerned, it doesn't matter whom the report belongs to. It could well have been someone else's. The reading of it and the conclusion would still remain the same.

Technical analysis is very similar to this. The lines on the chart tell us everything we need to know about a stock. These lines are the heart of the market. If anything goes wrong with the 'heart', it immediately shows up on these lines. We have therefore named our workshop for beginners "*Anybody Can Trade™*" (ABCT), since we strongly believe this is the case. In one of these workshops, we had two kids aged 12 and 14 attending along with their mother. Not only did they understand the simple strategies taught therein, but they also went on to trade immediately with their small trading accounts and, using the knowledge they learned, they made their initial trade earnings. This

is what they wrote to Vishal a few weeks after attending the workshop:

**How Srikar and Pranav Got #Cashtagged**

Dear Vishal Uncle,

Both of us have made Rs. 10,000/- and Rs. 13,000/- respectively on the Coffee Day and Action Equipment stocks using the System 2 that we learnt. Thank you, Vishal uncle. ABCT rocks!

—Srikar and Pranav

Vishal holds a management degree in finance from one of the premier institutes in India. From graduation up to today, he has never looked at company statements. Neither do we subscribe to business newspapers or business television channels. We do not feel the need to do it. I believe things out there are complicated, subjective and run a fair chance of misinterpretation. Studying them is no plain sailing, it requires huge amounts of data, skills and time. My intention is to empower the common man, who does not have any kind of expertise, to analyse company statements but still wants to make money trading the markets. I believe the best answer to doing that is technical analysis.

**Affirmation—Technical analysis is easy and I can do it.**

## **Fundamental Analysis versus Technical Analysis**

The essential differences between the two forms of study are the following:

1. Fundamental analysis is the cause, whereas technical analysis is the effect.
2. Causes may be numerous, but there is only one effect.
3. The shortest time frame of the variables to be studied under fundamental analysis may be quarterly or monthly (based on how often companies publish their statements). The time frame in technical studies can go down as low as a one-minute chart.
4. Fundamental studies therefore offer a longer-term view of the company's price movements, whereas technical studies can be used to forecast long- as well as short-term movements. I have often seen people express the

notion that technical analysis renders only a short-term perspective. This is incorrect. I have been trading and investing for more than ten years and I use the price movements to decipher both long- as well as short-term moves. All it takes is adjusting the time frame of the chart under study. So the notion that fundamental analysis is for the long term and technical analysis is for the short term is just one of the many long-prevalent myths of trading.

Affirmation—Technical analysis is easy and I  
can do it.

5. Studying fundamental tends to get subjective, due to the manner in which the data is deciphered, whereas price charts are a definite structure—be it bullish or bearish, or buy or sell.
6. Technical studies are comprehensive. One may use them independently to trade as well as invest successfully. Fundamental studies tend to ignore the risk aspect. The elaborate documents and reports on which studies are based most often do not address the risk involved in an investment—which means there is no mention of a price point below which the investment needs to be liquidated. Risk is one of the most vital factors in trading and investing in the marketplace.

## **Technical Analysis—the Way to Go**

When Vishal began practising technical analysis sometime around 1995, there was no economic charting software available. Most such software programmes sold at a high premium, making it impossible for the average person to afford one. As a result, people used to maintain charts and data manually in a rule book. Back then, technical analysts were referred to as *chartists*, much to their annoyance. They were considered as step-siblings to fundamental analysts and were looked down upon.

But today, the technical method of analysing the markets has become indispensable and complements its fundamental counterpart. Their interdependence has increased as fundamental analysts rely upon charts to time their entry into an investment. Technical analysis has been used as a form of study from the eighteenth century onwards. Numerous studies have

been written on the subject. Millions of traders and investors across the globe use these studies to make money successfully.

Having discussed why we chose technical analysis, let us now turn to understanding a few basic tools from the technical analysis toolkit.









## CHAPTER 12

# The Pro Trader's Tools for Technical Analysis

By Meghana



The answer always lies on what the markets say and not trying to figure out the why.

**—TRADE LIKE JESSE LIVERMORE  
BY RICHARD SMITTEN**



## **Spoilt for Choices?**

The technical analysis toolkit is filled with a legion of tools to choose from, study and master. To name a few, we have moving averages, trend lines, oscillators, indicators and so on. Tools help us understand the selection of stocks to trade. Your toolkit answers the question, “What to trade?”

From among this pool of tools, we intend to focus on the simplest of the lot—moving averages, the oscillator relative strength index (RSI) and candle charts. These suffice to enable a novice trade the markets based on simple systems, which are covered in section 5 of this book.

Tools can either be simple or esoteric. Vishal began learning the process of trading armed with a few of them. Upon incurring losses, he thought that his knowledge of tools was not sufficient for him to make money trading. So he began learning about more tools, only to realise that his knowledge still

didn't suffice. This continued for a few years. He spent large amounts of time as well as money learning more and more tools from the technical analysis toolkit. His chart screen resembled a rocket scientist's workstation. Then one day he attended a workshop presented by the legendary Larry Williams in India. At the workshop, he learned that he didn't need too many tools, that he could manage with only a few of them. The idea is to go deep, not broad.

That is therefore what we have been doing all these years: digging in deep into the few tools that we follow and teach. My intention for you is to do the same—master a few tools *in depth* rather than learning too many of them in fragments.

Having discussed the role of tools, let's now examine a few of them.

## **What Are Charts?**

In the previous section, we said that technical analysis is all about price, which is plotted on charts. A chart is essentially the graph that we all learnt in high school. It is simply a graphical representation of a series of prices over a set time frame.

Each day when the markets open we get some information and data points—the price points. In Indian equity markets, the first price point is received at 9:15 a.m. upon opening. This is the *Open* price. During the day, the market moves up and/or down, creating a high and a low for the day. These pivots become the *High* and *Low* price each. The last traded price upon closing is called the *Close* price. These are the four vital prices of the day—open, high, low and close (O, H, L and C). The most important of these is the close price since this is the price when buyers and sellers, after a whole day's negotiation, finally conclude at a price and settle it for the day. Hence, this becomes a reference price until there is an opening price the next trading day.

|                                    |
|------------------------------------|
| The idea is to go deep, not broad. |
|------------------------------------|

If you need to calculate the value of your portfolio or redeem your mutual funds or calculate your profit and loss on open derivative transactions, you do so on the closing price. Hence, this is why this price is important.

Next in the hierarchy is the open price, and the last are the high and low

prices, since these are temporary prices. The above prices are plotted on a graph to represent a chart.

A chart may show a stock's price movement over a one-year period, where each point on the graph represents the closing price for each day that the stock is traded. Refer to the chart below, which is a representation of the price movements of a commodity futures over a 14-year period.

Gold Futures, (CFD):GC, M



**Figure 6 – Gold Futures, Monthly Chart**

*Note: All the charts in this book are the courtesy of Investing.com.*

The bottom of the graph running horizontally, which is the X-axis, is the date or the timescale. On the right hand side, running vertically, which is the

Y-axis, is the price scale.

## **The Timescale**

The timescale is the range of dates at the bottom of the chart. This can vary from seconds to decades. The most frequently used timescales are intraday, daily, weekly, monthly and quarterly. The shorter the time frame, the more detailed it appears on the chart. Each data point can either represent the closing price of the period or show the open, the high, the low and the close, depending upon the chart used.

Intraday charts plot price movement within the period of one day. This means that the timescale can be as short as five minutes or can cover the whole trading day from the opening until the close.

Daily charts are comprised of a series of price movements in which each price point on the chart is a full day's trading condensed into one point. Again, each point on the graph can be simply the closing price or can entail the open, high, low and close for the stock over the day. These data points are spread out over weekly, monthly and even yearly timescales to monitor both short-term and intermediate trends in price movement.

Weekly and monthly charts are used to analyse longer-term trends in a stock's price movement. Here, each data point is a condensed version of what happened over a specific period. In a weekly chart, each data point will be a representation of the price movement for the week. For instance, in a weekly chart of a stock spread over a three-year period, each data point represents the closing price for the week. This price is the closing price on the last trading day of the week, usually a Friday.

## **The Price Scale**

The price scale appears on the right side of the chart. It shows a stock's current price and compares it to its past data points from lower to higher price points as one moves along the scale from the bottom to the top. A scale can be constructed in two ways:

- a. Linear or Arithmetic** – Each price point is separated by an equal amount. This scale measures move in absolute terms and does not



show the effect of a percentage change in the stock's price.

- b. Logarithmic** – Each price point is separated by an equal percentage. It shows the effect in terms of a percentage change and not in absolute terms.

Both of these options are available in most charting software.

These are the basics of every type of chart.

### How Hiren Got #Cashtagged

Dear Vishal and Meghana,

My journey with Malkansview began two years back on 25 July 2015 when I attended “Anybody Can Trade™” along with my wife, Nancy. It was my privilege to be part of the “TraderinMe™” Programme. I consider myself lucky to be part of this journey. During these two years, both of you have deeply touched and inspired me in every aspect of my life. I can clearly see myself evolved as a better father, son, husband and, most importantly, person.

I agree that my journey into the Programme had a lot of ups and downs on both the professional and the personal front, but your education has truly helped me withstand all the challenges. Learning from both of you was nothing less than a once-in-a-lifetime experience for me.

I am grateful to both of you and deeply appreciate your contribution in my life. You both will always remain in my prayers for the rest of my life. I wish you glittering success for all your future endeavours. A big thank you to both of you!

—Hiren Bhatt

## Types of Charts

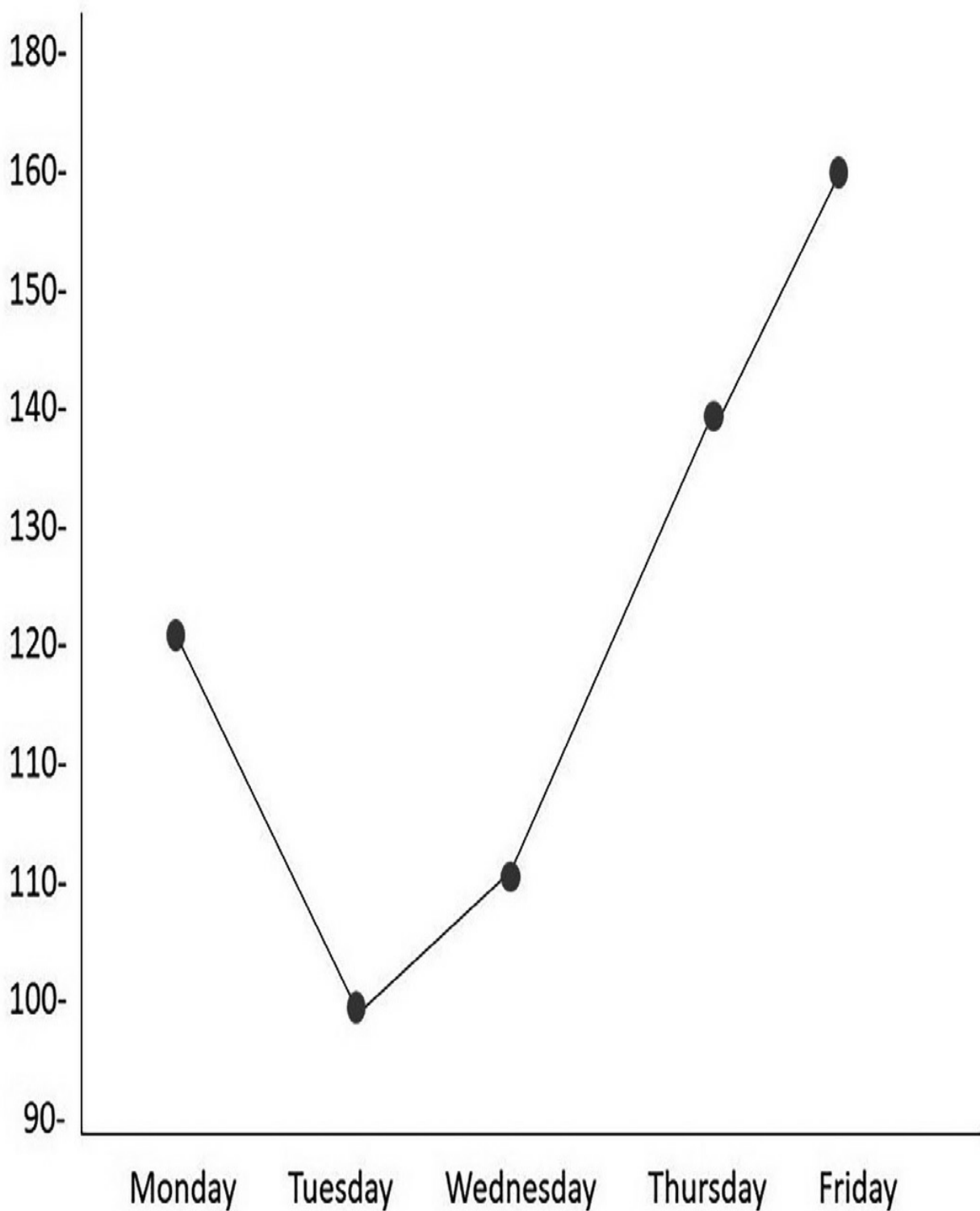
Let's consider the different types of charts. There are four main types of charts that are used by traders and investors depending on the information that they seek and their individual skill levels. These are the line chart, the bar

chart, the candlestick chart and the point and figure chart. Notice how the data used to create the charts is the same, but the way in which it is plotted is different.

### **A. Line Charts**

The most basic of the four charts is the line chart because it represents only closing prices over a set period of time. The line is formed by connecting the closing prices over a period of time.

For instance, let's say stock XYZ closed at 120 on Monday, at 100 on Tuesday, at 110 on Wednesday, at 140 on Thursday and finally ended the week at 160. All these price points connect to form a *close line chart*. To know the price action for the week, a single glance at this chart would suffice.



**Figure 7 – Close Line Chart Drawing**

Below is the chart of Nifty from a trading software programme.

Nifty 50, India, NSE:NSEI, D

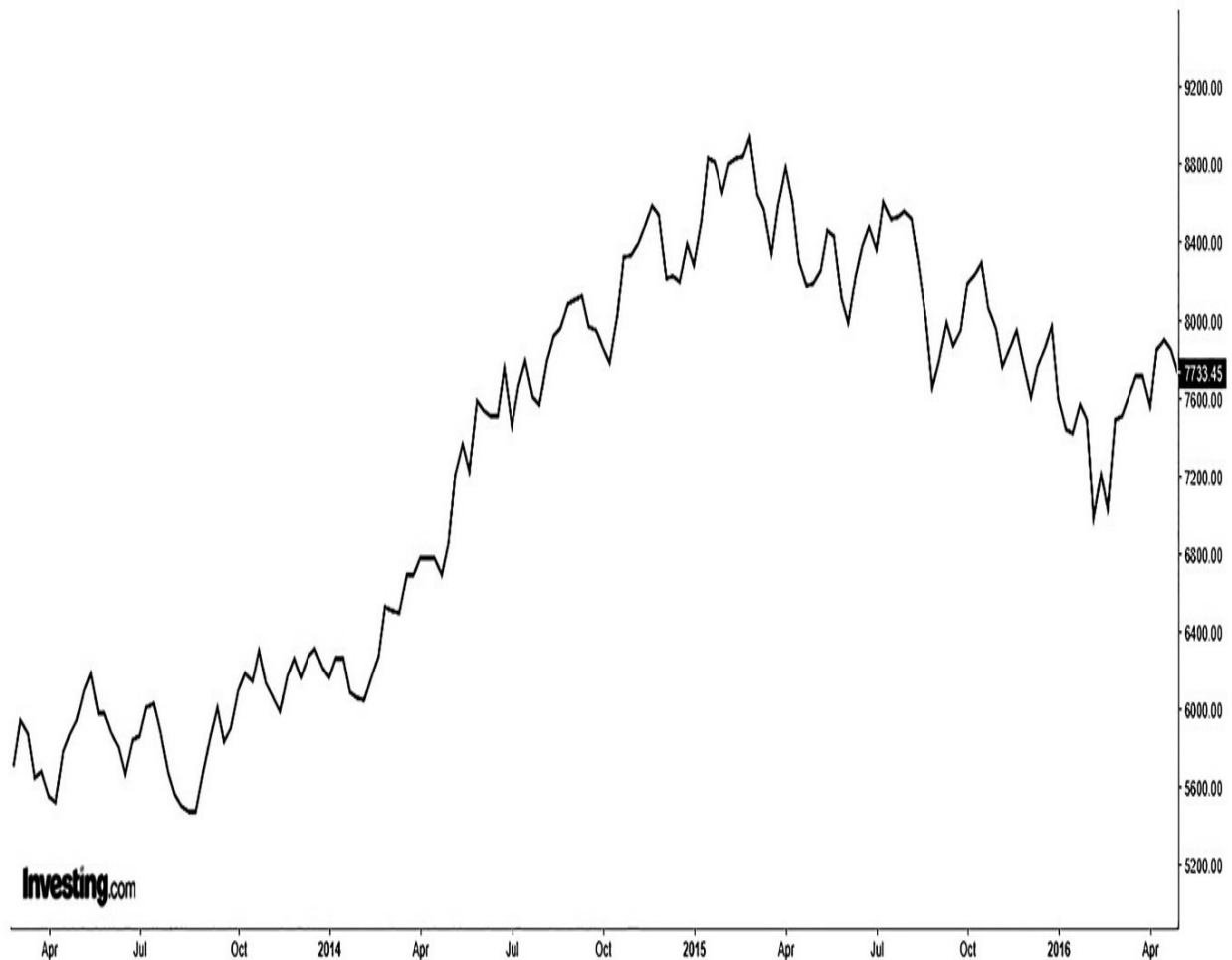


**Figure 8 – Nifty Daily, Close Line Chart**

This is the daily chart of Nifty, the benchmark index of the National Stock Exchange (NSE) of India. Nifty is calculated from 50 stocks actively traded on the NSE. If you look carefully at this closed line chart, the X-axis mentions the months March, April, May and so on, and the Y-axis depicts the price: 10,000; 10,200; 10,400; 10,600 and so on.

A daily chart would have a price point marked on each trading day of the week. If I switch the same chart to weekly (refer to the chart on the next page), it marks one price point per week, with the close price as the one on the Friday of that week. Five prices merge on a weekly chart into one single price.

Nifty 50, India, NSE:NSEI, W



**Figure 9 – Nifty Weekly, Close Line Chart**

When we move to the monthly chart, it now accommodates about 20 years' worth of data with only 12 price plots in a year, one for each month. The price taken is the closing price of the last trading day of the month.



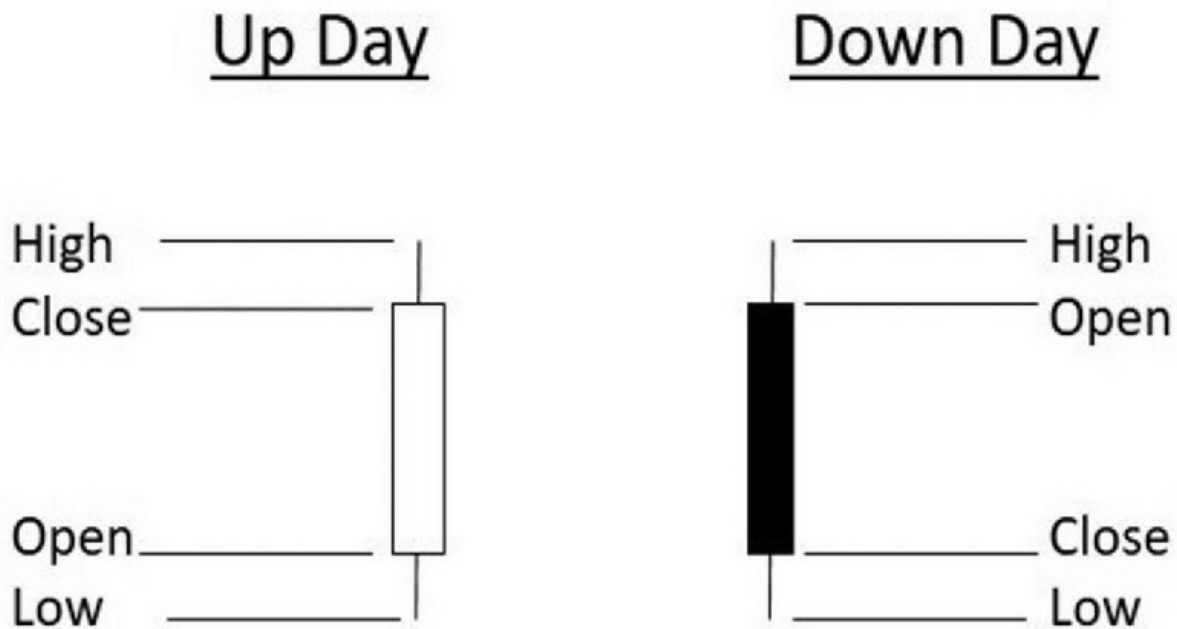
**Figure 10 – Nifty Monthly, Close Line Chart**

Notice that a line chart shows only the closing prices of the period used. It does not provide visual information of the trading range for the individual points such as the high, low and opening prices. However, the closing price is often considered the most important price in stock data compared to the high and low for the day.

## **B. Candle Charts**

A candle chart is more visually constructed. Candles illustrate the difference between the open and close very clearly. They rely heavily on the use of colours to explain what transpired during the trading period. There are two colour constructs in these charts – one for **up days** and the other for **down days**, depending on the website/software that one uses.

Refer to the picture of the candle construction below:



**Figure 11 – Candlestick Drawing**

The daily candlestick line contains the market's open, high, low and close of a specific day. The candlestick has a wide part, which is called the *real body*. This real body represents the range between the open and close of that day's trading. When the real body is

1. filled in or black, it means the close was *lower than* the open, and
2. empty or in green, it means the opposite – the close was *higher than* the open.

Above and below the lower body are the *shadows*. These are generally referred to as the *wicks* of the candle. These shadows show the high and low prices of that day's trading. If the upper shadow on the filled-in body is short, it indicates that the open that day was closer to the high of that day. And a short upper shadow on a white/unfilled/green body dictates that the close was near the high. The relationship between a day's open, high, low and close determines the look of the daily candlestick. Real bodies can be either long or short and either black/red or white/green. Shadows can also be either long or short.

Below is the candlestick chart of Nifty from a trading software

programme.

Nifty 50, India, NSE:NSEI, D



**Figure 12 – Nifty Daily, Candle Chart**

Candle charts represent merely the reactions of traders in the marketplace at a particular time. The fact that human beings often react en masse to situations allows candlestick chart analysis to work.

This charting method was invented in Japan centuries ago. Credit for bringing them into the Western world goes to Steve Nison, who took the initiative to reveal these candlesticks in his book, *Japanese Candlestick Charting Techniques*. (You may read this book for more information on candle charts.)



Candle charts are easier to study because they present a visual display. They give the much-required three-dimensional effect to our chart study. They have become very popular among traders. For ease of understanding, we shall use either closed line or candlestick charts in this book, since bar charts are more or less absolute.

*Note: Since the point and figure charts are not well known or used by the average investor, they are not explained in this book.*

**Affirmation—I love to see charts. They are easy.**

## Software

There are two types of software:

- 1. End-of-Day Software** – Prices are updated into the software after the day is over. These software programmes are cheaper than their other counterparts and are user friendly too. One of these is essential for daily analysis of stocks and indices.
- 2. Intraday Software** – Prices are streamed live into these software programmes. The frequency can vary anywhere from a multiple of seconds to minutes to hours, extending to days, weeks and months, whatever one chooses. These are expensive compared to their end-of-day counterparts. They are not necessarily a part of a beginner's toolkit.

They give the much-required three-dimensional effect to our chart study.

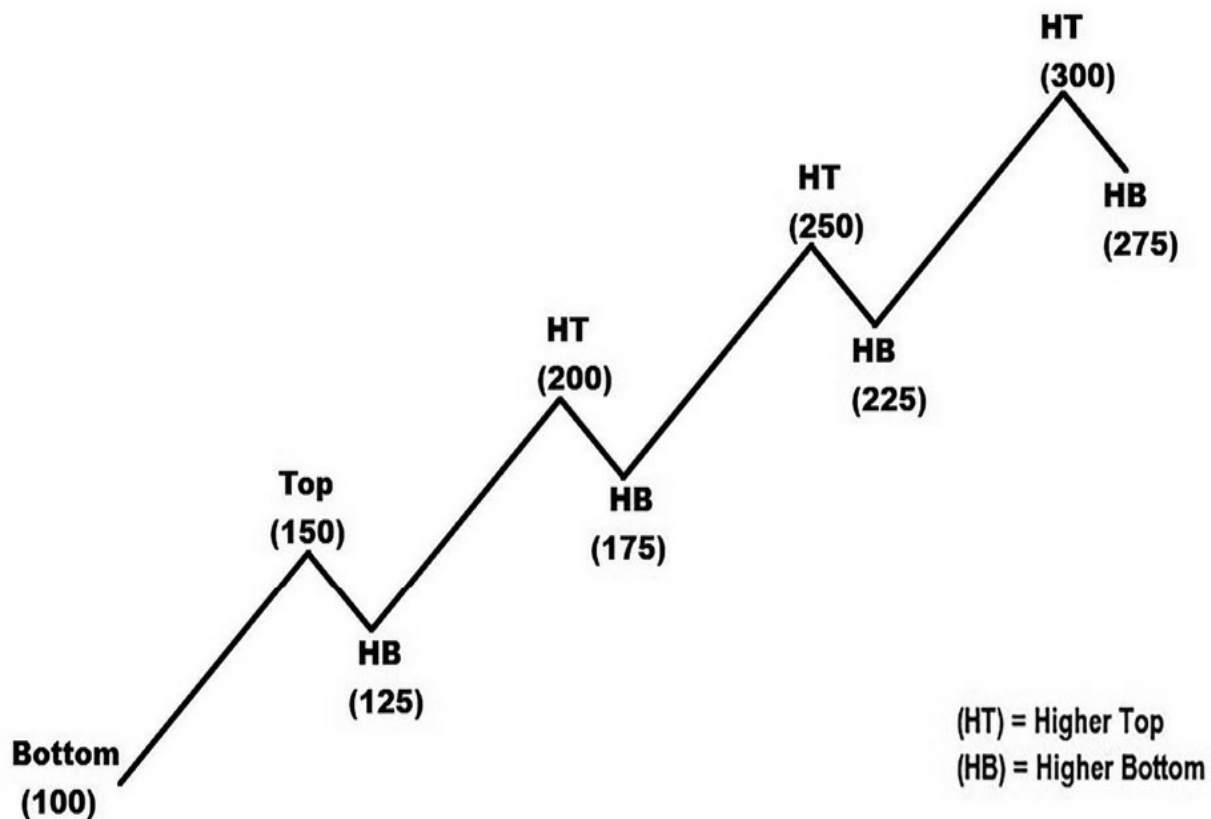
While there are a few websites that offer charts for free, owning a good software programme is essential if one wants to get into detailed analysis. Having one installed in your computer is easier and handy as compared to reading charts from free websites since access to these free websites depends upon a good Internet connection too. Therefore I strongly recommend people own an end-of-day software programme.

## What Are Trends?

There are three types of trends: uptrend, downtrend and sideways.

Let's look at these trends and how we can define them. Studying the chart below may seem baffling at first. We therefore need to define a trend with some kind of standard parameters. Let us first consider how trends are created. A stock never moves either up or down in a straight line. It tends to move in a zigzag manner. These zigzags form a sequence of bottoms and tops. We need to decipher this sequence to know the trend.

Let's assume a stock which was trading at 100 moved up to 150 and then came back to 125, moved up to 200 and came back to 175, and moved up to 250 and then 300 (refer to the diagram below). Did you observe that the tops are higher and the bottoms are higher too?



**Figure 13 – Sequence of Higher Tops and Bottoms**

There are demand and supply forces at play in tops and bottoms.

1. Demand gives support to price, sending it upwards and thus forming a bottom. Hence bottoms are the zones where demand exceeds supply.

2. Supply works as resistance to price, sending it downwards and thus forming a top. Hence, tops are the zones where supply exceeds demand.

For instance, let's assume people begin to buy a stock which is presently trading at 100 levels. This demand sends the price rising to 150 levels. Say there is supply at this level, which sends the stock down to 125. Now assume that people are ready to buy this stock at 125 without waiting for it to decline any further. Note that this happens only when people perceive that this is the right price to buy this stock; hence, they are ready to pay a premium. This typically happens when their perception of the stock is bullish. This demand sends the stock higher to 200, thus forming a higher bottom at 125.

A stock never moves either up or down in a straight line.

This is the sequence of higher top (HT) and higher bottom (HB), which is an *uptrend*, shown by the figure on the previous page. This is characterised by a series of consecutive higher tops and higher bottoms.

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**#CASHTAGS Principle:**

*Higher top, higher bottom is an uptrend.*

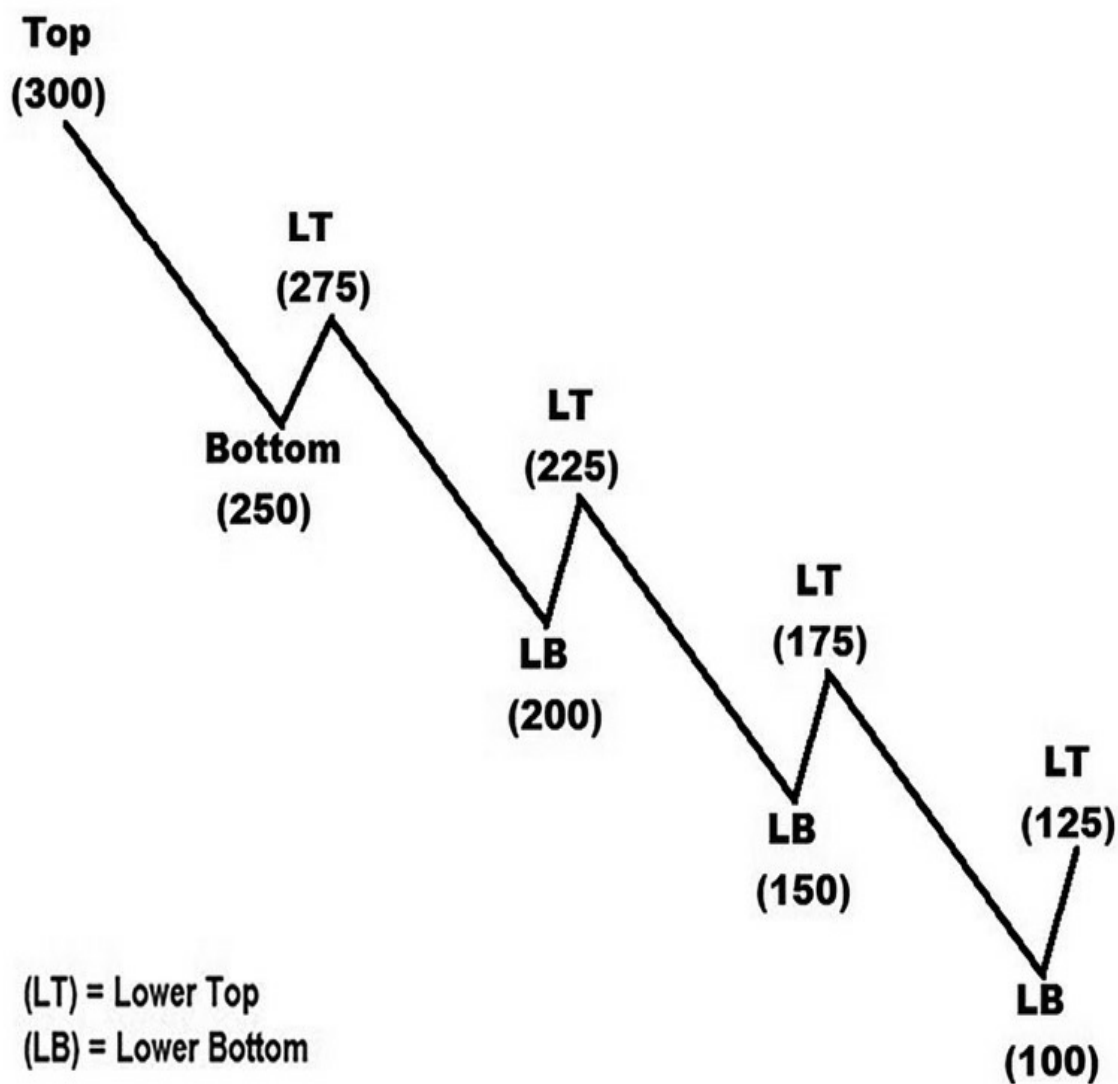
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Note that this sequence is not perpetual. It halts at some price point. That is where the trend changes. A change in this sequence is evident then.

At a particular point, the price may face resistance. This is where supply exceeds demand. The price begins to move down. From trading at 300 levels, the stock plummets to 275. People are ready to sell this stock at a lower price. This means the perception of people has now turned bearish, which makes them think that the markets may go down. They agree to sell the stock for fear that the price may decline further. Notice the shift in trend, with the lower top now in place at 275.

Once the price breaks the previous support, which was 250 and moves

below it, we have then established a sequence of lower tops (LT) and lower bottoms (LB). This is a *downtrend*. Observe the figure below.



**Figure 14 – Sequence of Lower Tops and Bottoms**

The above figure shows a downtrend in motion, with a sequence of lower tops and bottoms.

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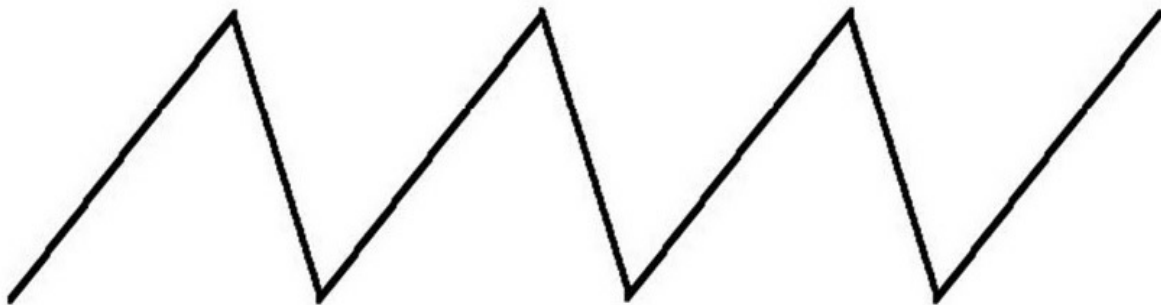
**#CASHTAGS Principle:**

*Lower top, lower bottom is a downtrend.*

---

Thus, while in an uptrend, the break of the latest support or bottom changes the trend to downside. The same is true in a downtrend—the latest resistance or top needs to be crossed to change the trend to upside.

Apart from these two trends there is a third trend, which has neither higher tops nor lower bottoms. The tops and bottoms are more or less at the same levels. It consists of lateral movements within a range, which forms a *sideways* trend.



**Figure 15 – Sideways Movement**

The above figure shows a non-trended movement. These non-trended zones are indeed tough to trade due to the lack of up and down moves. It is only during trends that one makes money. When one is in a non-trended zone, one may use some other tools like options. But the brighter side is that a well-established trend, either up or down, emerges after a sideways move. This provides a wonderful opportunity to make money. With the choice of plenty of stocks and instruments being traded across the world, there will always be a few instruments that are in the trended zone. Those are the instruments or markets one should be trading. If you are trading only Indian equities or any other equities market, you could look for well-trended stocks to capture their trends.

Observing trends is by far the simplest way to  
trade the markets.

Observing trends is by far the simplest way to trade the markets. This strategy never goes wrong because it follows a market trend at all times.

When both the long-term (monthly) and medium-term (weekly) charts

show an uptrend, one may choose to be an investor. When the short-term (daily) charts show an uptrend, you may choose to be a trader. This helps differentiate between the two, at a very elementary level. If the trends on all three time frames are mixed, then one has to approach the markets from a trader's perspective. If all three of them are moving upwards, you may approach it from an investor's perspective.

## **Magical Moving Average**

Having discussed the charts, let us turn now to the basic tools from the technical analysis arsenal. We shall begin with studying the moving averages for their simplicity in analysing the charts.

A moving average is the average price of a security over a set amount of time. This smoothens out the price movement of the security. Once we remove the day-to-day fluctuations, trend identification gets simpler.

For instance, if you need an average of 20 data points on the chart, sum up all those 20 prices and divide the total by 20 to get an average. This is called the simple moving average. Refer to the chart below.

Nifty 50, India, NSE:NSEI, D

MA (20, close, 0)



**Figure 16 – Simple Moving Average**

The above chart has a 20-period moving average laid over the price.

Now observe the chart below, which uses a combination of two moving averages, 20-period and 50-period.

Nifty 50, India, NSE:NSEI, D

MA (20, close, 0)

MA (40, close, 0)



**Figure 17 – Two Moving Averages**

In most cases, we use the closing price of a stock/commodity or index for a moving average calculation. There are other types of moving averages, too, apart from its simple version. These are the linear weighted average and the exponential moving average. Essentially, they differ in the calculation used, where more weight is given to the recent data. For ease of use, we shall use the simple moving average.

Moving average is the simplest yet most powerful tool in the technical analysis toolkit.



## Uses of Moving Average

Moving average is the simplest yet most powerful tool in the technical analysis toolkit. Its more important uses and indications are the following:

1. Moving average not only identifies the current trend in the market but also indicates their reversal. As you can see in Figure 17 on page 143, when a moving average is heading upward and the price is above it, the security is in an uptrend. Conversely, a downward-sloping moving average with the price below it indicates a downtrend.
2. It helps traders smoothen out the considerable amount of noise found in day-to-day price movements, giving them a clearer view of price trends.
3. Moving average tends to follow the market trend. It does not predict the trend, but rather only indicates the movement of prices—whether they are above the average or below it. It does not predict how far they will go, whether up or down. In essence, it is a lagging indicator.
4. When a short-term average is above a longer-term average, the trend is up. In contrast, a long-term average above a shorter-term average signals a downtrend.
5. A 200-day moving average is the most widely used and most popular average amongst traders and investors across major markets. It is considered to be a good measure of a trading year. A 100-day average is considered a good measure of a half-a-year, 50-day average of a quarter of a year, a 20-day average of a month and a 10-day average of two weeks. These are used as average benchmarks and are not necessarily a clear definition of the respective trends.

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### **#CASHTAGS Principle:**

*Moving average is the simplest and the most powerful tool.*

---

#### **How Mahesh Got #Cashtagged**

I was a complete novice in the business of trading when I met Vishal in one of the programmes by an

international trainer. I did not know anything about trading and investing when I attended “Anybody Can Trade™”. He promised to make a trader out of me when I enrolled for the “TraderinMe™” Programme. He is one trainer who keeps attending world-class programmes, improves his skills and delivers what he promises to deliver. I keep re-attending his programmes because I know my take-away is different each time I attend.

Yesterday when the markets were crashing, I took a trade and made more than Rs. 235,000/- within 48 hours. To do this requires conviction and sound strategies by a person who did not even know the basics of trading the stock markets a few months ago. The entire credit for this goes to the coaching I received from Vishal. He teaches simple but sound and effective strategies to trade the stock markets with ease. My journey from being employed to being an entrepreneur has begun! Thank you, Vishal.

—Mahesh Daware

## Momentum – The Speedometer

Momentum is the measurement of the speed or velocity of price changes in a security. It measures the rate of rise or fall in stock prices. It is a very useful indicator of strength or weakness in the price of a security.

Let's consider the prices on a chart. When markets move up, the bull army is in control, and when they move down, it is the bear army in control. The bull army tries to capture higher ground/distance/area, and the bear army tries to capture the lower one. They fight to capture more **distance**. When we discuss distance, we also need to mention its ancillary, which is **time**. Using both these parameters will give us the **speed**.

$$\text{Speed} = \frac{\text{Distance}}{\text{Time}}$$

Let's say you intend to buy a security that is moving in an uptrend. Before buying it, you will check the speed with which the security is moving

up, to ensure you get the best returns in minimum time. This speed is the *momentum*. It is the measurement of the speed or velocity of price changes. The greater the momentum, the more money and the less amount of time to make returns. It measures the rate of the rise or fall in stock prices.

How do you calculate this speed in the marketplace? Take the analogy of a car, which has a speedometer that ranges from zero to 280. If I tell you that the car is moving at a speed of 250, you will know that it is moving very fast. In contrast, cruising at 40 would mean slow and 80 would mean an average speed. Speed in vehicles is measured by speedometers, whereas the speed in a security's price movement is measured by *oscillators*.

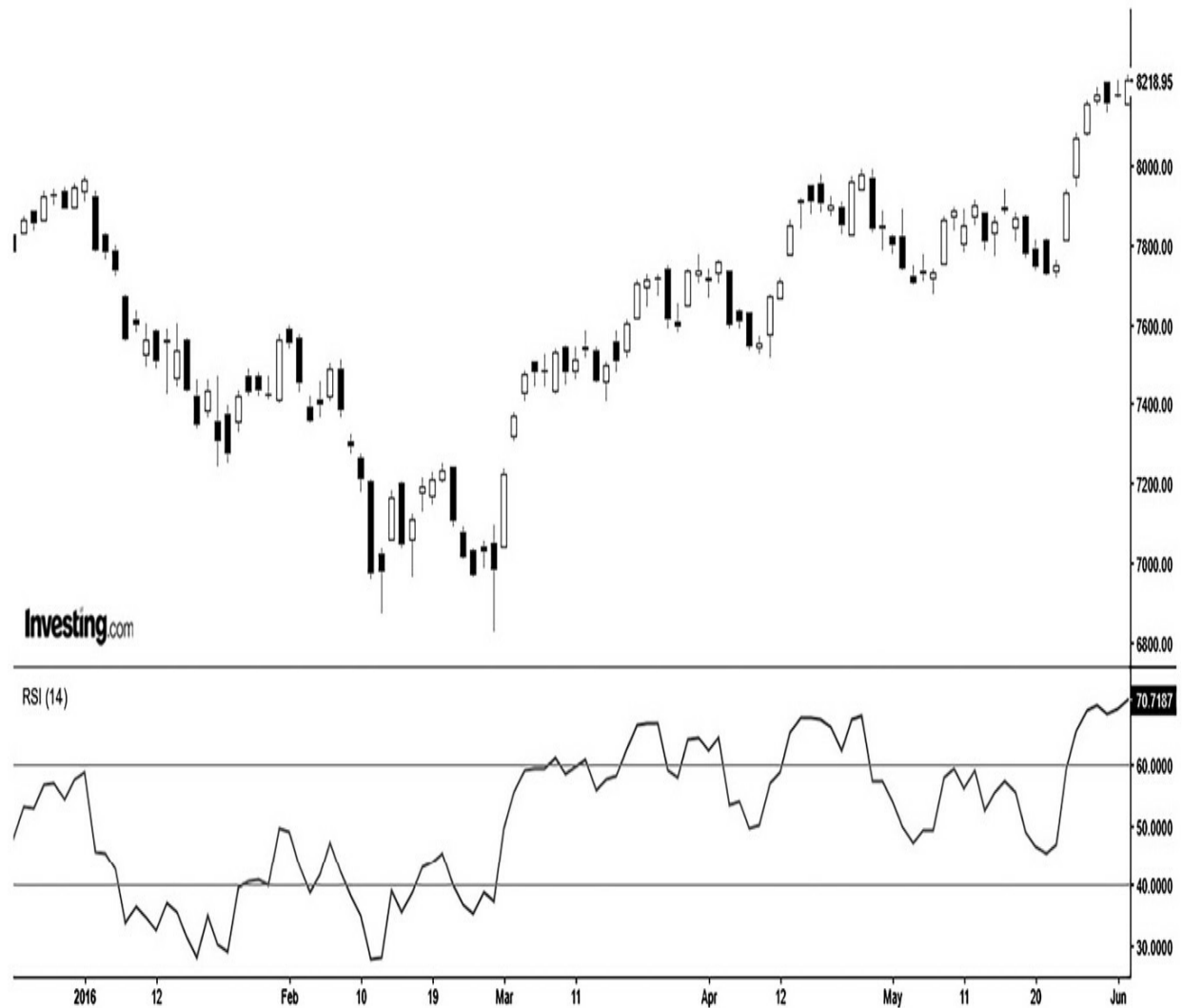
There are two kinds of oscillators—banded and non-banded, or centred.

- A. Banded Oscillators** – The value of these oscillators does not exceed the level of zero on the downside and that of 100 on the upside. They keep oscillating in this range at all times.
- B. Non-banded Oscillators** – These move around the median. In the absence of upper and lower boundary lines, their values may drop below the zero level on the downside and move above the 100 level on the upside.

## **Relative Strength Index (RSI)**

RSI is one of the price oscillators. It is banded in nature. Like other price oscillators, RSI is plotted at the bottom of the price pane. It was designed around 40 years ago by J. Welles Wilder, who calculated it on the closing price. Prices tend to close higher in an uptrend, and lower in a downtrend. Wilder recommended a default setting on RSI as 14 periods. So, within these 14 periods, if the prices close higher, then the value of RSI would rise. In contrast, if during the same period, prices closed lower, then the RSI value would decline. The picture below shows the 14-period RSI on the daily chart of Nifty.

Nifty 50, India, NSE:NSEI, D

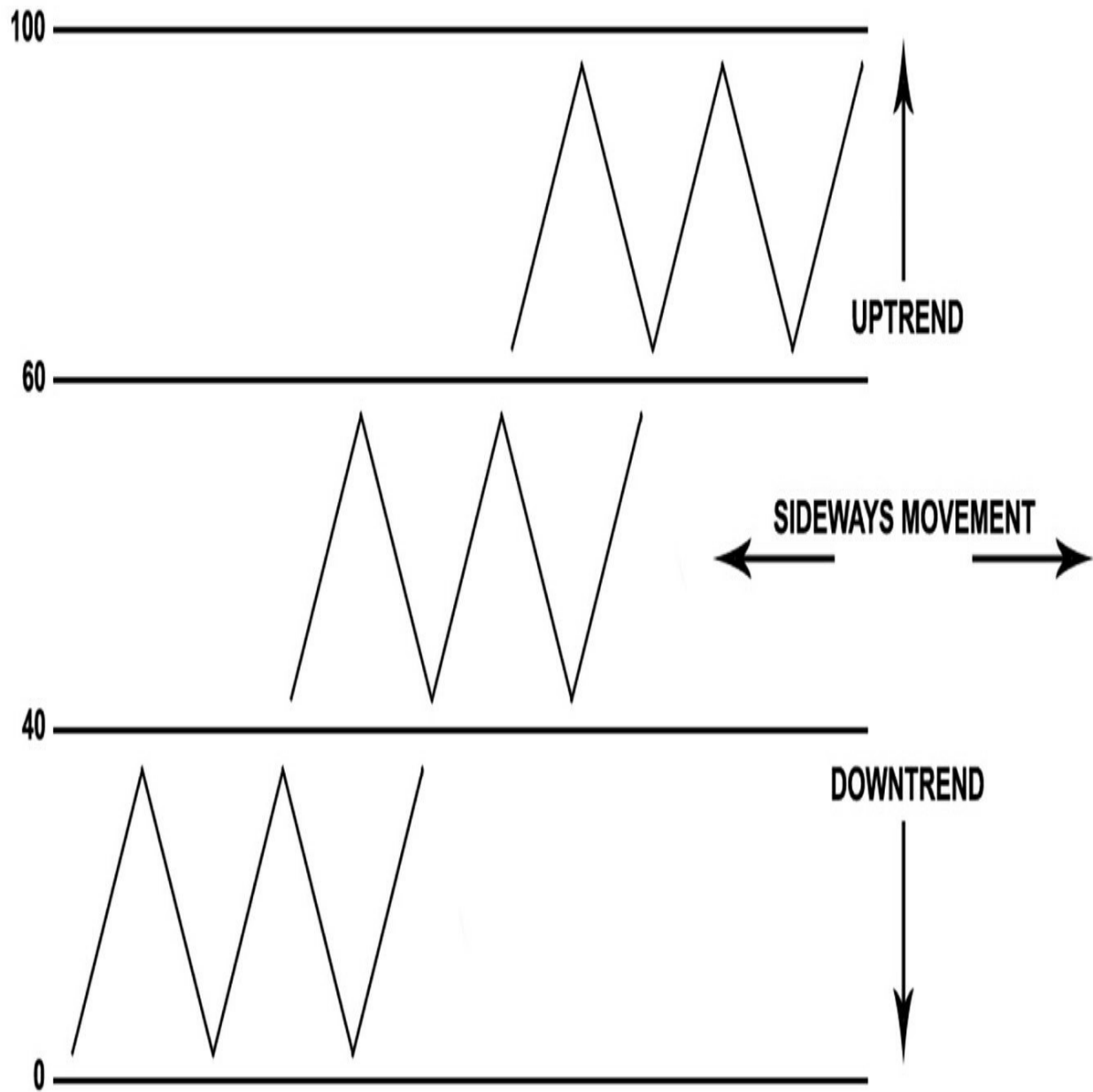


**Figure 18 – Nifty, Daily Chart**

### **Andrew Cardwell's Approach towards RSI**

In addition to [Wilder](#)'s original approach to RSI interpretation, Andrew Cardwell developed several new interpretations of RSI to help determine and confirm a trend. Cardwell noticed that uptrends generally traded between RSI levels of 40 and 80, while downtrends usually traded between those of 60 and 20.

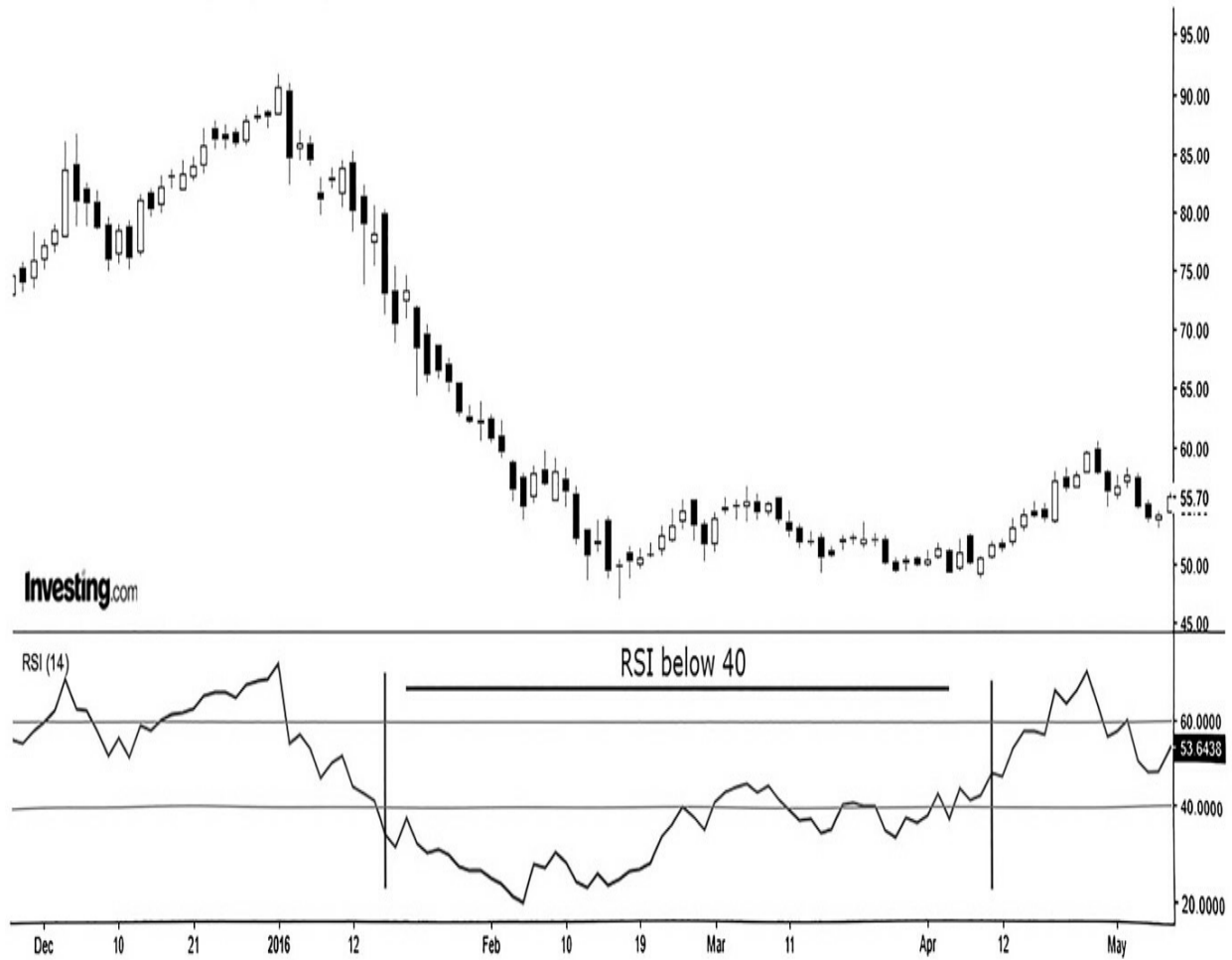
This can be simplified further, as in the diagram on the next page.



**Figure 19 – Relative Strength Index**

Markets behave differently in different trends, which can be up, down or sideways. If the RSI value is below 40, this means the trend is down. If RSI ranges between 40 and 60, the market is not trended or is in a sideways zone. And if the RSI value is above 60, the trend is up. This concept is extremely powerful and works in all types of markets across all time frames. Let's look at a few examples.

Reliance Communications Ltd, India, NSE:RLCM, D



**Figure 20 – Reliance Communications Ltd, Daily Chart**

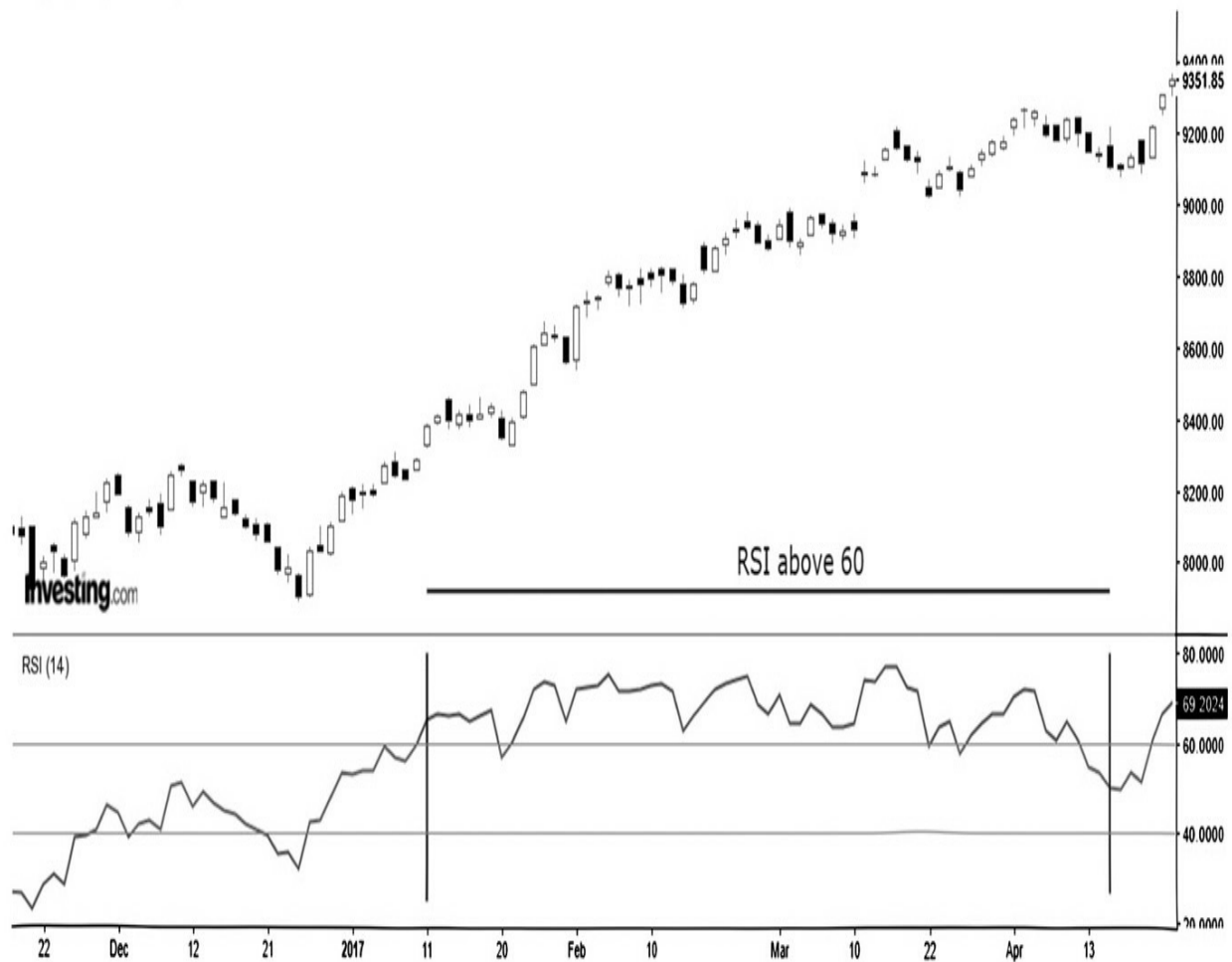
This chart of Reliance Communications illustrates a downtrend, with RSI consistently below 40 levels.

Tech Mahindra Ltd, India, NSE:TEML, D



**Figure 21 – Tech Mahindra Ltd, Daily Chart**

The above chart shows that the RSI movement between the 40 and 60 levels is characterised by the prices moving sideways, with the absence of any dominant trend.



**Figure 22 – Nifty, Daily Chart**

The chart of Nifty above shows RSI above 60 in an uptrend.

## **Going Deep, Not Broad**

An important lesson that I have learned from my years of trading and training is to go deep and not broad. I believe that specialising and focusing on any one study from the technical toolkit helps one understand it in its entirety. Thus, instead of spreading out over various tools and indicators, it helps if one learns a single indicator deeply rather than acquiring shallow knowledge that is painstakingly confusing and contradictory. It pays to follow this principle always. Depth is the key.

I believe that specialising and focusing on any



one study from the technical toolkit helps one understand it in its entirety.

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**#CASHTAGS Principle:**  
*Go deep, not broad.*

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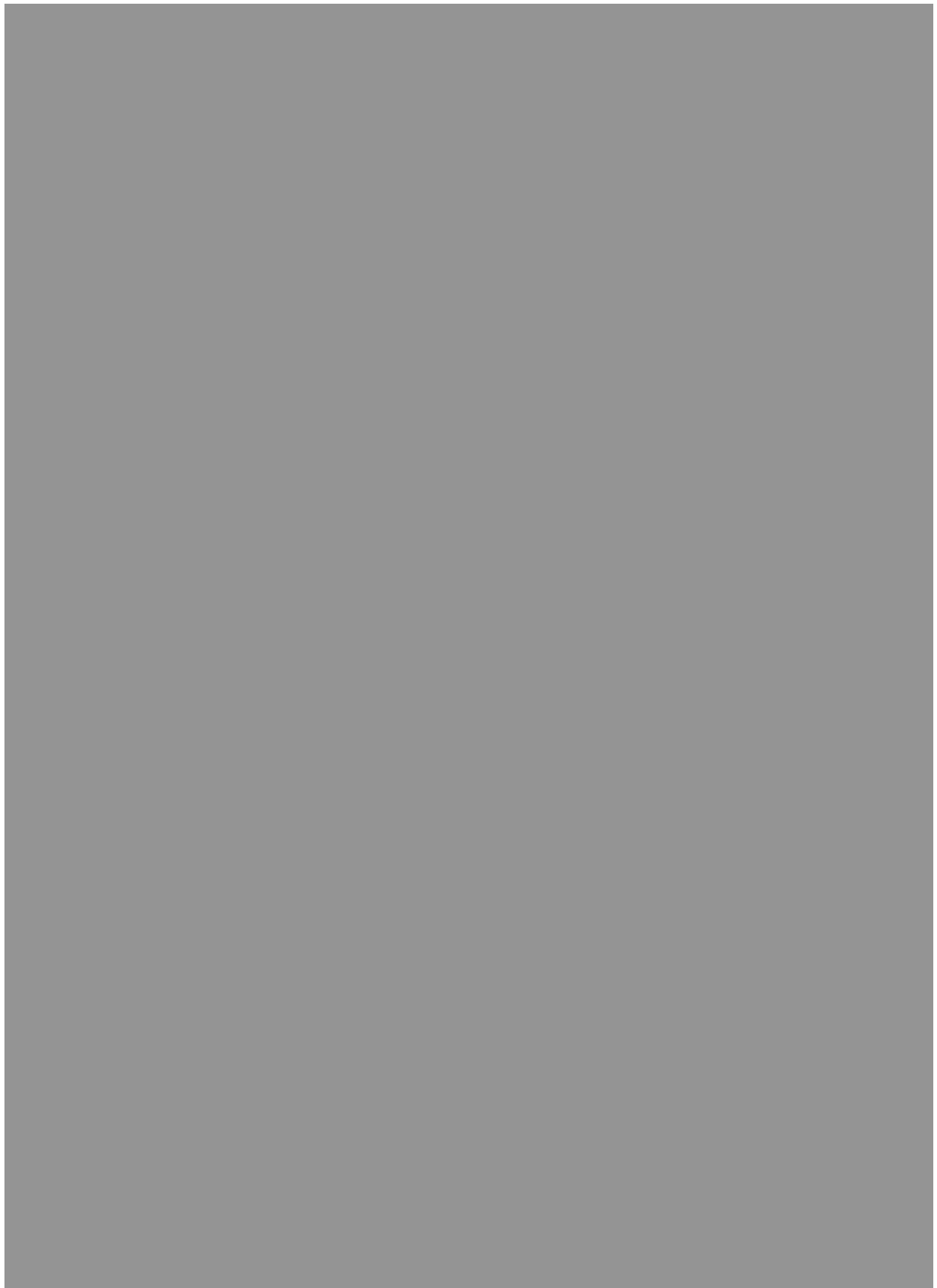
Now that you have formed knowledge about some of the basic tools and charts from the toolkit, it is time to move on to the method—the trading systems. Let's go.

#### **#CASHTAGS Action Points for Section 4:**

1. Read the book *Technical Analysis of Financial Markets* by John Murphy.
2. Practice candlestick charts with moving averages laid over them (a minimum of 20 charts every day).
3. Check the RSI ranges (above 60 level or below 40 level) on 20 monthly, weekly and daily charts every day.

Note: The above-mentioned practice, if done religiously for six months, will give you tremendous confidence and conviction in the way these simple technical tools work and help you analyse and trade the markets successfully.







## SECTION 5

# Trading Systems—If Emotions Are Your System, You're in Trouble



A system becomes your anchor of rational behaviour amidst the turbulence of the market.

—ALEXANDER ELDER











## CHAPTER 13

# The Role of Systems in Trading

By Vishal



Unfortunately the more complex the system,  
the greater the room for error.

—GEORGE SOROS



## Why Systems?

The questions “Where to buy?” and “When to buy?” are answered by *systems*. These are the rules, parameters and conditions of buying and selling a security. They indicate the conditions of entry, the timing of entry and the signals of exiting a trade. Systems are all about rules, which means they list down processes. This objectivity reduces your emotions in the business of trading. We now know that when emotions ride high, intelligence goes low. The more your trading process runs on systems and is armed with rules, the less the room there is for emotions to play out. Thus, the higher your probability is to succeed at trading the markets.

---

### **#CASHTAGS Principle:**

When emotions ride high, intelligence goes low.

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Below are a few of the benefits of using systems in your trading business.

1. **Systems Can Be Back-Tested** – If a certain trading system has been tested on a few securities over a period of ten or more years, one gets a fair idea whether the system has worked in the past. If it has done so, there is no doubt that the same system would work in the future, too. This is because the markets tend to repeat their cyclical nature of trends.
2. **Systems Keep Ego at Bay** – People often make statements like “I made money” or “I predicted the downfall” or “I captured the up-move” and so on. But when the system is at play and you make profits using that system, it is the system which has made the money and not you, the trader. This distinction may seem elementary, but it is extremely important.

Attributing the outcome of the trade to the system and process used in trading relieves the trader of the burden of its result. It is the act of detaching oneself from one’s trading results. There is neither guilt upon losing money nor pride upon making some. This helps you get an ‘outsider view’ on your performance, without getting emotionally attached to it. And this detachment makes way for flawless execution of the system—similar to that of a casino.

|                                                         |
|---------------------------------------------------------|
| Markets tend to repeat their cyclical nature of trends. |
|---------------------------------------------------------|

Whenever you get attached to the results, saying, “I made money,” that comes from your ego, and the same ego leads you into trouble in the next trade you enter in the markets. It makes you overconfident, thus leading to overtrading and building a lackadaisical trading approach.

Systems keep you in check and help you maintain your humility in the marketplace. It is not you who is responsible for making money. The onus falls on the system, although it is you who has designed the same.

3. **Systems Stimulate Accountability** – Assume you infringe one of the system rules and end up either making reduced profit in that trade or

incurring a loss. In that scenario, you are accountable to the system. This is akin to working for a boss while at a job, where the instructions in your profile are very clear: You need to do the *X* thing, you need to abstain from doing the *Y* thing and you receive your pay cheque at the end of the month. Similarly, in the business of trading, the system is your boss. If you follow it, you get the pay cheque in terms of trading profits. If not, you go unpaid.

Systems keep you in check and help you maintain your humility in the marketplace.

You may be surrounded by a surfeit of systems that work really well. But you may be unable to follow any of them because you have chosen one that does not fit you. Success in trading is all about finding a system that suits you. Jack Schwager has interviewed successful traders and investors in his remarkable book series called *The Market Wizards*. He has concluded that all of them had found a system or methodology that was right for them.

“My estimate is that fewer than 20 percent of the people trading the markets have a system to guide their trading or investing. Of those that do, most are just using predefined indicators,” says Dr. Van Tharp in his book, *Trade Your Way to Financial Freedom*.

**Affirmation—I do whatever it takes to trade systematically.**

## Types of Trading Systems

Trading systems can be divided into types:

- 1. Systems That Create Wealth** – These systems have the potential to create big money. They entail holding on to positions for longer periods of time. One may keep adding to positions as the trend progresses, selling it only after tall gains. This is passive trading, unlike short-term or day trading.
- 2. Systems That Create Income** – This is akin to generating money on a regular basis with short-term trading systems.

In our training programmes, we use the sayings: “Systems that build the house make a killing” and “Systems that run the house make a living” to define and differentiate between these two kinds of trading systems.

We have classified the training programmes into those that teach wealth creation strategies—Star Trader® Programme and Millionaire Trader™ Programme—and those that teach income generation strategies—Options Mastery™ Programme and Money Flow Trader™ Programme.

Both types of systems are vital. One cannot underestimate the importance of either. Participants whom we coach to become professional traders use both wealth-creating as well as income-generating systems. This is because wealth-creating systems are passive in nature, thus providing sporadic returns. Income-generating systems come in handy at those times, keeping the cash flow running until then.

Cut your losses short, let your profits run.

## **Trend Following**

Trend-following systems follow the present trend of the market and generate buy/sell signals accordingly. One cannot predict in advance—one can only follow the market moves. This is equivalent to listening to what the market says rather than predicting what will happen. Tom Basso explains trend following best in Van Tharp’s book, *Trade Your Way to Financial Freedom*:

*Let’s break down the term ‘trend following’ into its components. The first part is ‘trend’. Every trader needs a trend to make money. If you think about it, no matter what the technique, if there is not a trend after you buy, then you will not be able to sell at higher prices. You will take a loss on the trade. There must be a trend up after you buy in order to sell at higher prices. Conversely, if you sell first, then there must be a subsequent trend down for you to buy back at lower prices.*

*‘Following’ is the next part of the term. We use this word because trend followers always wait for the*

*trend to shift first, then ‘follow’ it. If the market is in a down direction and then indicates a shift to the upside, the trend follower immediately buys that market. In doing so, the trader follows the trend.*

We learned moving averages in the previous section of the book. They are market followers and are lagging in nature. Buy/sell signals based on moving averages form very good trend-following indicators. They tell the trader when the direction of a market has shifted from down to up or vice versa. Once into a trend, the trader sits back and enjoys riding the trend, as long as it keeps going in his direction, be it in his lifetime.

The old axiom in the trading world ‘Cut your losses short, let your profits run’ is befitting to the trend-following way of trading.

When the trend changes direction, the system indicates so, resulting in the trader exiting/reversing his position that is currently going against him. Either he ends up making a profit or incurring a small loss, which could have become large. Hence this helps in ‘cutting the losses short’.

Back-testing a system generates belief in it  
and hence confidence.

At our Millionaire Trader™ Programme, participants learn four different trend-following systems to capture market moves. Each system is suited for a particular type of instrument— mid-cap stocks, large-cap stocks, futures and commodities.

### **Advantages of Trend-Following Systems**

- a. One never misses major moves in the markets, be they up or down. Whenever markets change direction, the systems give the signals, albeit they are a bit delayed at times.
- b. One can enter into an already established market trend since the profits from any single trade can be substantial. In essence, one trade can make your whole year. Overall, the average size of one’s winning trade is greater than those of multiple losing trades.
- c. This is one of the easiest trading methods for a novice to understand

and implement.

### **Disadvantages of Trend-Following Systems**

- a. One major disadvantage of trend following is that the indicators cannot differentiate between a major profitable move and a short-lived unprofitable move. For instance, moving average, while indicating a buy signal, will never indicate whether it is a major trend reversal or merely a corrective move. Trend followers, therefore, have to be ready to incur multiple smaller losses.
- b. Apart from up and down trends, markets also tend to move sideways. Sometimes, these moves last from months to years. Trend followers need to continue trading these moves lest they miss the trended move whenever it begins.

One needs to assess whether using trend-following systems suits one's personality. This is one of the best ways to capitalise on a trend. This approach has been used by many successful traders and investors across the world consistently.

### **Importance of Back-Testing Trading Systems**

Back-testing a system generates belief in it and hence confidence. The more extensively a system is tested, the more confidence it generates in an investor. This leads to increased clarity and competence, which subsequently lead to increased profits trading the same. Hence, I strongly recommend the participants at my seminars do extensive system back-tests. I recommend the same to the readers of this book too. Please do the work yourself, and do not rely on machines to do it for you. Doing it yourself helps you feel the system.

**Affirmation—I am ready to back test the system extensively.**

#### **How Umang Got #Cashtagged**

Dear Vishal,

Never in my 16 years' career in trading stock markets have I traded so effortlessly. After attending "Anybody

Can Trade™” and the “Millionaire Trader™ Programme”, I am very proud to share with you my profits of 1,400 points in a single trade in Bank Nifty (Rs. 56,000), 450 points in a single trade in Nifty (Rs. 33,750), 168 points in Reliance Capital Limited (Rs. 126,000) on the buy side and 72 points on the sell side (Rs. 54,000), and am still holding the trade without any stress in my mind. All these profits are on single futures contract only.

This is truly an ‘Aha!’ moment for me. Thank you very much for the confidence!

—Umang Shah

## What Type of Trader/Investor Do You Want to Be?

The parameters for taking this decision are the following:

- a. What kind of system are you comfortable with? Is it trend following or short term?
- b. What is the ideal time frame you want to trade in? This depends upon the amount of disposable time you can devote to the business of trading/investing.

The components of the marketplace can be differentiated based on the time frames that they trade in. Broadly they can be listed down as the following:

- a. **Investors** – This lot holds shares in a company for anywhere between one year to five years, to a lifetime. They look for value in a company.
- b. **Positional Traders** – These traders hold on to their trading positions from three weeks to three months. Most often, these traders initiate trades based on a market view and use momentum indicators to confirm the trend.
- c. **Swing Traders** – They hold on to their trading positions for three to seven trading sessions. This type of trading is more suited to trading derivative contracts.
- d. **Day Traders** – These traders buy and sell shares within the same trading session, where the trades usually do not last for more than a



few bars or candles, depending upon the type of system followed. The positions are not carried over to the next trading session. I have been a day trader while getting started in my career. One needs a specific trading method, with a predefined entry and exit strategy to day trade successfully.

### **The Pitfalls of Day Trading for Neophytes**

Quite often, people come over to me and say, “I want to be a day trader. Can you please help me with some strategies?” I find this extremely intriguing. As I understand, the most important element that traders, especially beginners, look for in day trading is the *thrill* or *excitement* factor. That is the crux of day trading.

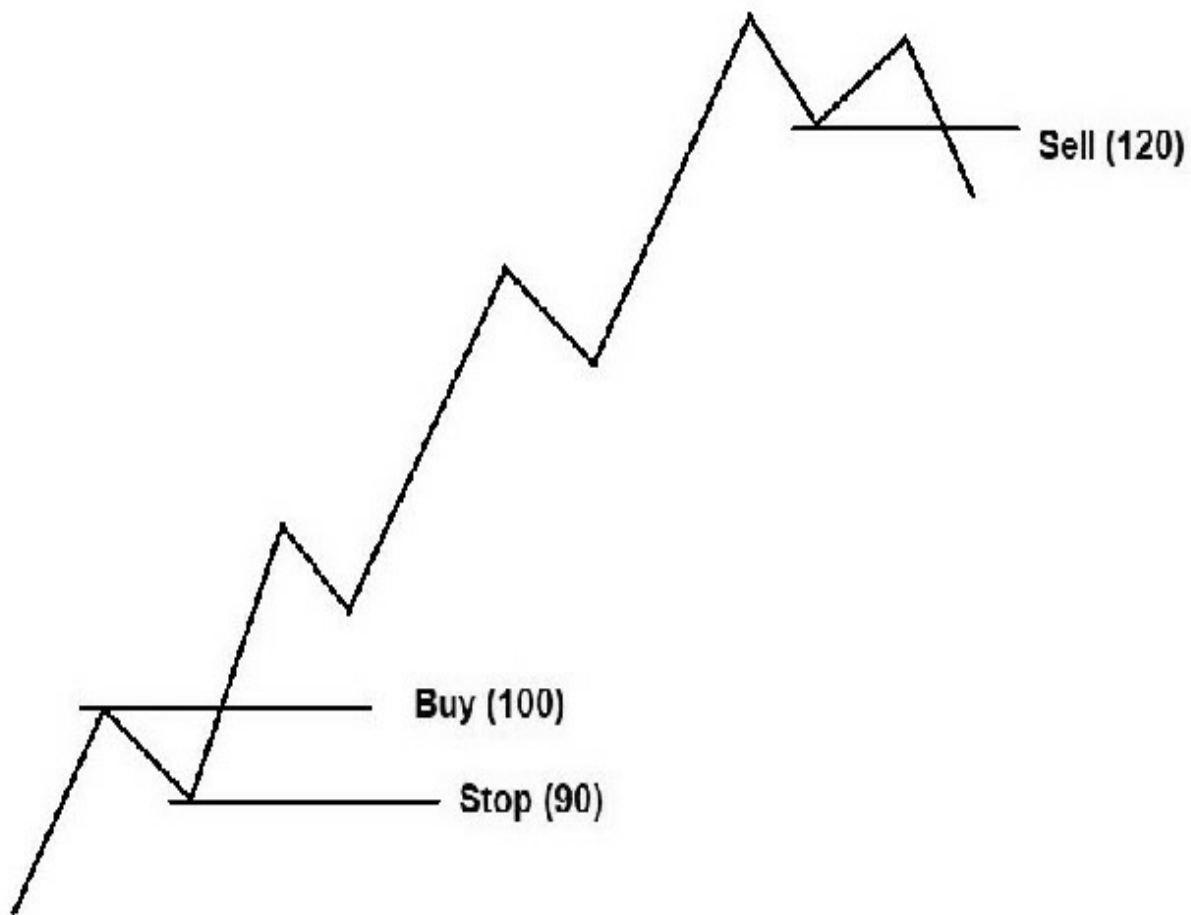
They trade for the fun, excitement and thrill of the game.

In my earlier days, when I sat at a broker’s office housed within the stock exchange building, I was often surrounded by traders. Most of them used to day trade. One could not fail but notice their exhilaration and body language. It seemed that the whole lot seldom trades to make money. They trade for the fun, excitement and thrill of the game. Deep inside, many of them know that they are not going to make any money after all. Yet despite this, they are up at the game.

### **Types of Trading Transactions**

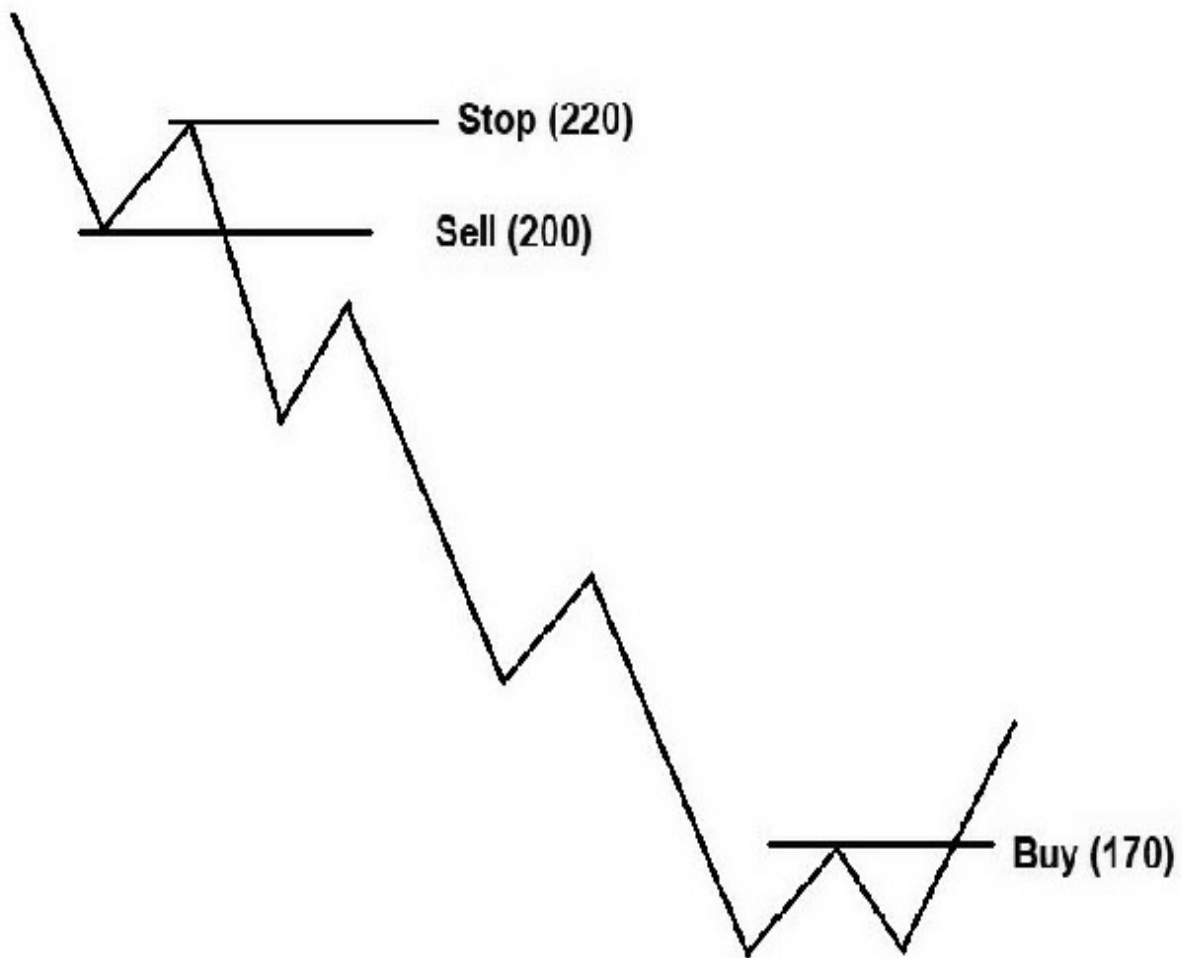
Trading transactions in securities are broadly of two types:

- 1. Buying or Going Long – Assume you buy a security at a price of 100. This is also called *going long*. There are two possibilities:**
  - a. If the price moves up and you sell it at a price of **120**, you make a profit of **20**.
  - b. If the price goes down and you sell it at a price of **70**, you make a loss of **30**.



**Figure 23 – Transaction to Buy or Go Long**

- 2. Selling or Going Short – Assume you sell a security at a price of 100. This is also called *going short*. Here the two possibilities are:**
- If the price goes down and you sell it at a price of **75**, you make a profit of **25**.
  - If the price moves up and you sell it at a price of **115**, you make a loss of **15**.



**Figure 24 – Transaction to Sell or Go Short**

While one may go long anticipating that a security's price may rise, one goes short in anticipation that the price may go down. Short selling makes it possible to sell what one does not own. It is an option available in the *derivative segment* of the securities market. These transactions are carried out using *futures and options* as trading instruments. The seller enters into a contract to buy the security later.

Hence, one can make money in both rising as well as falling markets.

A word of caution while trading short: Short selling is risky due to the possibility of infinite losses. When going long, the maximum loss may be limited to the amount invested in a security, while when going short the maximum loss could be infinite. This is because there is no upper limit to a

security's price appreciation.

Having understood the basics of systems, let us now consider trading systems.



## CHAPTER 14

# System 1: Wealth Creation

By Vishal



It's not whether you're right or wrong, but how much money you make when you're right and how much you lose when you're wrong.

—GEORGE SOROS



## **The Relative Strength Index (RSI) & Moving Average (MA) System**

This system belongs to the category of trend-following systems discussed in the earlier chapter. Hence, this system follows an existing market trend and keeps a trader within the trade as long as a signal points otherwise. We do not predict a move; rather, we only follow the system and thus follow the market.

### **Tools**

- a. Relative Strength Index (RSI) – 14-period
- b. Simple Moving Average – 20-period

This system is best used on stocks having a large market capitalisation, that is, more than INR 10,000 Crores (USD 1.5 billion) on the Indian Stock Exchange (this parameter could differ in other countries). These are generally referred to as large-cap stocks. A company's stock is generally classified as a large cap, mid-cap or small cap. Market capitalisation is calculated by multiplying the number of a company's shares outstanding by its stock price per share.

Different systems are attuned to work best on different categories of instruments—stocks (large cap, mid-cap or small cap), indices, commodities or currencies. This is because each instrument has its own movement and

behaviour on the exchange, each being traded by a certain category of people.

### **Time Frame**

The system is best followed on weekly charts, thus generating trades of a positional nature. This renders the system easy to trade by those who choose to trade along with pursuing their existing occupation.

### **System Rules**

The rules for trading this system are the following:

- 1. Entry Rule** – Buy when RSI breaches 60 levels on the upside on weekly chart. This is indicated only upon the markets closing at the end of the week. The trade therefore would originate only at the opening price of the first trading day of the following week, that is, Monday.
- 2. Exit Rule** – Exit when the price breaks or breaches a 20-period moving average on the downside. This is the stop you will place on the trade. You are aware of the moving average value as soon as you enter the trade. You will therefore put (or order to put) the stop level accordingly.

Different systems are attuned to work best on different categories of instruments.

Based on the two parameters of the trade we now know the

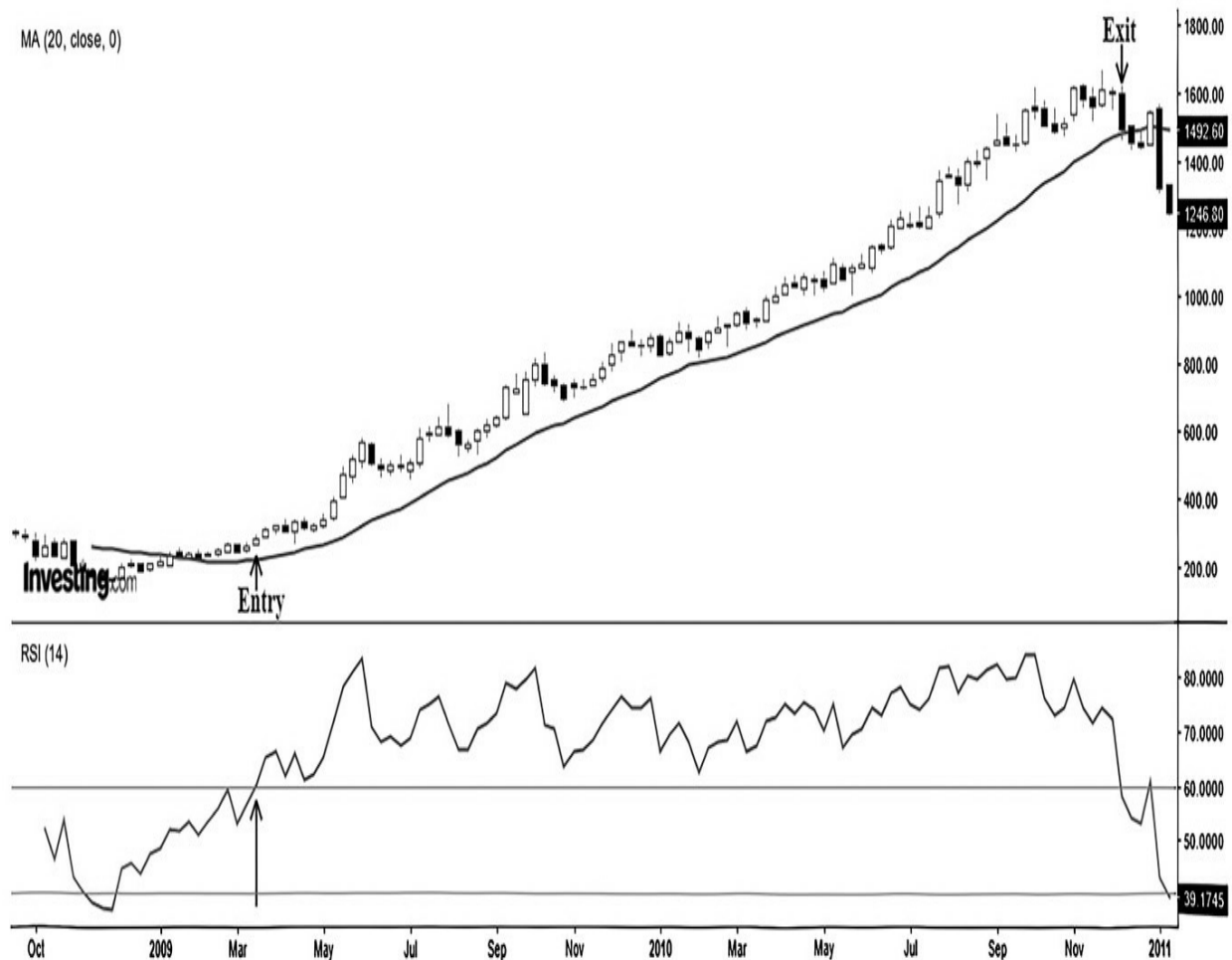
- a. entry price and
- b. stop level.

We can calculate the number of shares to be traded in accordance with the system. We studied this in the risk management section. The quantity of shares to be traded can be derived by using the risk management formula where your risk per trade is 1 per cent of your capital.



Bajaj Auto Ltd, India, NSE:BAJA, W

MA (20, close, 0)



**Figure 25 – Bajaj Auto Limited, Chart**

Observe the chart of Bajaj Auto Limited below. RSI moved above 60 on the week ending 27 March 2009. The weekly closing price is 312.20 (entry price). The weekly moving average value is 222.70 (stop loss level). We now calculate the number of shares we need to buy.

Assuming that our capital is INR 10,00,000 (USD 14,925). The risk of 1 per cent per trade comes to INR 10,000 (USD 149.25).

Entry price   Rs. 312

Stop loss price   Rs. 222

Risk per share   90

Risk per trade   INR 10,000

Quantity       = risk per trade/risk per share = 111

We can buy 111 shares in accordance with our risk formula.

You will therefore call your broker on Monday morning and ask him to place an order to buy 111 shares of Bajaj Auto Limited at the current market price. (Note: We assume here that the stock would open at about the same price as it closed on Friday. Should it open lower or higher, the number of shares should be calculated by replacing the opening price in the above risk formula).

You will then place the stop at the moving average level, which is 222.70 for the week of entry. This stop would remain the same for the rest of the week, because you are using a weekly chart. The stop level would keep changing every week. Hence, until you are in this trade, you will keep changing the stop level as per the changes in the moving average value. You will do so until the day it triggers the stop and you are out of the position. In this example, you can see the trade lasted until December 2010, where the exit signal came at 1483. Let's do the final calculations:

Entry price 312  
Exit price 1483  
Profit per share 1171  
Quantity traded 111  
Total profit INR 129,981 (USD 1,940)

Notice that at the beginning of the trade, you do not have any idea of the extent of the move in the trade. All you did was keep following the moving average value as your exit level, in the event that it gets triggered. You only need to ensure that:

1. you buy a large cap stock;
2. you enter when the stock is trended upside, in accordance with rule number one; and
3. you manage the risk in accordance with the formula.

These checkpoints will ensure that things are in place for you to follow the system for its gains. However, note that not all trades may work in your favour. Some may, while others may not. You may keep trading this system on multiple stocks at a time. Some trades may lead you to huge trends, whereas some may lead to smaller trends, while a few of them may be

stopped out. Nevertheless, we are aware of our risk of 1 per cent at all times. You can therefore keep your anxiety at bay and focus on flawless execution of the system.

A few examples of the system are given below.

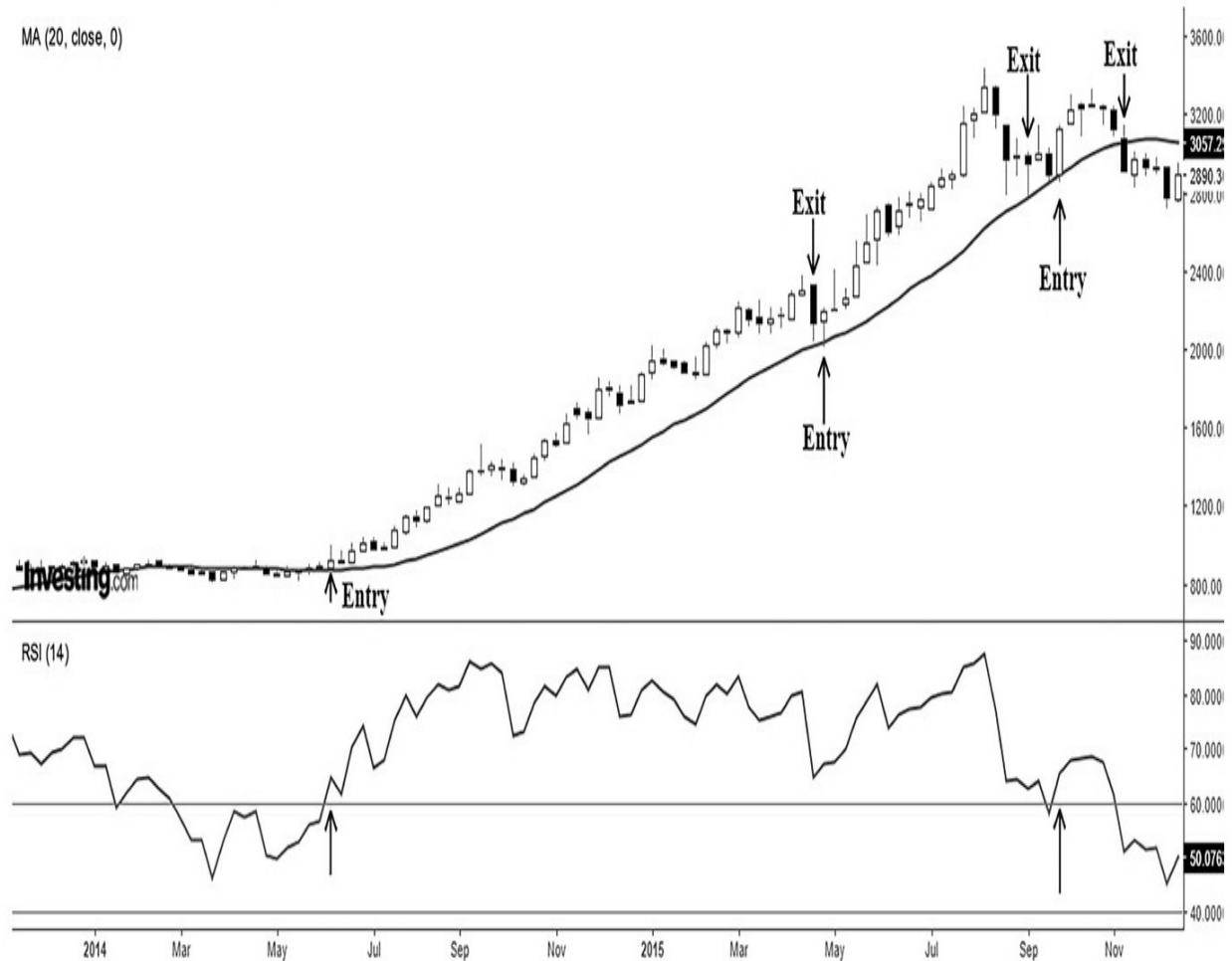


**Figure 26 – HDFC Bank Limited, Weekly Chart**

In the above chart of HDFC Bank, the system signalled an entry in March 2014. The price touched the moving average value in August, triggering the stop loss. But the system gave a buy signal immediately in the following week for a trade which lasted until April 2015.

Britannia Industries Ltd., India, NSE:BRIT, W

MA (20, close, 0)



**Figure 27 – Britannia Industries Limited, Weekly Chart**

Multiple entries and exits are shown in the above chart of Britannia Industries Limited. The trade begins in June 2014. The price touches the moving average line twice, triggers the stop levels and immediately signals entries thereafter.

Goldman Sachs Group Inc, United States, NYSE:GS, W

MA (20, close, 0)



**Figure 28 – Goldman Sachs Group Inc, Weekly Chart**

A buy signal is triggered in October 2016 with the RSI moving above 60 levels. The trade lasts until March 2017 after riding the short trend.

Facebook Inc, United States, NASDAQ:FB, W

MA (20, close, 0)



**Figure 29 – Facebook Inc, Weekly Chart**

The above chart is an instance of how the system signals entries and exits within a well-established trend.

Amazon.com Inc, United States, NASDAQ:AMZN, W

MA (20, close, 0)



**Figure 30 – Amazon.com Inc, Weekly Chart**

In the above chart of Amazon.com Inc, the signal gave an entry in July 2013 but also an exit shortly thereafter. This was followed by an entry again in September and an exit in January 2014, capturing the uptrend in the latter part of 2013. Notice the RSI in 2014 marked with a downward-sloping arrow in the chart. It is evident that the price would remain sideways, as the RSI moved between 40 and 60 levels.

Jain Irrigation Systems Ltd., India, NSE:JAIR, W

MA (20, close, 0)



**Figure 31 – Jain Irrigation Systems Limited, Weekly Chart**

In the above chart, the buy signal triggered in April 2009 lasted until January 2010, capturing the entire uptrend.



Tech Mahindra Ltd, India, NSE:TEML, W

MA (20, close, 0)



**Figure 32 – Tech Mahindra Limited, Weekly Chart**

Again, the above chart is an example of how the system signals entries and exits in a trended stock.

## **Process versus Profits**

This system has a simplistic approach with just two rules. Being a trend-following system, it does not predict anything. This makes it very simple to follow. The focus is on the process and not the profit.

**Affirmation—I love simple systems.**

One can go further into the same system by pyramiding in accordance with additional rules, but that is beyond the scope of this book. The intention here

is to keep it simple in order for laypersons to be able to understand and trade by themselves by applying these two simple rules.

Do not believe anything that I have said here.  
Do the  
work and see the results yourself.

When I teach this system at my seminars, the participants gape with astonishment and disbelief. I strongly urge the readers of this book to back-test this system on large-cap stocks and check the results for themselves. Do not believe anything that I have said here. Do the work and see the results yourself.

---

**#CASHTAGS Principle:**  
*Focus on the process, not the profit.*

---

### **Conditions Apply**

If you recall the operating system discussion earlier, it will take time and effort on your part to fit this system into your mindset. The human mind, which is used to understanding complex structures and calculations, finds it difficult to fathom that something so simple can make money from the stock markets. From my years of experience in this field, however, I can confidently say that it is simplicity that makes money. Boring stuff makes money. As we discussed earlier, it is not the system but the mindset that is a trader's nemesis. One lacks either the patience or the discipline to implement a system. Everyone who is reading this is probably thinking the same thought: *"Is it really that simple?"* Traders wandering around for the thrill and excitement in trading activity will never be able to garner the discipline to follow this system.

### **How Vikrant Got #Cashtagged**

Attending "Anybody Can Trade™" left me wondering whether such simple strategies would work in the marketplace after all.

But after attending the Star Trader® Programme and applying the strategies learnt there, my doubts disappeared. Last week when the markets were on a bloodbath, I was making money in spite of being out of connectivity all day. This was all because of the simple strategy and pyramiding on confirmations. I was short as per the system in four scripts out of five. Thank you, Vishal and team, for constant support, always.

—Vikrant Bajaria

## Impact versus Income

At one of our seminars, just after I completed explaining this system, a woman walked up to me and said, “What I am wondering is, if this system is so simple, then why do you teach it to us? Why not make money applying it yourself? What makes you share this with us?”

I have no secrets to share. In all the training programmes I conduct, I impart knowledge based on what I have received from the finest teachers on the planet, either through attending their programmes and seminars or through watching their videos and webinars or through reading books authored by them. I have endeavoured to take the best out of the pool of knowledge and simplify it maybe multiple times so that I could connect the knowledge to the common man who has never traded a single share until now. My intention is to encourage the average person to trade this system. For the participants of my seminars as well the readers of this book, my intention for you is to be able to apply this simple strategy and make money from it.

Boring stuff makes money.

---

**#CASHTAGS Principle:**

*The simpler the strategy, the greater the results.*

---

I have been through a long journey, down an arduous learning curve. My passion and persistence kept me going through these trials and tribulations. The only advantage I had was that I began early in life.

Markets are an ocean of opportunities.

Teaching simple money-making systems to you will never affect the profits that I can potentially make trading the same system. Markets are an ocean of opportunities. I believe creating impact lasts much longer than creating income.



## CHAPTER 15

# System 2: Income Generation

By Vishal



The right trading behaviors start as  
rules and evolve into habits.

—BRETT STEENBARGER



## **5-star Trading System**

This system belongs to the category of income-generating systems.

### **Tool**

Relative Strength Index (RSI)

### **Time-Frame**

The system works on two time frames:

- a. Higher Time Frame (HTF) – Trend Definer**
- b. Lower Time Frame (LTF) – Trade Definer**

I am most comfortable with swing trading, which lasts anywhere from three to seven days. I shall therefore explain the system with weekly as HTF and daily as LTF. Later, I shall also explain how to use the system on a different time frame.

### **How the System Works**

The way this system works is analogous to the functioning of waves in an ocean. HTF represents the large waves and LTF the smaller waves. Whenever a small wave moves opposite to a large wave, the latter will push the small wave in the same direction. Similarly, in price movements, when the HTF is in an uptrend and the LTF is in a downtrend, the HTF will pull the LTF into an uptrend from the point of inflection. As we have seen in chapter 11:

- a. RSI above 60 – Uptrend;
- b. RSI between 40 and 60 – Sideways Movement; and
- c. RSI below 40 – Downtrend.

Weekly RSI above 60 will try to pull the daily RSI upwards from 40, which is the last level of support for bulls to protect their territory. This sets up the condition for a buy trade in this system. Let us consider how the system works in an uptrend for long trades.

The way this system works is analogous to the functioning of waves in an ocean.

## **System Rules for Going Long**

### **Entry Conditions:**

RSI in HTF – above 60

RSI in LTF – at or near 40

Formation of a candle with a positive close in LTF

### **Entry**

The first candle with a positive close is the alert candle. Buy above the high of the alert candle.

### **Exit**

- a. **Initial Stop** – Below the low of either the alert candle or the candle preceding it, whichever is lowest.
- b. **Trailing Stop** – Below the lowest low of the last five candles.



Tech Mahindra Ltd, India, NSE:TEML, W

MA (20, close, 0)



**Figure 33 – 5-Star System – Long Trade**

Let us understand how these long system trades work with a few examples.

Titan Company Ltd, India, NSE:TITN, W



**Figure 34 – Titan Company Ltd, Weekly Chart**

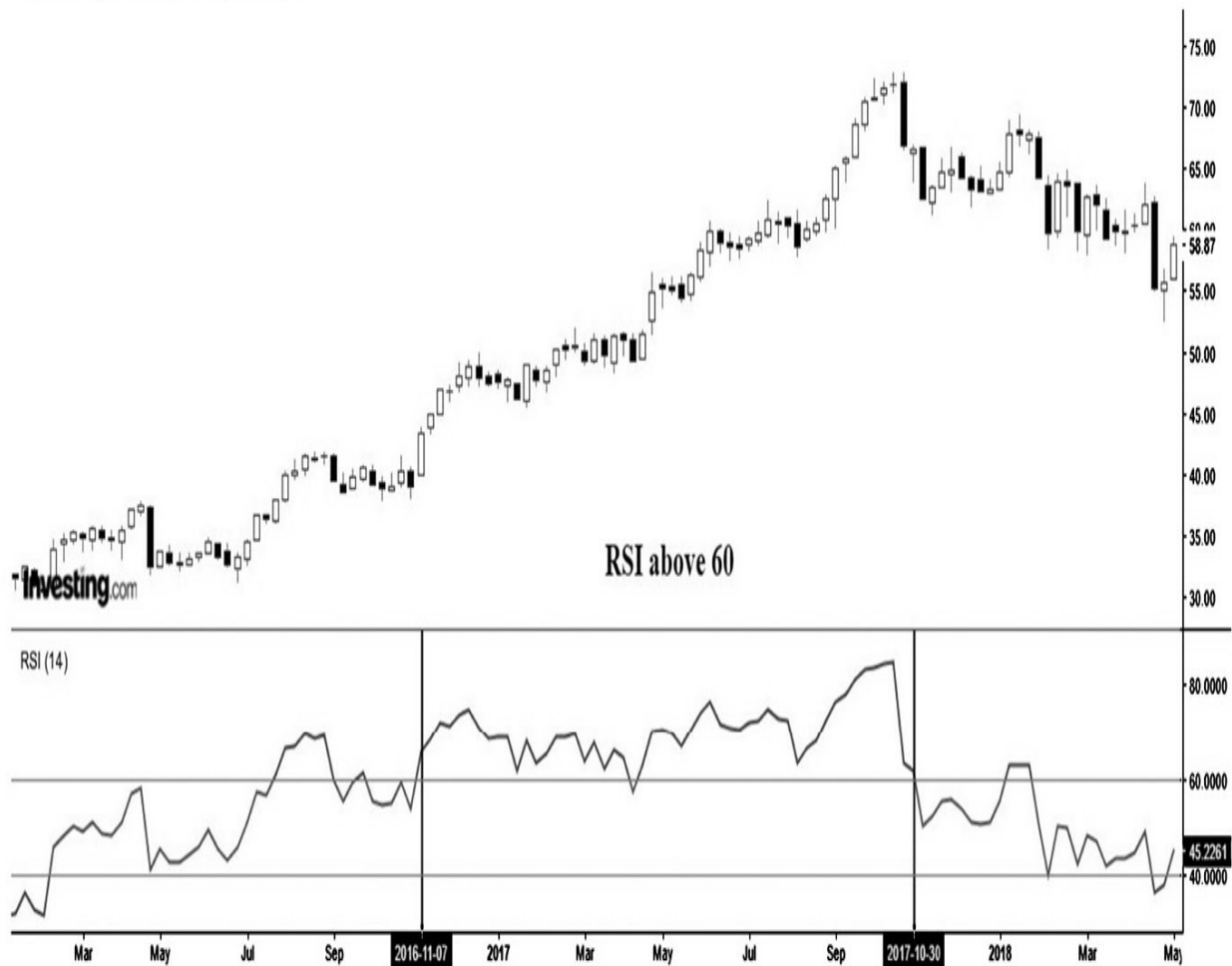
The above weekly chart of Titan Company Ltd shows an uptrend, with the RSI displayed in the bottom panel. Notice the period from February 2017 onwards when the RSI is consistently above 60 levels. Now refer to the daily chart below:



**Figure 35 – Titan Company Limited, Daily Chart**

The daily chart above shows the price movement from within the period highlighted in the weekly chart, that is, February 2017 onwards. The last week of October 2017 signals a buy trade when RSI reaches around the 40 level and then pulls upwards. RSI in the HTF (weekly) pulls the RSI in the LTF (daily) from the point of inflection. A buy trade is triggered when the price moves above the high of the alert candle with a big white candle, as marked in the chart. The trade continues until the trailing stop is triggered below the lowest low of the last five candles.

Barnes Group Inc, United States, NYSE:B, W



**Figure 36 – Barnes Group Inc, Weekly Chart**

The above weekly chart of the Barnes Group Inc shows an uptrend, with the RSI displayed in the bottom panel. Notice the period from November 2016 to October 2017, when the RSI was above the 60 level. See the daily chart below:

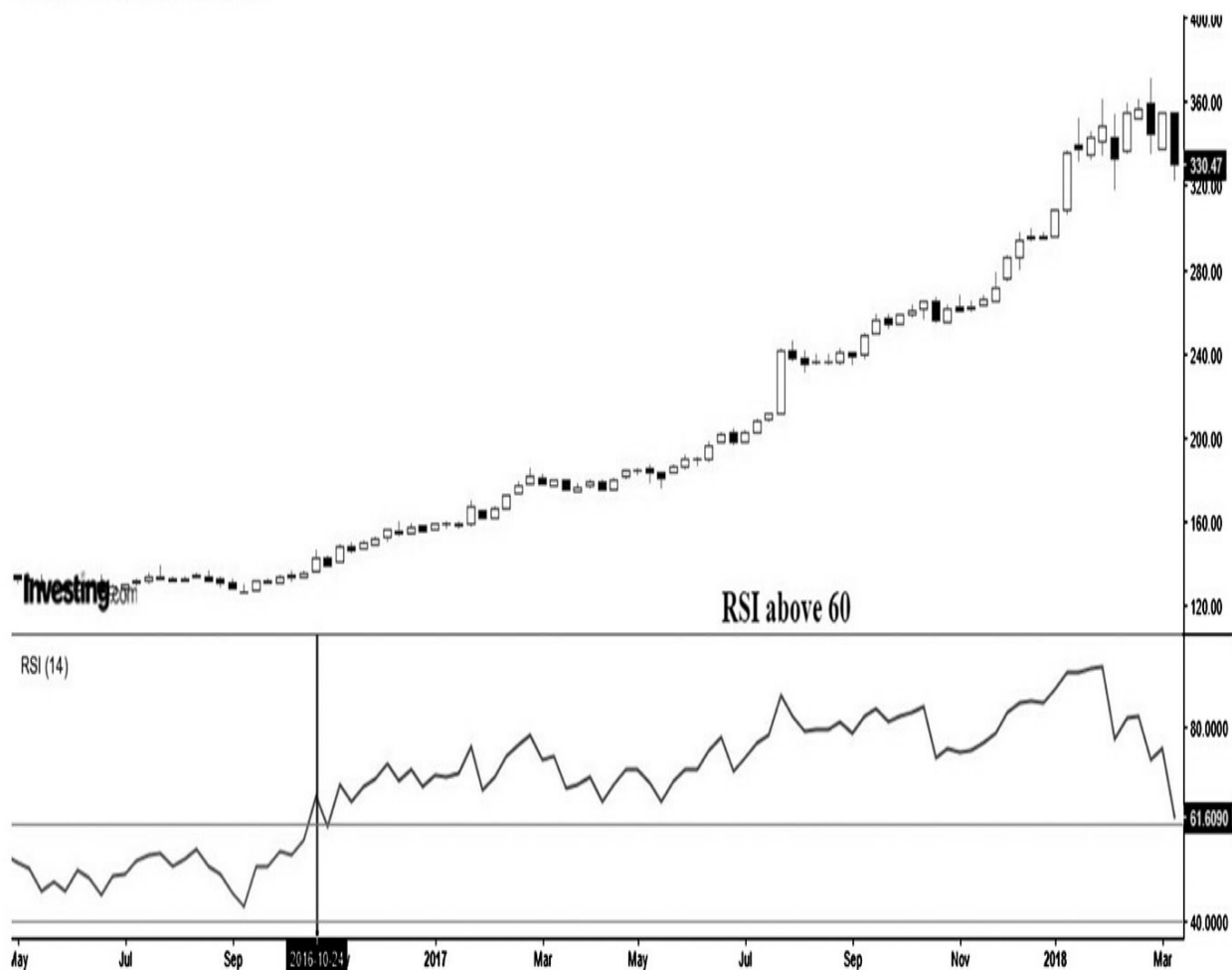
Barnes Group Inc, United States, NYSE:B, D



**Figure 37 – Barnes Group Inc, Daily Chart**

The chart on the previous page the daily price movement from within the period highlighted in the weekly chart, that is, May 2017 to October 2017. A buy trade is signalled when RSI touches the 40 level and then pulls upwards. The weekly RSI pulls the daily RSI from the point of inflection. The buy trade is triggered when the price crosses the high of the moves alert candle with a small candle. The trailing stop is triggered in October as the price breaks the low of the last five preceding candles.

Boeing Co, United States, NYSE:BA, W



**Figure 38 – Boeing Co, Weekly Chart**

In the above weekly chart of Boeing Co, the RSI moves above the 60 level in October 2016 and stays in the same zone until March 2018. Let's observe the action in the daily chart on the next page:

Boeing Co, United States, NYSE:BA, D



**Figure 39 – Boeing Co, Daily Chart**

Daily RSI drops to the 40 level in May 2017 when a buy signal is generated. Notice how the RSI takes support exactly at that level where the price moves above the high of the alert candle. The trade rides the trend all the way into August 2017, when the trailing stop gets triggered.



**Figure 40 – Maruti Suzuki India Ltd, Weekly Chart**

The weekly chart of Maruti highlights the time period when the RSI remains above the 60 level. The price is well trended, making higher tops and higher bottoms. Notice the daily chart on the next page:





**Figure 41 – Maruti Suzuki India Ltd, Daily Chart**

The daily chart marks three zones where the RSI reaches the 40 level and pulls up thereafter. This generates buy signals at each point, but all of them lead to sideways price movement.

### System Rules for Going Short

#### Entry Conditions

- RSI in HTF – below 40
- RSI in LTF – at or near 60
- Formation of a candle with a negative close in LTF.

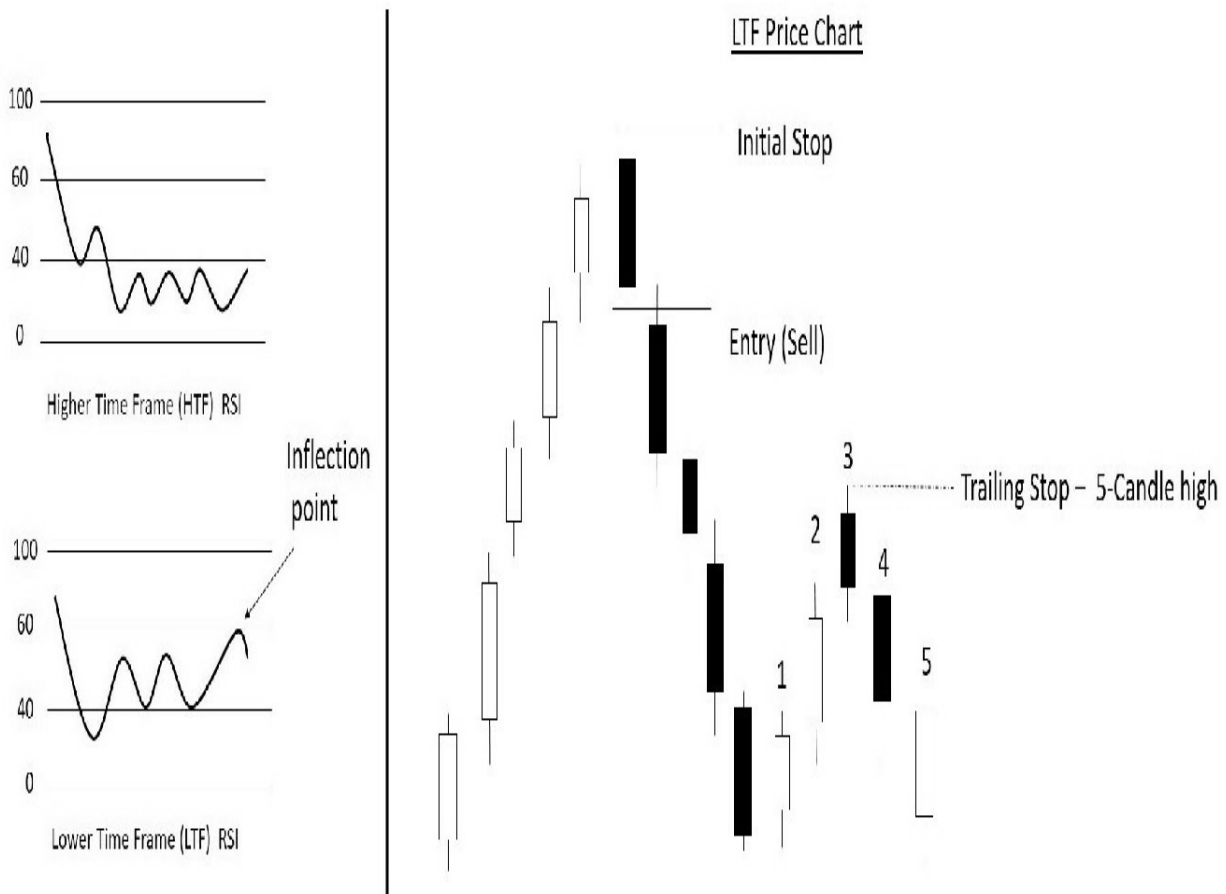
#### Entry

The first candle with a negative close is the alert candle. Sell below the low

of the alert candle.

Exit

- a. Initial Stop** – Above the high of either the alert candle or the candle preceding it, whichever is highest
- b. Trailing Stop** – Above the highest high of the last five candles



**Figure 42 – 5-Star System – Short Trade**

Let us now consider the short trades in this system with a few examples.

General Electric Company, United States, NYSE:GE, W



**Figure 43 – General Electric Company, Weekly Chart**

The vertical line in the above weekly chart of General Electric Company marks the period from June 2017 onwards. This is where the RSI moves below the 40 level and stays there until the end of the chart on the right side. Notice the daily chart on the next page:



**Figure 44 – General Electric Company, Daily Chart**

In August 2017, the price rises with a small swing, thus causing the RSI to rise to the 60 level. Notice how the weekly RSI pulls the daily RSI down from this level at the point of inflection, when the price breaks the low of the alert candle with the big black candle. Notice the low risk in this trade, which lasts until the trailing stop is triggered in the month of November.

Reliance Infrastructure Ltd, India, NSE:RLIN, W



**Figure 45 – Reliance Infrastructure Limited, Weekly Chart**

The weekly chart of Reliance Infrastructure Limited highlights the period when the RSI sustained below the 40 level, from November 2010 to January 2012. Let's look at the action in the daily chart on the next page:

Reliance Infrastructure Ltd, India, NSE:RLIN, D



**Figure 46 – Reliance Infrastructure Limited, Daily Chart**

In the last week of August 2011, the price rises to make a second top around 600, thus leading the RSI to the 60 level. The price declines immediately the next day, moving below the low of the alert candle and triggering a sell in accordance with the system. The trailing stop gets triggered in the same month.

Vedanta Ltd, India, NSE:VDAN, W



**Figure 47 – Vedanta Limited, Weekly Chart**

Notice the period marked in the weekly chart of Vedanta Limited, when the RSI moved below the 40 level. See the daily chart.

Vedanta Ltd, India, NSE:VDAN, D



**Figure 48 – Vedanta Limited, Daily Chart**

The RSI rose to 60 when price plateaued at around the 95 level after a short upswing, where it triggered a sell signal moving below the low of the alert candle. The trailing stop was triggered when the price moved above the high of the last five candles.

### **System Risk and Reward**

The stop in the set-up is the range of one candle in the LTF. The potential reward is generally between three, five, eight and, in some cases, thirteen candles. Risk reward generally comes down to 1:3 or 1:5, which makes the trade rate higher on profitability.

### **What Makes This System a 5-Star Trade Set-Up**



1. We are trading in the direction of the main trend (HTF).
2. We use an important support on the LTF to enter the trade.
3. Favourable risk to reward ratio for a trade.

One can further improve the rating of this system by the addition of other indicators like volume and volatility, or by adding one more time frame: Monthly. But that is beyond the scope of this book. Nevertheless, the system works well in its simplistic form too, as explained above.

### **System Checklist**

These are the points to check out for before entering a trade:

- a. Check if the RSI in HTF is above 60 or below 40
- b. Check if the RSI in LTF is at or near the support zone of 40 *OR* at or the near resistance zone of 60
- c. Look at price confirmation
- d. Check quantity in accordance with risk management calculation

### **Time Frame Variations**

Apart from the time frame discussed above, the system works well on the following variations too:

- a. HTF – Monthly, LTF – Weekly  
(positional trade lasting for a few weeks)
- b. HTF – Daily, LTF – 60 Minutes  
(buy today, sell tomorrow trade, lasting for one to two days)
- c. HTF – 60 Minutes, LTF – 15 Minutes (Intraday Trade)

All other conditions of entry and exit remain the same.

A few examples of the system entries and exits on monthly and weekly chart combinations are given on the next page.

Berkshire Hathaway Inc, United States, NYSE:BRKa, M



**Figure 49 – Berkshire Hathaway Inc, Monthly Chart**

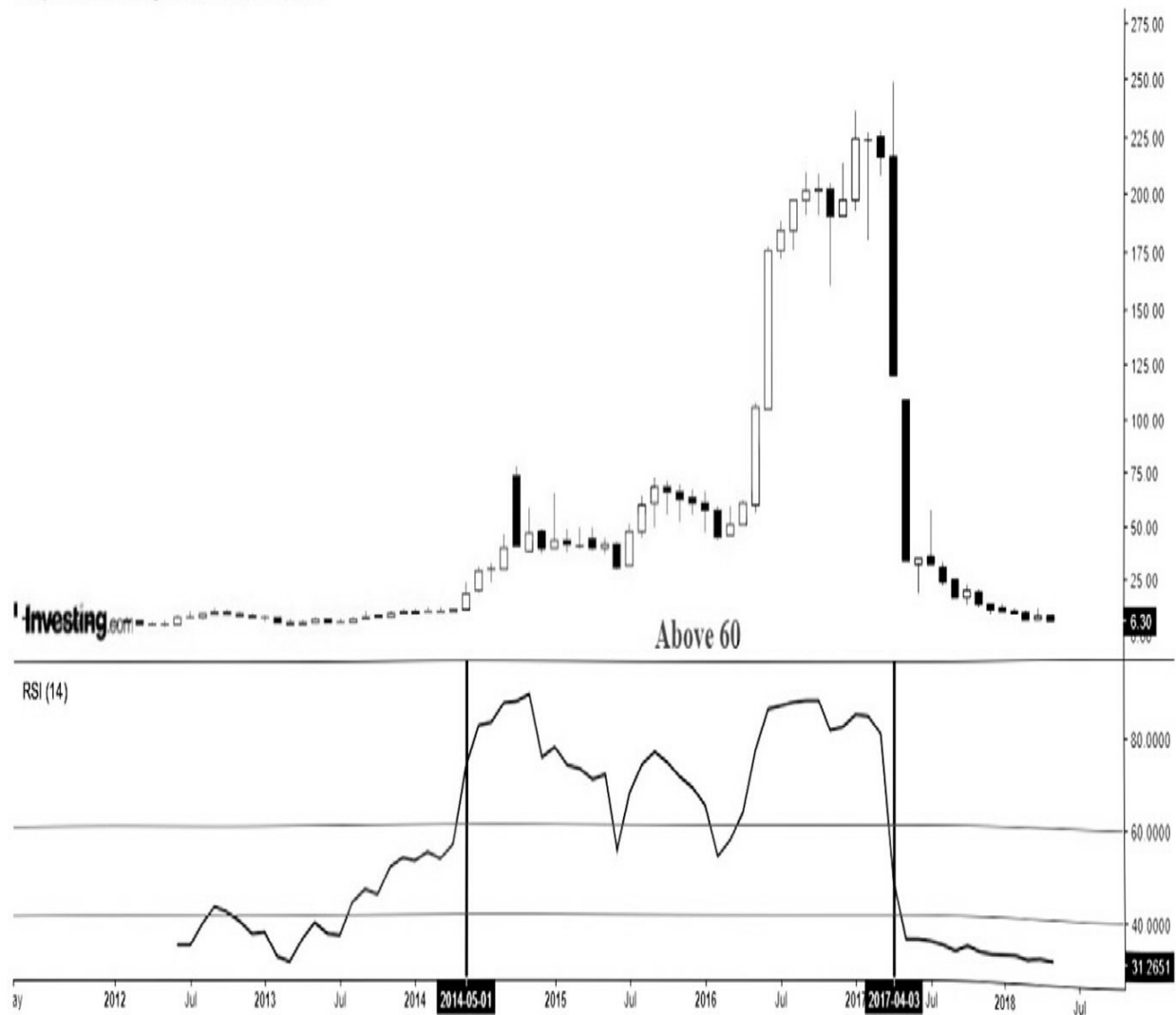
The above is the monthly chart of Berkshire Hathaway Inc. The RSI remained above the 60 zone from September 2012 to May 2015. The price is well trended in this period. Let's study the action in the weekly chart below.

Berkshire Hathaway Inc, United States, NYSE:BRK, W



**Figure 50 – Berkshire Hathaway Inc, Weekly Chart**

In early 2014, the price takes support at a previously formed bottom. RSI too halts a little above the 40 level at this point. The buy signal of a positional trade is triggered when the price crosses the high of the alert candle with a big white candle. The bottom in July 2014 triggers the trailing stop in the trade.

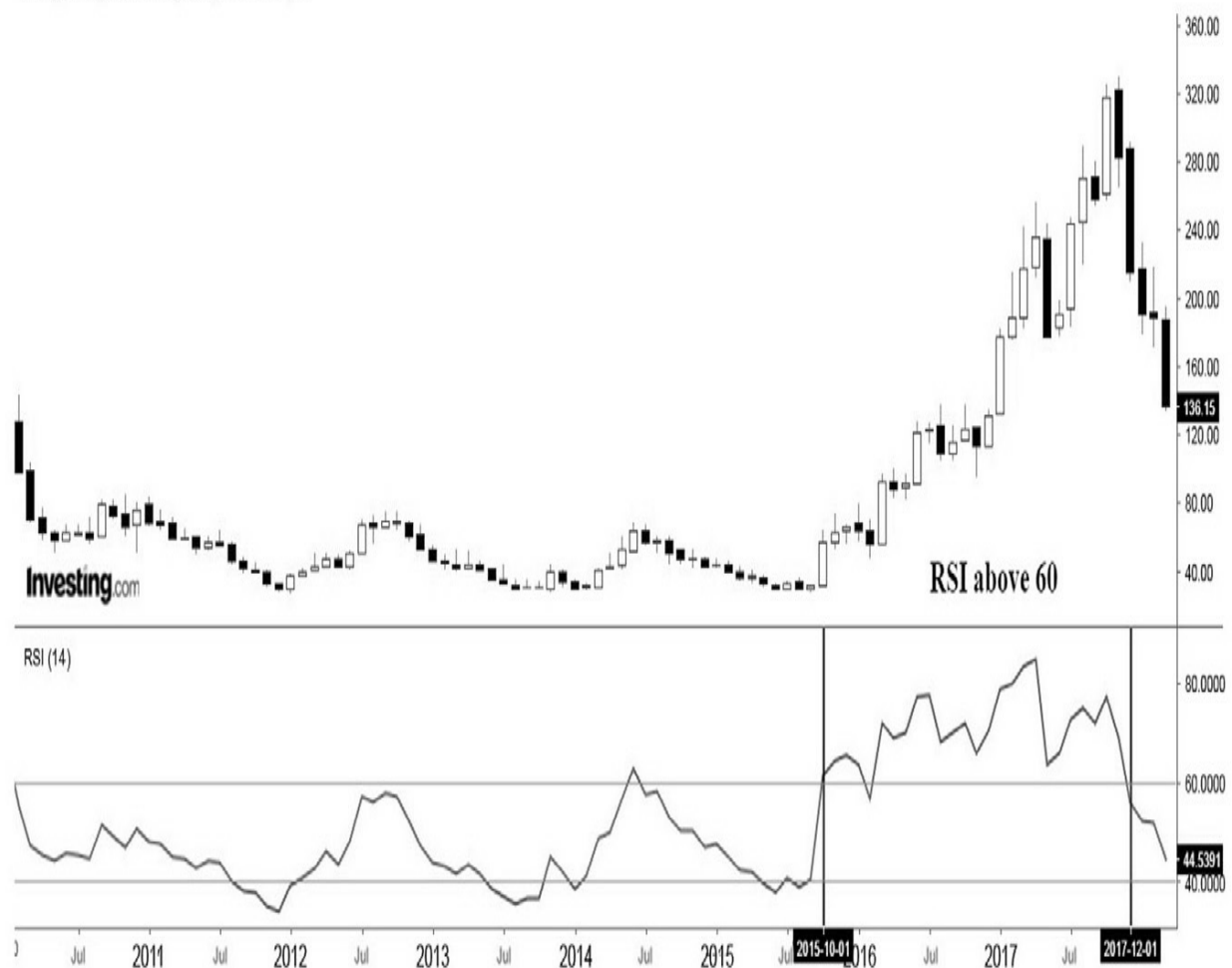


**Figure 51 – Shilpi Cable Technologies Limited, Monthly Chart**

The monthly chart of Shilpi Cable Technologies Limited displays the steep uptrend. During this period, the RSI had been consistently above the 60 level, except for a couple of small blemishes below it. Notice the weekly chart on the next page.

The weekly chart highlights two points when the RSI touched the 40 level and moved up. Notice the movement in the direction of the trend after the respective buy signals were triggered.

Dhampur Sugar Mills Ltd, India, NSE:DAMS, M



**Figure 53 – Dhampur Sugar Mills Ltd, Monthly Chart**

The monthly chart of Dhampur Sugar Mills Limited highlights the period from October 2015 to December 2017, when the monthly RSI has remained above the 60 level. Notice the weekly chart on the next page.



**Figure 54 – Dhampur Sugar Mills Ltd, Weekly Chart**

In June 2017, the RSI falls near the 40 level when price makes a small swing down. After a few weeks of moving sideways, the price begins the up move, which is sustained until November that year, when the trailing stop gets triggered.

Let us understand the positional sell set-up on this system with a few charts.

Bharat Heavy Electricals Ltd., India, NSE:BHEL, M



**Figure 55 – Bharat Heavy Electricals Ltd, Monthly Chart**

The monthly chart of Bharat Heavy Electricals Ltd highlights the period from August 2011 to December 2013. The RSI moved below the 40 levels during this period. Observe the weekly chart below.



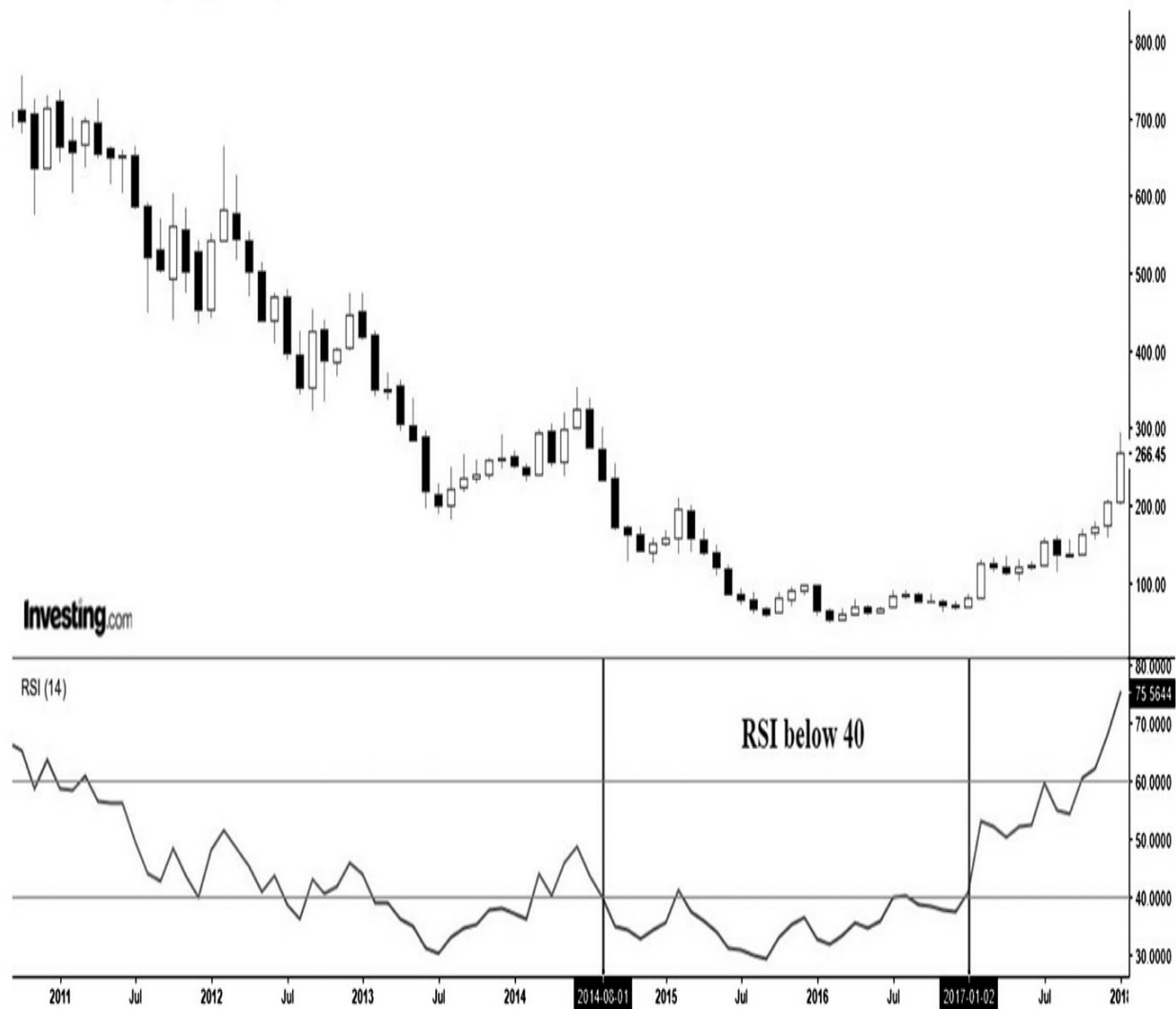
Bharat Heavy Electricals Ltd., India, NSE:BHEL, W



**Figure 56 – Bharat Heavy Electricals Ltd, Weekly Chart**

The weekly chart highlights the week in October 2012 when the RSI touched the 60 level. Immediately thereafter the monthly RSI pulled the weekly RSI below from this point of inflection. A sell trade is triggered with the price moving below the low of the alert bar. Notice the trailing stop being triggered in late April 2013.

Jindal Steel & Power Ltd, India, NSE:JNSP, M



**Figure 57 – Jindal Steel & Power Ltd, Monthly Chart**

In the above monthly chart of Jindal Steel & Power Ltd, the period in between the two vertical lines shows the movement of RSI below the 40 level. Let's study the weekly chart below.



**Figure 58 – Jindal Steel & Power Ltd, Weekly Chart**

The weekly chart marks the week in September 2016 when the RSI touches the 60 level, just when it is pulled down as the monthly RSI is in the zone below 40. The sell signal is triggered once the price breaks the sideways movement to the downside. Notice the trailing stop being hit at around the same level in January 2017.

The ideal combination has both the time frames in a gap of four to six times of each other.

I strongly recommend my students begin with weekly and daily time frames and then venture into intraday, once they are extremely comfortable with the set-up.

The time frame combination should be selected with care. The ideal combination has both the time frames in a gap of four to six times of each other. Note that weekly and daily are five times apart from each other, monthly and weekly are four times apart, and daily and 60 minutes are within six times of each other. This ratio of 4:5 times is the ideal ratio to choose the higher and lower time frames.

### **How Yagnesh Got #Cashtagged**

Dear Vishal Sir,

I am very happy and proud to be your student. After attending “Anybody Can Trade™”, the last few months saw me taking some of the best trades of my eight-year career as a trader. One of them was in Bank Nifty, where I made a profit of more than 1,800 points in a single trade (Rs. 72,000), which is the first time ever in my career.

Lots of gratitude to you for this wonderful knowledge.

—Yagnesh Patel

## **#CASHTAGS Action Points for Section 5:**

1. Back-test System 1 manually on 15 large-cap stocks from different sectors (Auto, Banking, Pharma, Realty, Metals, Oil & Gas) for the last ten years. Take into consideration all entries, exits and stop-loss levels, and calculate the final profit and loss figure.
2. Study 50 charts for System 2, both the time frames —Monthly and Weekly (positional trade), and Weekly and Daily (Swing Trade). Note the entries and stop-loss levels, and calculate the final profit and loss figures.

Note: The above exercise will give you tremendous confidence in system trading. Over a period of time as you trade these systems, you may tweak the rules in accordance with your trading style and comfort.

3. Read the book *Super Trader* by Dr. Van Tharp.



## SECTION 6

# Meet the Trading Legends



If you want to be successful, find someone who has achieved the results you want and copy what they do and you'll achieve the same results.

—TONY ROBBINS







## CHAPTER 16

# In Conversation with the Trading Legends



Fill your brain with giant dreams so it  
has no space for petty pursuits.

—ROBIN SHARMA



## In Conversation with Dr. C. K. Narayan



### About Dr. C. K. Narayan

As seen on some of the biggest business and financial television channels in India, Dr. Narayan is an acclaimed expert on financial markets. He has won the **Lifetime Achievement Award for Technical Analysis**. He is the founder and CEO of Growth Avenues, a distinguished organisation providing expert services and training on financial markets and discretionary fund management. You may reach him at [www.growthavenues.com](http://www.growthavenues.com).

**Q:** Out of all the factors that make a successful trader, which ones do you place more importance on?

**A:** I will only echo what has been said beautifully by Dr. Alexander Elder: “There are three M’s of trading—Mind, Method and Money Management”. I think this is very aptly put by Elder. All three pillars of trading are equally important. The mind of the trader is the most essential factor, the importance of which cannot be stressed enough. The method too is very critical because the mind needs being directed towards action; otherwise, it will throw up because of our power of discerning and discriminating. You have many choices to take action. At any given point in time in the market, there are three things to do. It is the method which will point you towards that one thing to do, and the method is necessary for you to do consistently.

And then the method itself is designed towards facilitating action. But

once the trade is on, the risk is on. As long as the trade is open, the risk is open. So you must have something to address risk, and that is why Elder adds money management. Money management is dealing with the trade and its risk. So these are the three major elements in trading.

**Q:** According to you, which is the simplest tool to use from the Technical Analysis toolkit?

**A:** I will not answer this question in the context of technical analysis tools. Charlie Munger, a partner of Warren Buffett, said that once you have acquired the basic knowledge well, there is very little need to add anything to it.

Whatever tool you use, whatever mode of analysis that you have learned, ensure that you learn the basics well—in the absence of which, no tool is going to help you. If the basics of each tool are clear, you will pick a tool which is appropriate at that time.

If I say that RSI (Relative Strength Index) is better than the Stochastic, or that Stochastic is better than the MACD (Moving Average Convergence and Divergence), or that MACD is better than the Moving Average, this does not make them so. It may well be my choice today. Tomorrow I may choose the modified RSI. On the third day it may be C. K. Narayan RSI. I may come out with something of my own. My choice may keep changing because the markets keep changing. Hence, Charlie Munger said it best and said it correctly that you have got to learn the basics well.

**Q:** I agree. This has always been your advice to me, too, a decade ago. Can you share what tools you use to trade, from your deep ocean of knowledge on the subject?

**A:** I have tried everything through the years. The answer is partly from the earlier answer, you've got to simplify and come down to simple things, which at a glance will tell you what is happening.

What is the key requirement? The key requirement is to be able to identify what is happening right now. That is all that matters. If the RSI is somewhere at 53 or 54, will it tell you what is happening right now? Can

any oscillator tell you what is happening right now, unless it is in an overbought or oversold zone? You need to know so much more; to know what it is saying. So the tools should be designed in such a way that at a glance you are able to know what is happening right now.

Charlie Munger said it best and said it correctly that you have got to learn the basics well.

Amongst the various charting techniques, candlesticks tell you what is happening right now. Right now is also this minute and this hour and this day and this week, assuming that is more or less the contour of most of us. So we are not talking a time frame beyond that or below it. This means I must have a chart of candlesticks which addresses at least three time frames. I may not trade all of them, though. My chart of choice helps me take the signals, but I must know what is happening now in the lower time frame, at the same time, I need to have the perspective of what is happening in the higher time frame. Hence a candlesticks chart of three time frames is the bare minimum that you need, that is, a plain candlestick chart, without anything on it.

Then depending upon how you relate to the markets in terms of trades that you take, the frequency and so on. you need a momentum indicator for that time frame. But just because it is possible to do so, don't put it on a five-minute chart and a sixty-minute chart and a daily chart and a weekly chart and so on. All four RSI readings will be totally different, and studying them will take away all your clarity. The time frame to take action is always the lower time frame. Let's assume you get a signal to buy on a Monday. But a Monday means anywhere between the markets opening and closing. Numerous events may transpire then, none in your control.

Track different time frames to get perspective.

Your definition of the tools must be where your action is going to happen. That's why the detailing needs to be there. The other charts are

more for signalling and perspective.

Keep the detailing only in the charts where there is action. The other ones should be pure price. Track different time frames to get perspective. One doesn't need to clutter the charts. When I visit someone's office and I see the clutter, I get the feeling that this man really doesn't know what he is doing. If one needs too many supports, what does that send as a signal? It says: *I am weak, I need support on the back*. Their screen is filled with multiple indicators and all other stuff. You need to realise that you are weak. Strengthen yourself first.

**Q:** What could lead to self-sabotage at the peak of one's career as a trader?

**A:** Self-sabotage is in all of us. Pogo said, "I have looked into the mirror and I have seen the enemy." What does one do after attaining *JeevanMukta* (salvation)? One remains in that plane. Therefore, to remain a successful player in the markets, you need to continuously weed out your own weaknesses. There is no place for complacency. The minute you feel that *I have achieved* or *I know*, then you stop learning. Once you stop learning, you stop admitting your mistakes and eventually you get into an ego trip. More of it comes along the way. That is all self-sabotage.

|                                                                                     |
|-------------------------------------------------------------------------------------|
| Alert is to know what is happening, and<br>vigilance is to know what you are doing. |
|-------------------------------------------------------------------------------------|

The only difference is that once you have learned it well, you can identify this self-sabotage quickly enough. Nobody is immune to it. No matter how many times you come up, you are bound to slip. But the key to good learning is that you will slip less.

One needs to keep alert and vigilant. These two words have been used in all our scriptures. That is what a human being is supposed to be—alert and vigilant—at all times in his life. And it is no different in the markets. Alert is to know what is happening, and vigilance is to know what you are doing. One needs to be self-vigilant because nobody is privy to one's thoughts. Only you are aware of your own thoughts. Alertness is given by our methods and by sticking to it. And vigilance is continuing to remain in that state. We will slip. Accept it. But catch it so you can come out well.

There is no way to avoid it.

**Q:** That is some great advice for professional and successful traders. What would you have to say to novice traders?

**A:** As I mentioned earlier, it's just the basics. That's all. Do not go in search of more complication. Why this extraordinary fascination with complicated stuff? People feel that complicated is good. But all the things that can emerge out of esoteric studies can also emerge out of just price action. Hence, first get the price action nicely done, then you can build on all the esoteric stuff. There are lots of it. Never go after more indicators. Just because everybody uses RSI doesn't mean it's time for you to look at something different. The key is to keep it simple and stick to the basics.

**Q:** Having agreed that one's mind is the most important factor in trading, how does one develop that? Would you recommend any books on the subject?

**A:** I would suggest that you get into groups. By groups, I mean *Satsang*. This is because ultimately it is all about distinguishing the *I* and the *ME*. This is taught in neither schools nor colleges. No curriculum in the world covers this. Only spiritual study does. If you notice, in Greece or any other country, at the entrance of the caves where Socrates is supposed to have been, it reads "Know thyself". This is the curriculum of any spiritual subject.

One cannot straightaway read the *Bhagavad Gita*. There are some great authors who have written and deciphered the scripture, but you cannot read it because it won't make sense to you. Hence, joining a group or following a spiritual leader is essential. At the same time, people like Bob Proctor, Jim Rohn, Deepak Chopra, Robin Sharma, Anthony Robbins and many more espouse the same ideas without the religious orientation. Listening to these people or reading them is akin to reading the scriptures because the text in the scriptures is too metaphysical.

**Q:** What is the importance of a guru or mentor in one's life?

**A:** The need for a mentor is self-evident. Roger Federer has a coach. Why would he need one? He held first place in the ATP ranking consistently for

286 weeks, which is five years! Even Lionel Messi has a coach. Successful corporate leaders have had coaches mentoring them all the time.

Our parents, siblings and teachers have always played the role of a coach, without us being aware of it.

You cannot see yourself. People around you can see every single fault of yours. Your mind will not permit you to see your faults because if you do, then you cannot live with yourself, since there are plenty of them. Nevertheless, they need to be pointed and weeded out, corrected and improved. Only an external person can do this exercise. Hence the requirement of having a coach, irrespective of what success you may have achieved in life until now.

One cannot undermine the need for a guide in life, be it trading or otherwise.

The role of a mentor is not limited to a day or a week or a year; rather, it lasts all through one's lifetime. One cannot undermine the need for a guide in life, be it trading or otherwise.

## **In Conversation with Jack Schwager**



### **About Jack Schwager:**

Author of numerous books, including the best-selling series *The Market Wizards*, Mr. Schwager is a renowned expert in futures and hedge funds. He

is also an eloquent speaker on diverse topics such as the characteristics of great traders, technical analysis and trading system evaluation. You may reach him at [www.jackschwager.com](http://www.jackschwager.com).

**Q:** Your book series *The Market Wizards* is considered a bible for us traders. Can you tell me about your journey as a writer? How did you begin?

**A:** My first book, *A Complete Guide to the Futures Market* (which is actually my most recent book as well because I redid it last year), was my first analytical book. This book was quite different from the *Market Wizards* series, but it did really well. I had taken a sabbatical to write it, and it did well for that type of book. A few weeks later I was approached by a publisher to do a whole series of analytical books, but I had no interest. Because I had already done my analytical book, I did not want to do that again. I turned to a wider audience. I had the idea to go across the country and interview very successful traders as the basis of a book, and so I mentioned that idea to the publisher. The publisher liked it. I was working a full-time job then. I did the book pretty much on the trip to meet the traders.

**Q:** From your interactions with these traders, what learnings have created the greatest impact on you?

**A:** One of the things that did come out strongly is that all traders have different approaches that sometimes completely contradict each other. A number of traders pointed out that the important thing was to find out what trading style fits your personality. I think I have mentioned it in one of the books: “Every successful trader would be known for not finding any of the models in the book but rather finding your own approach.” One more aspect that was uniform across every trader was their strong respect and adherence to risk management.

|                                                            |
|------------------------------------------------------------|
| <p>You can't be successful unless you are disciplined.</p> |
|------------------------------------------------------------|



**Q:** In your opinion, what keeps people away from succeeding at trading?

**A:** I think the mistakes most people make in one form or another is the lack of discipline in maintaining strong risk management. Those who have good analytical skills may either trade too much on a position or hold onto a position way too long and hence end up losing money. And for those who do not have the skills, the probabilities to succeed are not very practical.

**Q:** How important it is to work on one's own mindset along with one's trading methodology?

**A:** Well, in most of the books you would find that it is more about psychology than market research. That is very important. You can't be successful unless you are disciplined. It is all about one's mental discipline. The market does not behave as you want it to. So one needs to work on one's psychology, not letting emotions take over you. It is an ongoing process.

**Q:** What advice would you give to novice traders?

**A:** As a beginner, you have got to learn to gain some knowledge. You may begin by reading books on the market. A good book like the *Reminiscences of a Stock Operator* teaches you trading principles, philosophies and things that are important to know how to deal with various market conditions. It helps you develop a trading methodology, and once you develop a methodology, you can try paper trading. But the flip side to paper trading is, there are no emotions involved in it.

You may choose to begin trading the markets with small amounts of money as most people end up in losses in the beginning. So learn to evaluate and refine your trading methodology. Develop your confidence and keep trying with small amounts, to avoid real major damage to your trading capital.

**In Conversation with Dr. Van Tharp**



### **About Dr. Van Tharp:**

Van K. Tharp, PhD, is an international leader in the trading coaching industry. He has written 11 books, each one making profound advances in the understanding of what creates trading success. His research and modelling work with outstanding traders over the past 30 years has made his training programmes among the most highly respected in the world. With the cutting-edge learning strategies and techniques that he offers through his programmes, the average trader can evolve into a ‘super trader’.

Dr. Tharp is the only trading coach featured in Jack Schwager’s best-selling book, *The Market Wizard’s: Interviews with Great Traders*. He is the author of *Trading Beyond the Matrix: The Red Pill for Traders*; *Super Trader*; *Trade Your Way to Financial Freedom*; and *Safe Strategies for Financial Freedom*.

His self-published *Definitive Guide to Position Sizing Strategies* is the textbook serious traders keep by their side, and the five books in his acclaimed *Peak Performance Home Study Course* offer powerful exercises to accelerate market success.

While Van Tharp’s expertise is in the area of finance, his mission is to transform people in a way that changes them for the better. In his books, courses and workshops, he uses the financial metaphor to do so. You may reach him at [www.vantharp.com](http://www.vantharp.com).

**Q:** What do you think is the role of beliefs in making a successful trader?

**A:** First, I think it's important for everyone to understand that what you experience is all made up. It's not real. It's like a matrix. Here is a step-by-step understanding of how that works:

- a. First, what stimulates our senses are energy waves, but you don't experience energy waves; rather, you experience the result of what happens when your senses are stimulated. So, for example, if a long light wave comes into the eye, it stimulates the red cones in your retina and you experience the sensation of seeing the colour red.
- b. This process goes a step further, however, and we code the experience in language. The word 'red', for example, is at least one step removed from the experience of red. In addition, we have no way of knowing if your experience of red and my experience of red are the same or if they are even similar. They may be entirely different.
- c. Next, you might give the word red some other meaning such as 'Red is an angry colour' or 'Red is a car colour that stimulates police to give speeding tickets'. Each person's list of additional meanings they have given to a colour is a unique set of ideas they attach to that word.
- d. By the time you learn a language, be it English or Hindi or some other dialect, your brain has been transformed to speak that language. In a sense, you've been brainwashed to think in terms of the common structure for most languages—subject, object, and verb. Interpreting an experience as having a subject, object and verb is an artefact of thinking in terms of the structure of language. Those components of language don't necessarily exist, but we think they do because our brains are wired to operate that way when we are learning language. My understanding of Sanskrit is that it is an exceptional and spiritual language which has no "I" sense.
- e. We also tend to take words that are verbs and turn them into a noun. Bandler and Grinder, the founders of Neuro-Linguistic Programming (NLP), have said that if you cannot put something into a wheelbarrow (perhaps a very big one), then we are talking about a verb that's turned into a noun. We call these nominalisations. We think of them as things, but they are made up. They are processes or concepts. The 'market' is an example of a nominalisation. It's a process of buying and selling, not a noun.

- f. Now that we are thinking in terms of language, realise that you string together certain sets of words frequently and that you confirm them to yourself in various ways. Such confirmed phrases are called beliefs.

Given how all of these steps take us away from what's actually out there in the real world, it should be easier to understand the frequently used phrase in NLP: "*The map is not the territory.*" Here's a good example: What you think of as the market, is not the market. That is, you might think of the market as a bar chart or a candlestick chart, but is that really the market? No. Those are representations, maps of the market—and they are not very good ones, as I'll explain. At best, the market might be most perfectly represented by thousands of dots representing the ticks of individual buy and sell transactions. (And notice how far removed from the actual buying and selling of market transactions these dots are.)

Then we take these thousands of ticks and we arbitrarily block them off to represent some period of time, say one hour's worth of trading. Many people have a belief that within each arbitrary period, four of those ticks are the most important ones of all—the first tick, the last tick, the highest tick and the lowest tick. Suddenly you have a belief that those particular dots are much more important than the rest. Most people don't realise that if you took the third tick in the group and, say, the third tick from the end, you could get an entirely different looking open and close—even though those ticks might be only milliseconds away from the first tick and the last one. What if the high tick or the low tick is just some apparently random price far away from every other transaction and those two ticks really don't represent that period of time at all? That's often the case, but nevertheless, many people tend to give such points special meanings on charts.

Let's take this a step further. We might take 100 such bars created in the arbitrary way I described and put them together on a chart and then look at how the bars line up next to each other. Perhaps the bars are going up, and you label that an upward trend. Or perhaps you are not sure, so you draw a moving average line of the closing price for each bar—let's say you pick a 20-period moving average. Now you decide that some relationship between the bars and the 20-period

moving average line has more meaning than just the 100 bars by themselves.

You can look for particular patterns in the bars, you can add indicators and you can go on and on like this. That's how most traders view 'trading the market'. Hopefully, you get the point—whatever you come up with for 'trading' becomes far removed from the actual process of many people simultaneously buying and selling. Instead of trading the market, you are trading all of your beliefs about the market.

The key here is to understand if your various beliefs about the market are useful—and a useful belief might be one that consistently helps you make money. That's an arbitrary definition, but I think most traders would agree that a belief that makes money is a useful one. As a result of this step, you can appreciate why understanding how many of your beliefs are useful or not is important for you to trade well.

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| Instead of trading the market, you are trading<br>all of your beliefs about the market. |
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**Q:** What is the importance of inner transformation for a trader?

**A:** When you understand that the map (i.e. your inner representation of the world) is not the territory (i.e. the real world or the market), then you can see how everything is about what goes on inside of you.

Most people are not aware about what goes on inside of them because they project it outside of themselves—they think they have no control over it. The average person thinks that their beliefs about the market (or anything else for that matter) are the market (or anything else), but that's not the case. When you become distinctly aware that the market is simply what you believe it to be, then you have started the process of waking up to what is really happening. When you are aware of how you create through your beliefs and the meanings you give things, then you are enlightened to your process of reality.

When you understand how your beliefs create your experience and that you make up your beliefs, then you can begin to evaluate them as to

whether or not they are useful or not. You can put each belief into a ‘belief examination paradigm’ and determine if it is useful or not. If you find a belief that is not useful, then just drop it. That’s easy to do unless the belief is locked into place by an emotional charge. In this case, you have to release the charge before you can drop the belief or change it.

**Q:** How does one handle emotions at play while trading? What advice would you give on dealing with them?

When you become distinctly aware that the market is simply what you believe it to be, then you have started the process of waking up to what is really happening.

**A:** We tend to judge emotions as good or bad, but really, emotions are neutral and should just be felt. Instead, we tend to like good feelings and we want to avoid bad feelings. When you avoid bad feelings, however, you store them in your body and then they become attached (as an emotional charge) to some belief – a non-useful belief. For example, you might believe that you are not worthwhile as a person. Now clearly that’s not a useful belief, but you’d have trouble getting rid of it until you released the charge attached to it. There is probably some shame or guilt attached to such a belief, and those emotions may have been around for a long time—even if you aren’t conscious about them (they may be ‘hidden’). Various feeling-release techniques can help you get rid of emotional charges. As an example, one technique involves first setting up some circuitry for moving the feeling in your body related to the emotion, then building up the feeling’s intensity and finally pushing it out until it has fully left your body. Using this technique, the feeling in your body and the associated emotion are usually 75–95 per cent gone in just one try. After you realise that your non-useful beliefs don’t serve you, you can do this kind of feeling work to release the emotional charges for all of your non-useful beliefs.

It’s not healthy for your body, and it’s not

healthy for your bank account.

Let me give you an example of how resisting a feeling can affect your trading. Say you have a system that enters breakouts from a consolidation. One day, you see a breakout and you enter a long position. Right after you take the trade, the price moves against you, goes below the consolidation band and hits your exit point. You've now lost money—and as soon as you are out, the price then starts moving up. When you realise that your exit was the low tick of the day, you start to feel manipulated and you get angry. The price continues to climb and you get more upset. An hour later, the price has climbed several points above your original entry price (i.e. your trade would have been very profitable) and now, you are really upset. Suddenly, however, you realise that you missed the second breakout signal (because you were angry) and that missed trade would have been very profitable by now. Now, you are even angrier because you missed the signal and lost a nice profit, but that is the result of stored anger. It shows up frequently, it's not healthy for your body, and it's not healthy for your bank account.

**Q:** How would you explain the importance of systems in trading?

**A:** Because everything is made up, you need a set of useful rules to guide your trading. At a bare minimum, your rules should include:

1. when to enter;
2. when to get out because you are wrong about the trade (i.e. your initial risk, which I call 1R); and

Most people lose money trading because they don't follow proven rules.

3. when to take profits. You also need
4. a position-sizing algorithm to help you meet your objectives. That's a rough idea about what I call a trading system.

Why is that important?

Most people lose money trading because they don't follow proven rules. In fact, I define a trading mistake as not following your rules. Now, if you don't have any rules, then everything you do is a mistake and you should not be trading.

**Q:** How do you explain the relevance of having a business plan for trading?

**A:** Trading is a business. It's as much a business as any other kind of business someone may start—and there are a number of important, useful beliefs around this idea.

First, most businesses fail because they fail to plan. Traders should have a business plan if they wish to last.

Second, trading isn't that easy. If it were easy, then 'big money' would make it so difficult for you to trade that few people could do so. Trading, however, is difficult. Big money makes markets for you to trade (i.e. they win no matter how you do) and charge commissions and fees so they can make their money. One of your edges is to realise that trading well consistently takes a lot of hard work and education. You need to do that work in order to prosper. One piece of that work is creating a good business plan. I actually have a long checklist for the critical elements for a trading business plan in my book, *Trading Beyond the Matrix*.

## **In Conversation with Raamdeo Agrawal**





### About Raamdeo Agrawal:

Raamdeo Agrawal, co-founder of Motilal Oswal Financial Services Ltd., has vast knowledge and experience in equity research. His firm offers a variety of financial products and services. He is a member of the National Committee on Capital Markets of the Confederation of Indian Industry and an associate of The Institute of Chartered Accountants of India. Mr. Agrawal wrote the book *The Art of Wealth Creation* and has co-authored another with Ram K Piparia, entitled *Corporate Numbers Game*. Besides writing a book, he has also appeared on television, on CNBC TV 18's *Wizards of Dalal Street*. You may reach him at [www.motilaloswalmf.com](http://www.motilaloswalmf.com).

**Q:** How did the journey into the stock markets begin for you?

**A:** I was a chartered accountant. Somewhere while I was doing chartered accountancy, I saw people investing and making money while buying companies. I used to learn about companies as part of my studies too. I therefore got addicted without realising it. Multiple factors—my brother's surplus capital, sudden investments in the '80s and sighting the multi-structures—they all spiked my interest in the markets. I got into equity research in about 1984–85. The stock markets were devoid of professionals then, which gave me a kick-start. We were amongst the first generation of professionals into the marketplace. In spite of the presence of a plethora of chartered accountants, none seemed to be interested in the stock markets.

We were professionals and success driven. We continued investing in all kinds of market moves, at the same time paying our taxes in full. I was just about 24 when I began here.

**Q:** You are considered a role model by many investors across the globe. Can you name your role models?

**A:** It is Warren Buffett, all the way. I have also learned from Philip Fisher and Peter Lynch, apart from others too. But if you ask me that one person who has influenced me most, it is Warren Buffett.

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| One of your edges is to realise that trading |
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well consistently takes a lot of hard work and education.

**Q:** I am aware that you invest a lot of time in reading. Could you recommend a few good books to the readers?

**A:** Yes, I love reading. I must have read at least 100 books on investing. A few of them which stand out are

- a. *Buffett's Letters to Shareholders*,
- b. *Common Stocks and Uncommon Profits*, by Philip A. Fisher,
- c. *Competitive Strategy*, by Michael E. Porter,
- d. *Value Investing*, by Bruce C. N. Greenwald,
- e. *Expectations Investing*, by Michael J. Mauboussin, and
- f. *One Up On Wall Street*, by Peter Lynch.

Most sites recommend books on investing. You need to choose the one that fills your knowledge gap. For instance, someone who struggles to understand the digital world due to his old age needs to read a book on the future of the digital economy. It's easier for this generation. You can get them easily. I keep looking at my gaps and keep reading books on that.

**Q:** What do you think an ideal portfolio of INR 10,00,000 (USD 14,925) should be made up of?

**A:** I would stay invested in about twenty stocks in any kind of portfolio, never more than twenty. I am always fully invested.

I believe the Indian equity markets are going to perform very well. This is because we have very few people who are actually trading. The investment literacy is also very low. Those who have the knowledge would make a good amount of money here. The reason for this is that, on average, people display traits such as being irrational, short term driven, fearful and greedy. For instance, out of a million people trading and investing in the markets, about 100,000 of them are rational and the remaining 900,000 are irrational. It's clear then who is more likely to make money.

Equity is an evolving profession. Even Buffett learns and keeps improving.

**Q:** What message would you give to the readers with regards to investing?

**A:** Do not speculate; stay invested. Ensure that you buy the right sector, and you will keep improving. Equity is an evolving profession. Even Buffett learns and keeps improving. One needs three things to make money in the market: Vision, courage and patience. Keep developing your vision, for the ones who do have better chances at making money.

### **In Conversation with Mark Minervini**



#### **About Mark Minervini:**

One of the most efficacious stock traders with more than three decades of experience in stock markets, Mr. Mark Minervini is the founder of Quantech Research Group, Inc., an institutional research firm. He conducts seminars and workshops to educate people and help them become successful traders. You may reach him at [www.minervini.com](http://www.minervini.com).

**Q:** How did you begin your journey into the stock markets? Was it incidental, or was it always on your mind?

**A:** I was interested in stock trading at a relatively young age; I first got

started back in the early '80s. Without any formal education, I couldn't get a great job that paid very well. I saw the stock market as a place where the upside was unlimited, and it appeared to be interesting and challenging. Little did I know how challenging it would actually turn out to be... LOL!

I opened up a brokerage account with a few thousand dollars in 1983 and started trading. I didn't have much success early on, so it took me quite a while to build up capital. I had to trade for a number of years and add some money to my account before I even had a decent bankroll.

Being relatively new to trading, I obviously didn't know what I was doing, and it took me six or seven years before I became consistently profitable. Back then trading in and out like many do today was prohibitive. Commissions were USD 175 per trade, so it was very expensive. You had to hold stocks for a while and capture larger gains to be able to cover the fees.

I tasted some success in the late '80s. In the early '90s, that's when Internet trading was introduced and commissions came down dramatically. That allowed me to trade more often to compound my successes and get the bigger returns.

To answer your question, early on I made the decision to be a stock trader, and I made a commitment to stick with it until I succeeded. That was more than thirty years ago. The rest is history.

**Q:** So when you got started, was it always the technical side of it or did you study the fundamentals too?

**A:** I always look at both; I look at the fundamentals of a company and the technical action of the stock price and try to put the pieces together as to what type of situation I'm dealing with. In my opinion, they both are important. Why not use everything you can? Whatever it is, if it gives you an edge, great! If you own a company with strong improving fundamentals, the stock can really make a big move. If you are a short-term trader or a day trader, you can get away with ignoring fundamentals. But most of the really big winners have strong fundamentals.

**Q:** Can you name any one defining book that changed the whole trading

game for you?

**A:** Getting to where I am today was a gradual process of acquiring the necessary skill; however, the defining moment, as you put it, was when I finally decided that I would manage the downside religiously and never allow a stock position to turn into a large loss ever again. That changed everything! I should probably credit *How to Trade in Stocks* by Jesse Livermore and also the first *Market Wizards* book. Paul Tudor Jones really resonated with me, and from that point on, I was operating from a risk-first mentality.

A few of the most influential books that I have read that shaped my trading were *Super Performance Stocks* by Richard S. Love; that was really an important book for me. *The Relative Strength Concept of Common Stock Price Forecasting* by Robert A. Levy, *Stock Market Blueprints* by Edward S. Jensen and *How Charts Can Help You in the Stock Market* by William L. Jiler were the others. Those books really helped shape what I do today.

**Q:** When was the time when you thought that you could contribute to the world and write your first book?

**A:** The first book I wrote was *Trade Like a Stock Market Wizard*, published by McGraw Hill in 2013.

**Q:** We all know that being a trader is all about one's mindset. In the case of laymen, at the outset most people think the markets are risky or dangerous and tend to run away from it. How would you help change the mindset or the belief system of a novice who wants to enter the markets?

**A:** I am a stock trader, not a doctor. So, if I were to attempt brain surgery, it would probably be very risky for the patient, right? But what if I went to the best medical school and was taught the proper techniques by one of the greatest surgeons in the world? Then it may not be nearly as risky, correct? It could simply be my everyday job.

It's the same thing with the stock market. If someone doesn't know what they are doing and doesn't have the proper training and expertise, yes, it is extremely risky. So, it is just like anything else. Professional

poker players play cards for living. That seems very risky, like you are gambling. But these people make a living doing it because they are professionals; they understand the math and how to measure risk versus reward. You have to take investing pretty seriously because there is a lot of risk. The way to mitigate the risk is by having sound principles and cultivating the discipline to follow them.

**Q:** How important would risk management and position sizing be? Can you share your thoughts on these?

**A:** Risk management is the most important element to understand in speculation; position sizing is a component of risk management. Mitigating risk is the number one thing I focus on. Everything else is secondary to risk management. As far as position sizing is concerned, it is very important that you position size correctly. If you don't position size large enough, then you will never see big returns consistently. You will be too diversified. If your position size is too big, it is going to be too risky and, probably, a losing streak may leave you with a big setback or maybe even make you go broke. Since your position size is so important, you should learn how to have optimal position sizing. In my newest book, *Think and Trade Like a Champion*, I have dedicated an entire chapter to position sizing.

**Q:** You said you use both fundamentals as well as technicals. Is there any kind of bias towards one?

**A:** In a situation like a biotech stock (about 75 per cent of biotech stocks don't have earnings), I would be leaning more heavily towards technicals. Something that is more of a growth name like a hamburger chain or some kind of retail store would have me looking at earnings as much as technicals. Basically, what I look at are earnings, sales and margins. I look at them in a bunch of different ways, but I mainly focus on those three areas for a growth stock.

**Q:** There are times when I have experienced this. Maybe you would have too—after being successful for a considerable period of time after reaching the top, a crash awaits you! What do you think are the pitfalls at the top than at the bottom? While there may be many, would you suggest

something specific to look out for at the top?

Just because you made a lot of money doesn't  
mean that you  
can't lose it.

**A:** Well, that's easy. You stop respecting risk. Just because you made a lot of money doesn't mean that you can't lose it. Anybody can have success over one year or may be even one market cycle. Maybe you happened to be in the right place at the right time. But those people give back the gains just as quickly as they made them.

The professionals who have had success over many years rarely lose it all or even suffer many big setbacks, because they have sound principles; they respect risk. It certainly could happen. It can happen in any business. The key is risk management. You always have to respect risk, and you always have to manage the downside. When you approach trading risk first, then you are always prepared to avoid that type of situation.

**Q:** What is the role of a coach or mentor in this journey?

**A:** Well, it's great if you can find a good coach! A good mentor can make everything much easier by shortening your learning curve. The problem today is that everyone is an expert, thanks to the social media and the Internet, which provide plenty of information. But 99 per cent of this is garbage. Most of the so-called experts have never even made themselves their first million, so how can they tell you how to?

To get through all the information and cut down to what is good as opposed to what is noise is the challenge. Tiger Woods has a coach, and Michael Jordan had a coach. I mean every great performer in the Olympics, sports and business have had coaches. Presidents have people who advise them. So it is always a good idea to have somebody coach you in the right direction. The real key is to get the right coach and to get someone whom you can identify with. That can begin with books; there are a lot of books written on the subject of stock trading, and some of them are great.

You know, back when I first started trading, most of the books were old and outdated and it was hard to get information like today. But now with access to a lot of stuff, the problem has changed. From a lack of information it has turned into too much information.

First of all, when someone advises you on stock trading, you'd better make sure that they have been through a lot of market cycles. You want to make sure that whomever you are getting coached by has experienced various environments and has a pretty long history of being involved with trading with real success under their belt. Of course, I'm partial to our Minervini Private Access platform for learning how to trade correctly and successfully.

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| <p>It is going to take some time. So, prepare well<br/>for the challenge.</p> |
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**Q:** Can you name the top three qualities to become a successful trader or investor?

**A:** You need to make trading a priority; you can't treat trading like a hobby and expect it to pay you like a business. You should also have a passion for trading; otherwise, you will probably quit when things get tough. It is very challenging; it is not something that you are going to have big success with right away. It is going to take some time. So, prepare well for the challenge.

The other thing is a thirst for knowledge and getting to the truth. Study your mistakes and do post analysis. Be ready to look at yourself objectively, leaving your ego aside. Think in probabilities and be ready to operate without certainty as there are no certainties in trading. Do not wish for a guaranteed pay cheque. If you are looking at it like  $X$  amount of money per week or per month, it is probably the wrong profession for you, because it is not going to work that way.

It takes a lot of confidence in your own ability because, in the beginning in spite of devoting time, you will not make much money, hence the need for a belief in the ultimate outcome, which takes vision.



## In Conversation with Steve Burns



### About Steve Burns:

Steve's career in investing began in 1993, and immediately thereafter, he started trading his own accounts in 1995. An outstanding teacher, he founded New Trader U in 2011. Since then, New Trader U, an excellent collection of original blogs, has been serving as the best resource for people who seek success at trading. You may reach him at [www.newtraderu.com](http://www.newtraderu.com).

**Q:** How and when did it all begin for you?

**A:** I have been interested in the stock market since as far as I can remember. I used to look at stock charts and prices in the newspapers back in the 1980s. I was always fascinated with the movement of prices even as a child. I don't remember a time I wasn't interested in financial markets and its movements. I always find it a fascinating mathematical game.

**Q:** When did you decide to make it a full-time profession?

**A:** I began trading for capital appreciation well over twenty years ago. At present, I have multiple sources of income. I don't just live off trading profits. I write books and blogs and engage as a business consultant too. But trading has been my first love. I have had an account that I have built and grown for over twenty years, never withdrawing any money out of it. I have laid it to compound, and it serves as a major source of my income. Trading is my passion. I do it because I enjoy it and not for money's sake.

**Q:** I understand that you consider Mr. Nicolas Darvas as your mentor. From

all the learning you have received from him, can you share a few of your biggest lessons?

**A:** Nicolas Darvas taught me how much can be achieved through trend-following trading versus making too many decisions on an intraday basis. I learned more about trend following from Nicolas Darvas even before I started following modern-day trend followers. Following a trend is where the money is. I learnt that following the closing prices of a day offers more value than reacting to intraday prices.

He also taught me that one can trade stocks based on their accumulation. You can make money simply by buying the same stocks as institutions and professionals buy and accumulate.

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| <p>A mentor can be a huge shortcut for a trader to go straight into learning the right lessons.</p> |
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I also learnt the basics of support and resistance with his boxes where buyers and sellers are located on a short-term time frame. And finally, he taught me not to buy stocks in bear markets, like the one in 2008. This helped me then, as I chose to be with cash primarily and avoided the entire market meltdown of 2008.

**Q:** The beginning of a trader's life most often defines struggles, where one has too many systems, indicators and methods to choose from. How do you think a mentor can help then?

**A:** A mentor can be a huge shortcut for a trader to go straight into learning the right lessons. A lot of new traders don't even know the right questions to ask, so how can you expect them to find the right answers? I think a mentor can teach them the right questions to ask, and take them through a huge shortcut on the road to profitability, which would have taken years after the running down.

**Q:** What factor do you attribute most importance to—the mind, the method or the money?

**A:** I believe the most important factor is the mind. If you can't get the right mindset and perseverance to be profitable, the short-term setbacks in your account will shake you up. Your methods can make you wealthy, but nothing will work in the absence of the right mindset. You can't even trade a proper system without a mindset because fear, greed and ego will creep in and destroy everything else. I think having the right mindset is the most important part of any trader, without which, nothing would matter.

**Q:** Please recommend books on mindset.

**A:** I would recommend these:

- i. *Trade Your Way to Financial Freedom* by Dr. Van Tharp
- ii. *Trading Psychology* by Brett N. Steenbarger
- iii. *Trade for a Living* by Dr. Alexander Elder

**Q:** Which tools do you predominantly use to trade the markets?

**A:** Mainly, I use price action to trade. I also use moving averages and relative strength index (RSI) for swing trading.

**Q:** Please share your views on the trend-following method of trading vis-à-vis the other methods.

**A:** I think it's all about how your personality suits a trading method. One needs to have patience for trend following, which is long term, lacks frequent action and entails drawdown in certain kinds of market movements. Some people have refined it, though. I believe in simply catching a trend and riding it. This is the easiest way to make money, without making multiple decisions on a daily basis.

**Q:** In your book *New Trader, Rich Trader*, what do you mean by a rich trader?

**A:** I think the principles and theories of the market wizards, which has been making them consistent returns for decades and thus turning them into multimillionaires and billionaires, are models for the rich traders of today. But I believe that these rich traders already had the seeds of success within them. They already knew what they were going to be. They wanted to

work to get there. I therefore believe one can be a rich trader from within. It is only the time factor that separates you from your wealth.

Constant learning is inevitable to becoming a rich trader.

**Q:** How does one go from becoming a new trader to a rich trader?

**A:** You need to love the game and have passion and drive for the markets. You need an unquenchable thirst for knowledge and growth, to be humble and to learn from traders who are better than you, on a consistent basis. Constant learning is inevitable to becoming a rich trader.



## SECTION 7

# The *Why* and the *How* of Becoming a Professional Trader



## CHAPTER 17

# How versus Why

By Vishal



The bigger the *Why*, the easier the *How*.

—JIM ROHN





In my work studying the most successful traders, not one of them put down making money as their primary reason to trade. There were other things that they mentioned, like love for challenges, the aspiration to be the best in the game and so on. But none of them mentioned making money as their first choice.

If your 'why' to become a trader is stronger  
than making money, then your 'how' to  
become a trader will be easier.

If your 'why' to become a trader is stronger than making money, then your 'how' to become a trader will be easier. Years ago, I learnt an interesting concept from my business coach. While being coached on our business, in one of the sessions, we were asked a question: "Why do you do what you do?" Like most attendees, I too mentioned making money as the

primary answer.

To our surprise then, the coach was flabbergasted. He said that running a business with the purpose of making money is the most incongruous task one can do. We were then asked to probe further into the same question: “Why do you do what you do?” It then began pouring from my heart. I wrote: “I want to educate people because I have gone through innumerable pitfalls in my trading career and committed a lot of blunders. So if I can provide the right knowledge to people on the same path as I am, it would help them prevent committing the same mistakes.” Fine. Then came the next question: “And why would you want to do that?” I wrote: “So that it will shorten their learning curve. Their journey will not be as painful as mine. I could help them become financially free.” The process continued further with additional whys until I finally reached the ultimate purpose of why I do what I do, which is to provide premium education and empower people to take control of their financial future.

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| Ask yourself, “Why do I want to become a trader?” |
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From that day onwards, I have lived each day to work towards my WHY. It is the linchpin of our organisation, serving me all the time. Money is a by-product of what I do.

In the years that followed, our training institute grew rapidly. We now reach out to hundreds of thousands of people across the world through our seminars, workshops and online programmes. And this is one of the most important lessons we teach our students while coaching them in the one-year coaching programme “TraderinMe™”.

Ask yourself, “Why do I want to become a trader?” I believe, without a strong WHY, it is going to be extremely difficult for you to pursue this profession. Once armed with a strong WHY, things, people or circumstances cannot affect you anymore. So raise your why.







## CHAPTER 18

# Did You Write the Benefits of the Business?

By Vishal

“

Being rich is having money;  
being wealthy is having time.

—MARGARET BONNANO

”

In my workshop “Anybody Can Trade™”, I ask the participants to do a simple exercise. I ask them to list down the reasons why they want to trade or invest in the stock markets. What do they think are the benefits of this business? Most of them come up with an average of five to ten benefits.

One of my coaches once told me that if you really wish to go more deeply into any subject, you need to have plentiful reasons to learn that subject. This helps you stay rooted to it when things get tough. So the aspiring trader in me began making a list of the benefits that the profession of trading and investing has to offer me. Surprisingly, I ended up writing down more than 190 of them.

The exercise was profound. It reinforced my belief in this business and made me fall in love with it all over again. I strongly urge each of you who is serious about this business to do this exercise. Do not stop until you have reached 200 benefits.

A few of the major benefits from my list are the following:

1. Trading is one of the very few businesses that provide tremendous opportunity to grow money exponentially. A great trading system can be a stream of consistent income.
2. This is also one of the few businesses with which one can get started right away. It is completely legal and extremely well regulated.
3. The business of trading is not capital intensive. One can begin with as low as INR 50,000 (USD 746) too.
4. It also offers complete liquidity. As soon as you sell the stocks and securities, the money is credited into your account.
5. Trading provides ample flexibility of time. There are no fixed working hours, and you may trade any market—Equity, Commodity or Forex—as you choose to. This leaves you ample time for yourself and your family.

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| <p>This is also one of the few businesses with<br/>which one<br/>can get started right away.</p> |
|--------------------------------------------------------------------------------------------------|

6. The business of trading and investing does not bind you to any fixed location. You may trade from anywhere in the world, with just a phone call or a message to your broker.
7. This business needs neither any infrastructure nor manpower. You do not need an office or staff either.
8. Trading educates you about yourself. You discover your strengths and weaknesses.
9. Learning to trade well makes you a better person. Good traders do well with managing their ego, fear, greed and with risk management in other areas of their lives too.

The above are the major benefits. There are ample minor benefits apart from the ones mentioned above. A few from this list are the following:

1. The trading business is devoid of any fear of competition or deadlines.
2. You have no boss. You work at your free will.



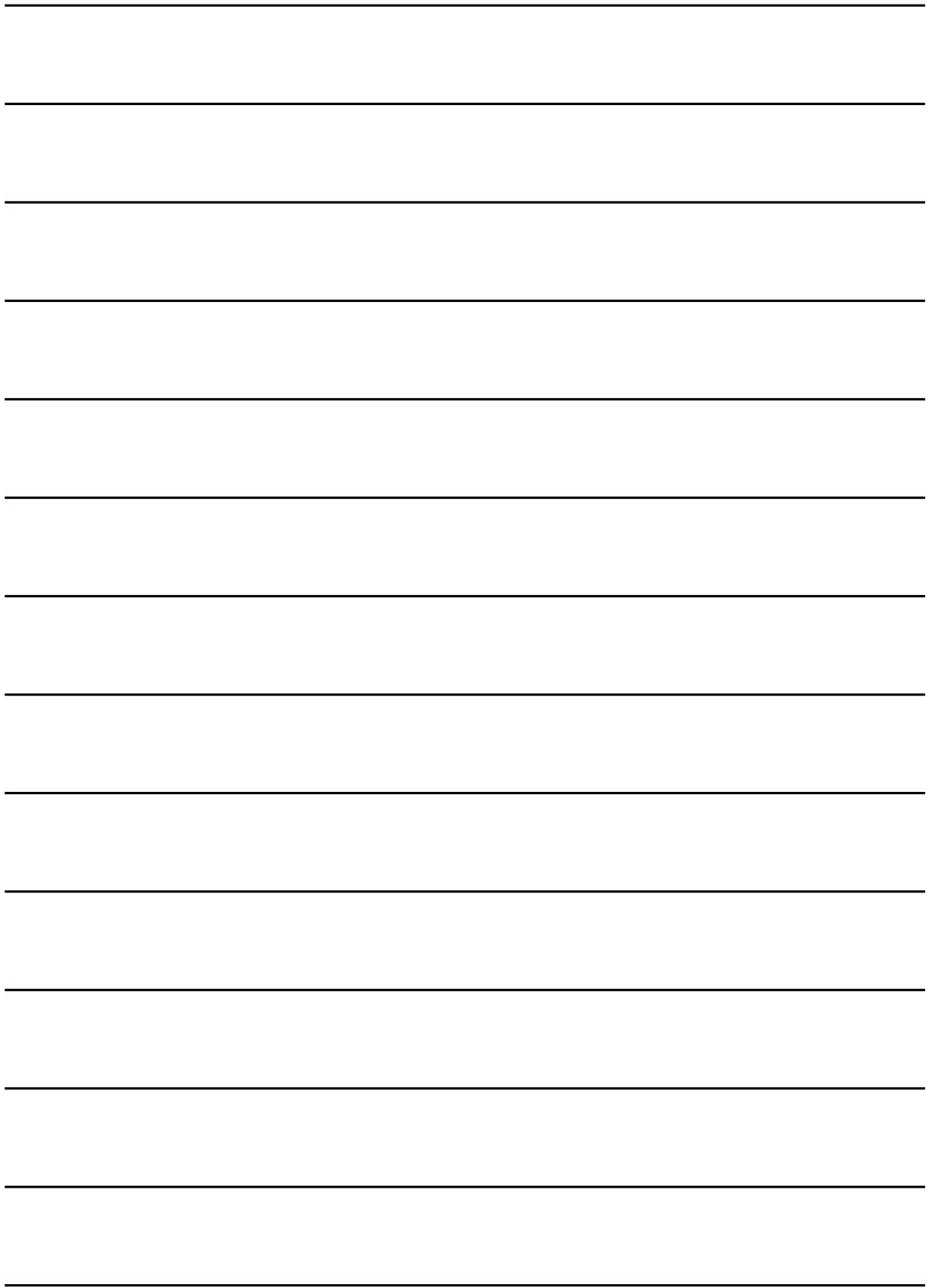
3. It is completely bereft of any workplace politics.
4. You need not wait for weekends or holidays to go shopping or watch movies.
5. You may take vacations at your free will.
6. You are free to choose your dress code to work; no formal wear is mandatory.
7. You get to attend every function at your kids' school, be it the sports meet, annual meet or the parent-teacher meet. You never miss any of it.
8. You have an opportunity to retire early.
9. It leaves you ample time to pursue your hobbies.
10. You may have contribution of time and money for the community and society at large.

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| Learning to trade well makes you a better person. |
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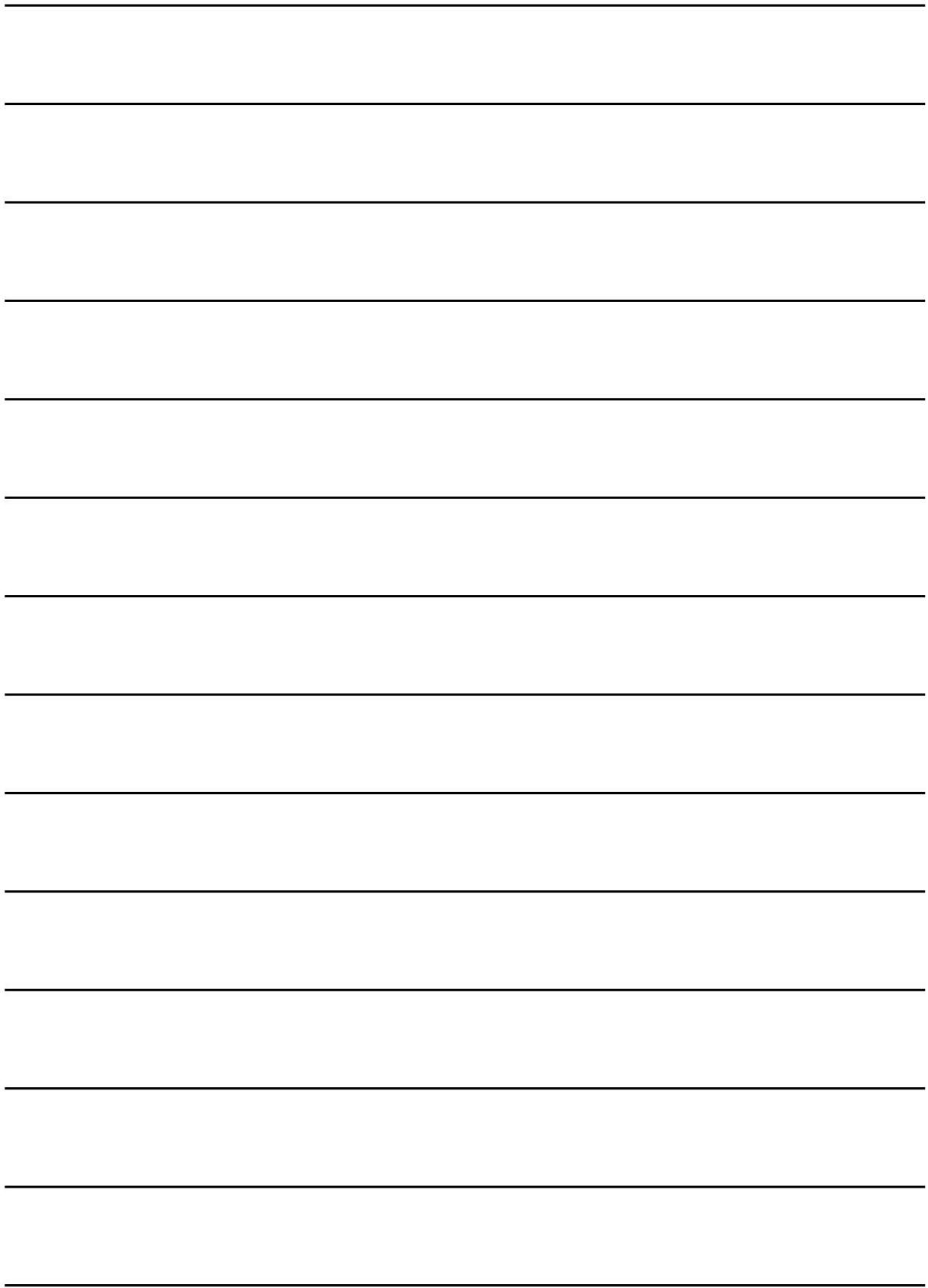
11. It leaves you with more disposable time to spend on your own fitness, or to work on your inner self, or to read scriptures.

**Exercise:** Write down 200 or more reasons to pursue the profession of trading and investing.









Let your imagination wander and make a list as long as you can. And then see the magic. You will be amazed at your determination to pursue this business.



## **C H A P T E R   1 9**

# **Our Most Treasured Lessons**

**By Meghana and Vishal**



**By Vishal**



It has been a long journey of 22 years. The journey began as a fascination, I turned into a passion and survived through our persistence to reach here. It has been filled with numerous ups and downs—more downs than ups if I may say so. It also entailed plenty of fights and criticism amongst family, loss of friends and relationships and sometimes even a loss of reputation. Nevertheless, each blunder taught me a bigger lesson and, to tell the truth, the lessons learned by trading the markets not only helped me become a better trader and investor but, more importantly, a better human being. I would recommend everyone take this journey, not for the money but to discover the great person that you are. I have listed below some fundamental lessons I would like you to follow. Although concise, each lesson, which I learnt the hard way, is filled with mental, physical and financial pain. And each is the reason for who I am today.

1. The single most important ingredient to succeed at anything in life is **‘drive’**. If you have the drive to learn to trade successfully, you will overcome all obstacles in your way, including the biggest one: Your mind.
2. As the most successful people say, success is 80 per cent psychology and 20 per cent techniques. The game of trading is no different. The role of emotions in trading is extremely critical. Work on your mindset and beliefs before you work on systems and methods.
3. Always respect risk. This helps you stay in the game at all times. Remember to protect the capital first by following rigid risk control.
4. Systems are the key to objectifying the business of trading. Find a system that suits you and remain true to that approach. Discipline is the key.
5. Loss is the cost of this business. Be happy to incur happy losses.
6. Be magnificently obsessive about the art of trading and be ready to spend at least one to three years mastering this art.
7. Above all, love and have fun in all that you do. This goes a long way to making you a master in the field.

**By Meghana**



It has been a decade of switching paths. While I began treading this path with Vishal's support, I soon realised along the way that I would have to fight my own battle. I would have to create my success with the lessons from my own experiences. Though Vishal's ubiquitous presence guided me at all times, a few lessons had to be learnt the hard way. As they say, the perturbation process had to occur for me to land on the other side of the change process. And, trust me when I say this, my changed life is filled with more freedom (of time, money and choice), more happiness (of being able to discover more of my own self), and more satisfaction (of being able to generate the same freedom of choice amongst people around me). Above all, my best reward lies in being able to spend countless hours with my kids at my leisure, since kids remain such only once. Here are a few lessons that I have summarised for you:

Always respect risk. This helps you stay in the game at all times.

1. You do not need to have a background in financial markets to be successful at trading the stock markets.
2. Hold on to the belief that you can do it, and you will discover that you really can.
3. You need to be ready to do some hard work, be it back-testing systems, reading books or discovering your style of trading.
4. The journey is concomitant with setbacks. Take them in stride and

learn from them.

5. My ride was not as tough as that of Vishal, the only reason being that I had a coach to guide me through the path. A coach or a mentor is a shortcut to success, be it trading or any other area of life.

|                                                |
|------------------------------------------------|
| Make reading an integral part of your routine. |
|------------------------------------------------|

6. Working on yourself will pay the most rewards in this business.
7. Be a lifelong student of the market. This will help you deal with the perennially changing market environment.
8. Make reading an integral part of your routine. In times of setbacks, you can count on those books as your best buddies.

### **#CASHTAGS Action Points for Section 7:**

1. Resolve to be a professional trader. Invest in books, seminars and online programmes. Your competence, your confidence and your conviction will soar.
2. Hire a trading coach to keep you on track.
3. Attend “Anybody Can Trade™”. This amazing workshop has transformed the lives of thousands of people and helped them attain financial freedom. It will help you do that too!









## **C H A P T E R   2 0**

# **So What Do I Do Now?**

**By Vishal**

So what next? What do you do now? Where do you begin?

We are at the end of this book, and I hope you thoroughly enjoyed reading it. I sincerely hope you will use its learnings and implement the systems to achieve financial freedom. I use the word ‘implement’ because reading the book alone will not help. You will also have to take the desired action. It is actions that are imperative to success.

*In Section 2 of this book, you learnt all about mindset in the game of trading. You discovered the factors that are responsible for forming your mindset and how they are different from the characteristics of the stock market. Make certain you do each of the exercises from this chapter in order to change your blueprint to become adaptive to making money trading and investing in the stock markets. I strongly encourage you to practice all the affirmations in these chapters daily. Experience how they manifest*

beautifully in your life.

*In Section 3 of this book*, you learned the risk principles and its fundamentals. These are a vital part in the puzzle of successful trading, and one cannot afford to ignore them. I recommend you follow the simple risk management formula in all your trades.

*In Section 4 of the book*, you learned the basic tools from the technical analysis toolkit. Make sure you practice these tools on a regular basis for a few weeks to ensure they get well rooted into your mind.

Finally, *in Section 5 of this book*, you learned two simple trading systems. I encourage you to back-test both these systems for sufficiently long periods to strengthen your conviction in them. As I say this, please take note that just reading and back-testing will not help. There is no alternative to trading them yourself to experience their efficacy and simplicity. I therefore suggest you trade these systems with a minimum quantity, which could be as low as even one share. The idea is to understand the system practically. Once you get the necessary confidence and conviction, you may then go ahead with the quantity that fits into your risk management system.

Above all, please make sure you do the **#CASHTAGS Action Points** at the end of each section. These action points will get you started in the stock markets and help you level up as a power trader. They are the pathway to achieving financial freedom.

While you are reading this, there might a little nudge within your head that tells you: *I just do not have the time to do all this*. Notice who is doing the talking here? That's your conditioned mind at work. Do not listen to it, for its job is to make you play within your domain – your comfort zone. Instead, do the exercises and back-testing, practice the affirmations and do the **#CASHTAGS Action Points** and experience a shift towards financial freedom.

I also suggest you reread this book and make a synopsis of the lessons learned from it. Make a list of things you resolve to implement in the next 30 days, the next three months and the next year.

Make sure to visit our website: [www.malkansview.com](http://www.malkansview.com), Facebook page

([www.facebook.com/Malkansview](http://www.facebook.com/Malkansview)) and YouTube channel of Malkansview ([www.youtube.com/user/vishalbmalkan1](http://www.youtube.com/user/vishalbmalkan1)) to access videos, podcasts, quotes and affirmations.

As you have read earlier, the path to my success has been strewn with plenty of setbacks, pain and discovery. I feel it is now my turn to help others so that their learning curve is not as prolonged and painful as mine. My mission is to educate and empower people to achieve financial freedom, and I do this by providing them with the right education and guidance.

I am truly blessed to offer seminars, workshops and training programmes that enable me to transform people's lives. I am thrilled to have been able to influence and impact over tens of thousands of people across the world through these programmes, both live and online. I feel extremely privileged to do so.

I invite you to my three-day programme “Anybody Can Trade™”. This programme, which promises to change your life, has already changed the lives of thousands of people who have attended it.

This incredible weekend will completely change your perspective towards the stock markets. You will break free of the fetters that hold you back from achieving financial freedom and discover a complete new freedom to make money trading the markets with ease and simplicity. The weekend promises to be fun, exciting and packed with profound knowledge. It will take you to an entirely new level of trading success. At this seminar we change your trading blueprint right away. During this incredible weekend, you will not only learn what to buy and sell along with simple trading systems, but we will also teach you how to deal with change and setbacks and give you a completely new perspective to making money, trading and, most importantly, your life.

Many attendees consider “Anybody Can Trade™” as one of the most fun-filled weekends, which is packed with technical knowledge along with transformative processes. It also provides you with an amazing opportunity to meet hundreds of like-minded people around the world. I am so excited to see you at “Anybody Can Trade™” that for a limited period of time, I will provide a 50 per cent scholarship to you and a 75 per cent scholarship to one

of your family members, to attend this programme. You may use the coupon code PRE001 on the website link: [www.mymalkansview.com/p/abct1](http://www.mymalkansview.com/p/abct1) to claim your scholarship. Or you may write to [contact@malkansview.com](mailto:contact@malkansview.com).

Well, that's it for now. Thank you for your precious time reading this book. I wish you tremendous success and true happiness, and I look forward to meeting you in person soon.

For your financial success,

*Vishal B. Malkan*

**VISHAL** is one of the top coaches in the areas of stock trading and personal transformation. Venturing into this journey at the young age of 16, he

experienced the thick and thins of the stock market before achieving success as a trader. During the 22 years of his trading career he learnt various theories, approaches and concepts only to realize that it need not be this complex. He has made it a personal mission to help a common man understand and trade the stock markets with the help of systems so simple that even a 10-year old child can understand them. Vishal's passion and natural leadership skills have helped propel him into a successful trainer, coach and a role model.

**MEGHANA**, a trading and performance coach broke all her preconceived notions about the markets. She migrated successfully from a law background into the stock markets which was a culture shock for her. In her endeavor to find the trader in herself, she realized that success at trading is more about having the right mindset than anything else. Her strength as a coach lies in helping aspiring traders to perform at their highest potential in stock trading and also in life.

Together, Vishal and Meghana form a unique combination of simple strategies and high performance mind-set. They regularly appear on India's leading television business channels as well as print media.

They co-founded their training institute Malkansview which inspires millions of people from various walks of life through their live seminars, workshops, videos and online courses and helps them become professional traders.





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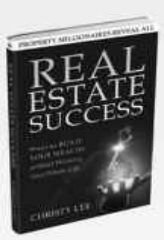
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# #CASHTAGS

*How Anyone Can Get Started in the*  
**STOCK MARKET**  
*and Level Up as a*  
**POWER TRADER**

Make your dreams of trading the stock markets a reality!

Tap into the skilled trader within you! Grow your income and build wealth!

*#CASHTAGS: How Anyone Can Get Started in the Stock Market and Level Up as a Power Trader*, aims at helping the average person step into the stock markets as an investor or trader. Author Vishal B Malkan cuts through the clutter of information on trading to offer clear, simplified, wise advice based on his 22 years of trading the stock markets. His wife, Meghana, tells her own story of exchanging a corporate legal job for stock trading. *#CASHTAGS* removes the mystery from the markets, replacing it with straightforward principles to guide your investing. Access a toolkit that gives you knowledge on when to buy and sell. Develop a system that helps eliminate subjective feelings and bias. Learn an efficient risk management system. Discover how to manage your emotions when trading. Read *#CASHTAGS* and you will be well on your way to trading and investing with confidence and know-how.

Most trading books leave out something important, but not *#CASHTAGS*. It has psychology, position sizing, systems, trading as a business, and many other important topics. It's a great overview of what's involved in trading success.

—DR. VAN THARP

Author and world-renowned Trading Coach and  
Leading Expert in the field of Trading and Investing

Vishal and Meghana are not only part of that rare category of people but also have truly simplified the path for you to achieve your dreams. Their experiences and stories are very real and will take away the blinders and misconceptions you have around trading and business. They will replace them with simple 'street-smart' advice and processes. Their lessons are not just lessons for trading. They are lessons for life.

—BLAIR SINGER

Best-selling Author, Entrepreneur,  
Founder of Blair Singer Training Academy

Vishal has put together a guide for anyone who wants to become a trader. If I had read this book when I had started, it would have knocked sense into me and helped me avoid the painful losses I incurred. This book is definitely a good investment in ourselves as the lessons we acquire will return many folds.

—SEAN SEAH

Best-selling Author of *Gone Fishing with Buffett*



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